



Healthy Food - Healthy Living

FORGING AHEAD

Bairaha Farms PLC
Annual Report 2024/25

FORGING AHEAD

Although this year presented financial challenges, Bairaha remains committed to its strategy. With our strategic expansion in the branded chicken market, increased focus on value-added meat products, along with investment in new ventures, we are laying the foundation for long-term stability. Our commitment to work with local farmers, and involvement and engagement with other stakeholders would enable us in our endeavour for sustainable growth. While profitability remains a medium-term goal, we continue to support CSR initiatives benefitting communities. Challenges may persist, but with determination and adaptability, Bairaha is forging ahead towards a stronger, more sustainable future.

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About This Report

This Integrated Annual Report of Bairaha Farms PLC for the financial year ending on 31st March 2025, provides critical financial and non-financial insights into Bairaha Farms PLC's core operations, investments, strategic initiatives, and growth trajectory. Additionally, it provides key information on the Company's corporate governance framework and risk management practices, highlighting its commitment to transparency and sustainable business practices.

The main purpose of this report is to provide stakeholders with a thorough understanding to support informed evaluations of the Company's sustainability, and its capacity to generate value in the short, medium, and long terms. Through the application of the materiality principle, this report identifies the most critical issues for the Group, emphasizing their impact on stakeholders. It also outlines the Company's strategies and actions designed to address and mitigate those challenges through both operational and strategic approaches.

Reporting Framework

All information provided in this report complies with relevant laws, regulations, and standards. The Financial Statements are prepared in accordance with Sri Lanka Accounting Standards, the Companies Act No. 07 of 2007, the Listing Rules of the Colombo Stock Exchange (CSE), and the Code of Best Practices on Corporate Governance issued jointly by The Institute of Chartered Accountants of Sri Lanka (CA Sri Lanka) and the Securities and Exchange Commission of Sri Lanka (SEC). Additionally, this report is based on the principles outlined in the Integrated Reporting Framework and the IFRS foundation principles.

Scope and Coverage

This report covering the twelve-month period from 1st April 2024 to 31st March 2025 is consistent with the Company's annual reporting cycle for both financial and sustainability reporting. It provides updates on the progress of ongoing projects and initiatives, along with historical data, as applicable, to offer a thorough and contextual understanding.

Financial Performance

The Financial Statements portray the consolidated performance of the Bairaha Group, comprising Bairaha Farms PLC and its subsidiaries: Siyane Farms Ltd., Hill Country Farms Ltd., Bairaha Foods (Pvt) Ltd., BF Lands Development Ltd., Lanka Land Development Ltd., HCF Land Development Ltd., Nature's Best Industry Ltd., Global Reach Foods (Pvt) Ltd., Bairaha International FZCO., Care 4 Wellbeing (Pvt) Ltd. and joint ventures: Fortune G-P Farms (Lanka) Ltd., Rajarata Land Development Ltd., Cultural Triangle Land Development Ltd., Windsor Real Estate Ltd and Fortune Agro Industries (Pvt) Ltd. The Company and Group Financial Statements were audited by Ernst & Young Chartered Accountants.

Accessibility

This report is available in both print and PDF formats. The PDF version can be accessed digitally through the Company's profile page on the CSE website. <https://www.cse.lk/pages/company-profile/company-profile.component.html?symbol=BFL.N0000>

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Year at a Glance

Indicator	Unit	2024/25	2023/24
Revenue	LKR Mn.	13,916	13,291
Gross Profit	LKR Mn.	1,733	2,156
Profit from Operations	LKR Mn.	105	559
Profit after Tax	LKR Mn.	122	436
Total Assets	LKR Mn.	9,830	9,469
Total Borrowings	LKR Mn.	2,258	2,462
Total Shareholders' Funds	LKR Mn.	5,844	5,808
Gross Profit Margin	%	12.5	16.2
Operating Profit Margin	%	0.8	4.2
Net Profit Margin	%	0.9	3.3
Return on Equity	%	2.10	7.91
Return on Total Assets	%	1.3	4.8
Debt/Capital	%	27.9	29.8
Current Ratio	Times	1.31	1.34
Earnings per Share	LKR	7.11	24.76
Net Assets per Share	LKR	332.02	330.03
Market Price per Share	LKR	164.75	173.00
Dividend per Share	LKR	5.00	7.30
Dividend Payout	%	70.4	29.5

Financial Capital



- Revenue increased by **4.7% YoY**, reaching **LKR 13,916 Mn.**
- Gross profit stood at **LKR 1,733 Mn.**, with a margin of **12.5%**, compared to **16.2%** last year
- Finance cost reduced to **LKR 258 Mn.** from **LKR 391 Mn.**
- Net borrowings reduced by **LKR 240 Mn.**, enhancing the Group's capital structure

Manufactured Capital



- **Vertically Integrated Model:** Strengthened operations through end-to-end control from breeding to distribution
- **Technology Advancements:** RFID-based asset tracking system in asset management
- **Infrastructure Expansion:** Commenced construction of a new **500 MT cold storage facility**
- **Product Innovation:** Expansion of **value-added product range**

Intellectual Capital



- **Brand Value and Heritage:** With nearly five decades of brand trust, Bairaha continues to lead with innovation and a strong corporate culture built on core values
- **Digitally Enabled Growth:** Online and call-in orders for home delivery
- **Inclusive Innovation:** Launching of the "Third Eye" app to support visually impaired students in identifying recipes and objects, enhancing brand inclusivity
- **Digital Brand Engagement:** Strengthened digital advertising across Google Ads, YouTube, Facebook

Human Capital



- **Total Workforce:** 1,309 employees with a 4.17% increase in female representation
- **Great Place to Work® Certified:** with 87% positive employee feedback
- **Employee Welfare:** Annual health screening; Eye Clinic with subsidized optical care; Distribution of school supplies
- **Recognition and Engagement:** Best Employee Programme and cultural events to reinforce team spirit and company values

Social and Relationship Capital



- **Strengthened Market Trust:** strong brand loyalty across households, HORECA, and farm networks
- **Food Security and Compliance:** affordability, product safety, and compliance with FSSC 22000, ISO, HACCP, and local regulations
- **Responsible Sourcing:** Reinforced ethical procurement, supplier evaluations, and transparent practices
- **Youth and Talent Development:** internships and management trainee programme to support future industry leaders

Natural Capital



- **Carbon Footprint Reduction:** Received Greenhouse Gas Verification from the Sri Lanka Climate Fund, aligning with **ISO 14064-1:2018** and **ISO 14064-3:2019** standards
- **Renewable Energy and Resource Efficiency:** Solar panels installed at **five sites**; **water recycling** where possible
- **Green Initiatives:** Planted **18,000 cinnamon trees** and **1,000 pineapple plants** to promote biodiversity and land sustainability
- **Organic Fertilizer Project:** Plans underway to establish a plant to produce fertilizer utilizing poultry litter
- **Animal Welfare and Biosecurity:** Recognized by the **National Chicken Council (USA)** for meeting international welfare standards

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About Us

Founded in 1975, Bairaha Farms PLC has established itself as a provider of high-quality processed chicken, broiler day-old chicks, along with an extensive range of pre-cooked chicken products in Sri Lanka. With nearly five decades of industry expertise, Bairaha continues to maintain its leadership position through an unwavering commitment to quality, which is demonstrated by its expansive customer base and strong brand presence.

The Company operates with a vertically integrated structure, enabling for better control over processes and quality throughout its operations. This integrated approach enables Bairaha to consistently deliver top-quality products to its customers.

A sizeable share of broiler farming is also conducted in collaboration with out-grower farmers, some of whom have invested in advanced facilities akin to the Company's own farms. To uphold stringent quality standards, Bairaha provides regular supervision and training to those out-grower farmers. Additionally, the Company sources the majority of its locally procured corn and other raw materials from local farmers and organizations, reinforcing its commitment to quality and community engagement.

Bairaha Farms PLC remains committed to expanding its diverse portfolio of chicken products through continuous research and development efforts. This dedication ensures that the Company consistently meets the evolving preferences of its discerning customers.

Vision



To be our stakeholders' and customers' preferred company and brand in the poultry and meat production sectors.

Mission



To provide superior quality poultry and meat products that support good health.

1975

Bairaha Farms Ltd. (formerly known as M I M Naleem Hajjar & Co. Ltd.) was incorporated on 27th October 1975. It was the pioneer in setting up a large scale commercial chicken production operation, followed by setting up an advanced chicken processing facility in Sri Lanka. The Company's founder played a key role in making chicken available at an affordable price for households across the country, setting the benchmark for quality and innovation in the poultry industry.

1976

The Company established its Parent Broiler Breeder Farm and Hatchery in Katana, as being part of its strategy to develop and expand the industry.

1980

The Commercial Broiler Farm began its operations on a 65-acre site in Pasyala, and in addition to establishing a state-of-the-art chicken processing facility equipped with advanced machinery from Europe.

1986

A Group strategic initiative led to the establishment of a Contract Growing Scheme in the Gampaha District, enabling farmers to rear and supply live broiler birds. Over time, this project expanded to involve hundreds of farmers across a few districts. This initiative enabled rural farmers also to join and benefit from the poultry production development initiative of the Company.

2016

The joint venture feed mill began its operations, marking a significant milestone in the Company's future growth trajectory.

2011

Bairaha was honoured with the prestigious Forbes Asia Award in the "Best Under A Billion USD" category during a ceremony held in Hong Kong.

2004

A significant partnership was established between Bairaha Farms PLC and Hybro BV, at its headquarters in Boxmeer, Netherlands, to establish a joint venture for a Grandparent Broiler Breeder Farm project in Sri Lanka. The inaugural shipment of Grandparent Chicks was imported in the same year by the joint venture, Fortune G-P Farms (Lanka) Ltd.

2001

The Company's Annual Report for the fiscal year 1999/2000 received a Certificate of Compliance in the Food and Beverage Companies category at the Annual Report Competition organized by the Institute of Chartered Accountants of Sri Lanka. Furthermore, the Bairaha Group was awarded the internationally recognized ISO 9002 certification for Quality Management Systems and the HACCP food safety system certification, underscoring its commitment to maintaining the highest standards of excellence and food safety.

1994

Bairaha Farms Ltd. successfully transitioned towards becoming a publicly listed company. On the opening day of its initial public offering (IPO), the Company's shares were oversubscribed by more than 2.04 times, reflecting its strong market reputation and the credibility it had built over the years.

2018

The Group received recognition from Cobb-Vantress Inc. for its breeder farms, which were commended for achieving exceptional productivity levels, surpassing regional peers in Asia. A key factor driving this success was the consistent supply of high-quality feed by our joint venture entity, Fortune Agro Industries (Pvt) Ltd., which played a vital role in supporting the farms' outstanding performance.

2019

Fortune G-P Farms was recognized for the exceptional performance of its grandparent farm by Cobb-Vantress Inc., representing a significant achievement in the Company's operations. The Group also successfully implemented SAP ERP across all its entities, enhancing operational efficiency. Additionally, the Company established a Sales-Centre in Kochchikade, in the Gampaha District to cater to both Broiler and Broiler Parent Breeder chicks customers/organizations. Fortune Agro Industries Pvt Ltd. further strengthened its backward integration by acquiring the CIC maize storage facility located at Siyabalanduwe, Monaragala District and thereby enabling the procurement of maize from over 1,000 farmers in the Anuradhapura, Monaragala, and Ampara regions.

2021

Bairaha Farms PLC enhanced customer accessibility by the implementation of its sales force automation system and digital platforms. The Company was also internationally recognized with the ESG Award 2021 at the FMCG Asia Awards in Singapore, hosted by Retail Asia magazine, for its initiative to publish a braille recipe book for the visually impaired, reflecting its strong commitment to inclusivity and social responsibility.

2025

Bairaha Farms PLC was awarded the FSSC 22000 (Food Safety System Certification), marking a significant achievement in its continuous pursuit of excellence in food safety and quality management systems. This globally recognized certification affirms our compliance with rigorous food safety standards and strengthens our position in both local and international markets.

2024

Bairaha Farms PLC introduced certain novel initiatives as part of its CSR initiatives. One such initiative was the "Third Eye," an app designed to assist the visually impaired in identifying recipes and objects. As part of a related initiative, the Company sponsored the higher education of a visually impaired student. Bairaha received the Silver Award in the Food and Beverage Sector at the TAGS Awards 2024, and the Silver Award for Poultry & Livestock at the 32nd Annual Export Awards, organized by the National Chamber of Exporters of Sri Lanka.

2023

Bairaha Farms PLC was honoured with a Bronze Award at the TAGS Awards, recognizing excellence in corporate reporting. To expand its global footprint, Bairaha commenced operations of Global Reach Foods (Pvt) Ltd. in December 2023, establishing a fully export-oriented subsidiary Company for producing and exporting meat-based niche products for the international markets.

2022

Successfully implemented a human resource information system (HRIS) to enhance organizational efficiency and to streamline workforce management. With a view to co-ordinate and centralize exports activities, the Company established the Bairaha International FZCO, a wholly owned subsidiary based in the UAE Free Zone. The Group recorded its highest ever profit since its founding in 1975, highlighting its exceptional business growth and financial resilience.

Bairaha Farms PLC is the pioneer in the poultry industry in setting up large scale breeder and broiler farms in the mid and late 1970s as well as in establishing a state-of-the-art chicken processing factory, way back in the 1980. The Company also provides ELISA (enzyme-linked immunosorbent assay), bacteriological and certain specific PCR tests and laboratory services to both the Bairaha Group and to the industry.

100%

● **Bairaha Foods (Pvt) Ltd.**

Bairaha Foods (Pvt) Ltd. specializes in producing a wide range of value-added, and pre-cooked meat products.

● **Bairaha Trading (Pvt) Ltd.**

Bairaha Trading (Pvt) Ltd. was incorporated to import and distribute products required by the poultry industry.

● **BF Lands Development Ltd.**

● **Lanka Land Development Ltd.**

● **HCF Land Development Ltd.**

Engaged in providing support services to the Group through the leasing of agricultural land for the establishment of poultry projects

● **Bairaha International FZCO**

A UAE-based free zone enterprise to export chicken products to international markets.

● **Siyane Farms Ltd.**

Primarily engaged in breeding poultry for the production of broiler day-old chicks.

● **Nature’s Best Industry Ltd.**

The Company runs a state-of-the-art broiler farm, functioning as an entity approved by the Board of Investment (BOI).

● **Hill Country Farms Ltd.**

Owns and manages breeder farms and a hatchery for the production of broiler day-old chicks.

● **Global Reach Foods Pvt Ltd.**

An export oriented company involved in the production and export of specialized meat-based products that began its operations in December 2023.

50%

- **Care 4 Wellbeing (Pvt) Ltd.**

It produces nutraceutical products to promote good health and wellbeing among the general public.

- **Rajarata Land Development Ltd.**

- **Cultural Triangle Land Development Ltd.**

- **Windsor Real Estate Ltd.**

Involved in purchasing and leasing lands to joint venture companies for the establishment of poultry projects.

- **Fortune Agro Industries (Pvt) Ltd.**

Operates a state-of-the-art feed mill, equipped with raw material storage and drying facilities, and has been manufacturing and supplying poultry feed to the livestock sector since June 2016.

- **Fortune G-P Farms (Lanka) Ltd.**

Its main activity is operating a grandparent broiler breeder farm and hatchery for the production of parent broiler breeder chicks.

Despite a tough year of rising costs and low margins, we pushed forward investing smartly, expanding capacity, and setting the stage for future growth.



I am pleased to present to you the Annual Report of Bairaha Farms PLC for the financial year 2024/25, on behalf of the Board of Directors.

The year 2024/25 was a period during which we faced both significant challenges and notable progress, reflecting the adaptability and strategic focus of our Company, regardless of the fluctuating operating environment. Macroeconomic factors and in particular increased direct and indirect taxes, income tax and VAT, significantly impacted consumers' disposable incomes, resulting in reduced demand across several sectors, including the poultry sector. These factors combined with a glut in market for the poultry products and depressed prices resulted in significantly reduced margins and losses to poultry producers and integrators, such as your Company.

Despite these issues, we remained committed to our long-term vision, laying the foundation for the future growth of the business. The establishment of Global Reach Foods (Pvt) Ltd in December 2023 to export niche meat products, was a key milestone in the Company's envisaged future.

Although we started with a notable profit of LKR 147 Mn. in the Q1 of 2024/25, the Group reported losses in the Q2 and Q3 due to substantially reduced and/or negative margins, primarily due to the lower prices of poultry products on account of the glut situation. However, a comparatively improved performance and profit was generated in Q4 of the year. This turnaround was driven by the resurgence in the broiler day old chicks and live broiler bird markets.

We would like to draw your attention to the fact that up to the financial year 2023/24 the poultry industry continued to enjoy special status in being exempt from corporate income tax, being treated as part of the agriculture sector. However, with effect from 1st of April 2024 it has been subject to 30 per cent corporate income tax as in the case of other sectors. On the economic front, there were substantial increases in worker remittances and earnings from the tourism sector, and the growth momentum was maintained in this during the year under review.

The Company continued to expand, refurbish and modernize its chicken processing factory. A new building is being put up adjoining the chicken processing factory to accommodate a state-of-the-art cool room complex at a cost of LKR 300 Mn. to increase capacity by 500 MT. This would enable us to improve our process efficiency besides helping to expand the capacity in cold storage of chicken. In addition to the above, the Company secured thirty-year leasehold rights for 28 acres of land in the Puttalam District to set up a large scale, state of the art broiler farm to increase further the capacity of Company owned farms vis a vis out grower farms, which would contribute to improved efficiency and cost savings. Moreover, with a view to improving the quality and length of storage period of locally procured corn, a cooling unit has been installed to the corn drying unit of Fortune Agro Industries (Pvt) Ltd, the joint-venture company's second corn storage and drying facility in the Monaragala District.

In 2024, we established a Nominations and Governance Committee to strengthen our corporate governance processes in line with our group policy of adopting best in class practices. Meanwhile, the Company and the Group continued to explore opportunities in furthering sustainability, and towards this end the Group is presently evaluating the possibility of producing and marketing organic fertilizer utilizing poultry waste (dung) to replace imported and chemical fertilizer.

I wish to conclude by expressing my deep appreciation to our Managing Director, Executive Directors, Senior Management, and all employees for their dedication and perseverance throughout the year. I also extend my gratitude to our shareholders, customers, partners, and government authorities for their continued trust and support. We remain steadfast in our mission to deliver safe, high-quality chicken products while contributing meaningfully to the country's food security and economic development.

With resilience, innovation, and a customer-first ethos at the heart of our strategy, I am confident that Bairaha Farms PLC will continue to thrive, creating long-term value for all stakeholders.

(Sgd.)

Reyaz Mihular
Chairman

29th May 2025

Managing Director/ Chief Executive Officer's Review

This is Bairaha

We faced headwinds with focus and discipline launching new ventures, strengthening our export footprint, and adapting to change while staying committed to creating value for our stakeholders in the long term.



The financial year under review has been challenging and transformational for Bairaha Farms PLC. Although the operating environment presented many challenges, the Company made progress in several areas that have laid the foundation for sustainable growth in the future.

The economy, industry situation and the predicament of the company

During the year, we faced a market with oversupply of poultry, both in the broiler day old chicks and processed chicken meat segments, which led to lower prices resulting in low and at times negative margins across the industry. Despite the improvements that were made in processes, productivity and efficiency, the overproduction in both broiler chicks and chicken meat led to significant setbacks in our ability to generate better performance and profits. For instance, average production of broiler day old chicks in the recent past has been around 14 Million per month but between April – November in 2024, broiler chicks production was nearly 16 Million or more per month for six months of that period. According to the bulletin published by the Department of Animal Production and Health, it was reported that broiler day old chicks production increased by 11.02% in the calendar year 2024 compared to 2023. The outcome arising from this was that there was nearly additional 1.5-2.0 Million kgs of chicken per month available in the market in the year 2024 compared to the previous year. The situation was further exacerbated with the reported production of 17.27 Million broiler day old chicks in the month of January 2025.

In addition, the increase in VAT from 15% to 18% in January 2024 put a nail in the coffin for the poultry industry, which has been producing and supplying a basic commodity and nutritious food to the consumers while being faced with a glut situation. We have been unable to pass this increase in VAT onto customers due to this oversupply situation that has been prevailing and the fact that the disposable income of the average consumers has been reduced, as per the Central Bank of Sri Lanka (CBSL) August 2024 Monetary Policy Report. It was reported in an article published in the Daily Mirror newspaper on 25th February 2025 titled "Indirect Taxes Continue to Rip off People" where it stated that the average monthly household income was LKR 76,414 and average monthly household expenditure was LKR 63,130. Further it was reported in the same article that a family pays nearly LKR 40,000 per month in taxes.

It is also pertinent to mention that there are many poultry producers operating in the so-called grey market without paying VAT and SSCL (Social Security Contribution Levy) and thereby creating an uneven playing field for the organizations complying with the tax, other regulations and standards. Nevertheless, we managed to report a much reduced profit of LKR 122 Mn. in the year under review compared to the preceding year's profit of LKR 436 Mn. even though we were faced with several daunting challenges in the main market segments that the Company was operating in.

Strategic Initiatives and New Ventures

Despite the challenges that were faced by the Company, we took steps in line with our long-term strategy to widen and broaden our activities and product offerings. In this regard we are pleased to inform that our 100% export-oriented subsidiary, Global Reach Foods (Pvt) Ltd., commenced its operations during the financial year under review. We expect significant growth in the export of its products in the period ahead. Furthermore, we would like to state that when the authorities in China grant approval to export chicken and by-products from Sri Lanka, Global Reach Foods expects to benefit in terms of better pricing, thus contributing to further increase in export income and profitability. Moreover, Care 4 Wellbeing Pvt Ltd. launched its nutraceutical Chicken Extract product, Flemmings Essence of Chicken, through Healthguard Distribution, which is set to grow further, with targeted social media campaigns and an expanded retail presence.

Retail Product Offering

We are pleased with the continued progress of the Bairaha Chicken Cafe, which was inaugurated at Port City Colombo in September 2023. We introduced a new menu to align with evolving consumer tastes, which not only enhances our brand visibility but also serves as a platform for testing and showcasing new product concepts.

Recognitions and Awards

We are proud to state that Bairaha's commitment to excellence was once again recognized during the year under review. The Company was conferred with the Silver Export Award in the Medium Category in the Poultry and Livestock Products Sector by the National Chamber of Exporters, being a testament to our success in the export of chicken and value-added meat products. Furthermore, we were honoured with the Silver Award in the Food and Beverages sector (revenue category up to LKR 15 Bn.) at the TAGS (Transparency, Accountability, Governance, and Sustainability) Awards conducted by ICASL and also received the Great Place To Work® certification. These accolades not only affirm the strength and integrity of our operations but also inspire us to continuously make progress in all aspects of our business.

Commitment to Sustainability

Besides having solar power generation to supply the national grid, in five locations of the Group, more than 18,000 cinnamon trees and 1,000 pineapple plants were planted in Company-owned lands, in the year under review to support its environmental and sustainability endeavours. And where possible treated wastewater continued to be recycled as needed as a part of the Company's environmental stewardship programme.

Future Outlook

As we prepare for the year ahead, we remain focused on enhancing the profitability of the Company and the Group by expanding our local and international market presence. We also expect to enhance the efficiency of the supply chain through better sourcing and cost control, develop the online sales channel, and tap into niche pre-cooked meat segments.

Although in the year in progress the high cost of locally procured corn for poultry feed by the joint-venture company would initially be a major constraint to the profitability of the Company and the Group, from the latter part of the 2nd Quarter and beyond, the cost of corn and alternative substitute raw materials for poultry feed production should reduce as the Government has in an unprecedented move granted permits to import corn during the Maha season of 2025 as traders/collectors were hoarding stock.

This move by the Government was widely welcomed and highly appreciated by the industry.

To support further the goal towards improved profitability in the medium term we plan to implement strategies such as expanding product range and markets with stable pricing dynamics, while improving cost structures and focusing on products with better margins.

Acknowledgements

I would like to extend my sincere gratitude to the Chairman and Board of Directors, our employees, and all our stakeholders, including shareholders, customers, suppliers, growers, banking partners, and regulatory authorities, for their continued support, encouragement and relationships.

As a leading company in Sri Lanka's poultry industry, Bairaha is committed to supplying quality chicken meat, pre-cooked chicken products and broiler day old chicks to meet the country's food and protein requirements and thereby address the critical nutrition needs of the country. The Company upholds the highest standards in offering quality products. Together, we will continue to uphold Bairaha's promise of quality and trust in products that we deliver.

(Sgd.)

Yakooth Naleem

Managing Director/Chief Executive Officer

29th May 2025

Business Model

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Global trade rebounded, tech drove poultry growth, and Sri Lanka's economy stabilized yet feed costs, disease risks, and shifting consumer demands challenge the sector's path forward.

Balancing Progress and Risk: Global Economic Landscape in 2024

In 2024, global trade expanded by 3.7% year on year (YoY), reaching USD 33 Tn. This growth was driven by services industry contributing USD 700 Bn., representing around 60% of total growth and trade in goods, which grew 2% contributed USD 500 Bn. Furthermore, most regions across the globe experienced positive growth in the agri-food, communication technology, and transport industries.

Developing economies outperformed developed nations, with imports and exports rising by 4% during the year, primarily driven by those countries in the East and South Asia. Moreover, South Asia's trade has expanded by 5% annually and 4% in the final quarter of 2024.

Although China and India outperformed global trade averages, trade in the Russian Federation, Brazil, and South Africa remained sluggish during the year, with only some improvements towards the end of 2024. Trade in developed economies also stagnated, with international trade remaining flat during the year and reducing by 2% in the fourth quarter of 2024. Geopolitical pressures during the year also affected trade, with key factors in that regards being US-China trade relations, the Russia-Ukraine war, and shifting of alliances.

Commodity markets experienced price fluctuations throughout 2024. Although oil prices rose in early 2024, fuelled by escalating tensions in the Middle East, prices reduced by 3% during the year, in contrast to natural gas prices in North America, Asia, and Europe, which rose by around 30–50% during the year. Meanwhile, gold prices reached record highs as central banks increased purchases, which resulted in trade concluded in gold to the tune of USD 382 Bn.

Global Poultry Industry in 2024: Growth Prospects, Technological Advances, and Emerging Challenges

In 2024, the global poultry market experienced 2.2% YoY growth, reaching a consumption of 139 Million tons, while market value declined by 3% YoY to USD 389.9 Bn. during the year, whereas production remained stable at around 140 Million tons. In addition, poultry imports declined by 4.3% YoY to 15 Million tons, valued at USD 33.9 Bn., while exports declined by 2.5% YoY to 17 Million tons during the year.

In 2025, the industry is expected to grow to USD 410.98 Bn, up 5.4% from 2024, driven by the industry's cost effectiveness, lower environmental impact compared to other meats, and adaptability across various cuisines. Technological innovations such as AI-driven health monitoring and robotics in processing are also contributing to sector growth, leading to improved feed conversion, faster growth rates, enhanced disease resistance, a reduction in labour dependency, and in enhanced efficiency.

With the expansion of e-commerce and direct-to-consumer (DTC) sales, online sale of poultry products are expected to increase by 12–15% annually, supported by improvements in cold chain logistics enabling longer shelf life and safer transportation and online platforms offering delivery of fresh poultry.

Despite those positive developments, the poultry industry encountered several key challenges, including disease outbreaks such as avian influenza, and labour shortages. In addition, feed costs, which make up 60–70% of production expenses have been rising due to fluctuations in grain prices, caused by geopolitical tensions such as the Russia-Ukraine conflict and US-China trade issues.

Changes in consumer preferences have resulted in increasing demand for sustainable and ethically sourced poultry products, including cage-free and antibiotic-free poultry across Europe and North America. Poultry reared and fed with insect-based and plant-based proteins, are also gaining popularity which could help to reduce the environmental impact of traditional feeding methods.

Regionally, Asia-Pacific is expected to experience the fastest growth, driven by expanding poultry production in China, India, and Southeast Asia. The Middle East and Africa are also experiencing significant increases in production and consumption due to rising income and urbanization.

Navigating Recovery: Sri Lanka's Economic Performance in 2024 and Future Projections

The Sri Lankan economy continued to recover in 2024, following the challenges and downturn the country experienced in 2022 and 2023. Although the nation faced numerous challenges in its path to recovery, Sri Lanka's resurgence was significantly faster than that of many other debt-distressed nations. The reforms implemented after the crisis resulted in positive outcomes, with signs of improving economic activity, a partial restoration of purchasing power, and reduced uncertainty.

Election-related uncertainties dissipated towards the end of 2024, as the continuation of the reform agenda and policy consistency reassured both domestic and international stakeholders. This, coupled with the near completion of external debt restructuring programme and the country's exit from restricted default ratings, significantly boosted investor confidence.

In terms of economic performance, Sri Lanka exceeded expectations in 2024. Inflation declined gradually, thereby entering a deflationary phase since September 2024, which was driven largely by falling energy prices. As a result, inflation fell below the targeted level of 5% by the end of the year. Favourable monetary conditions, including lower interest rates, triggered credit growth among households and businesses during the year, accelerating domestic economic recovery, and helping to recover from the drops in output experienced during the pandemic and economic crisis.

Meanwhile, the external sector remained robust throughout the year, marked by strengthened external reserves and higher net foreign exchange inflows. The current account sustained its surplus, and the Sri Lankan Rupee appreciated under a flexible exchange rate regime. While consumers benefited from lower import prices, currency appreciation resulted in negative implications for exporters. Nevertheless, fiscal performance improved significantly in 2024, with the primary balance reporting a surplus for the second consecutive year.

Building on this progress, the country's recovery is expected to continue at 3.9% growth in 2025 and 3.4% in 2026, following a strong rebound in 2024. Furthermore, the 2025 budget has a primary surplus of 2.3% of GDP, aligning with International Monetary Fund (IMF) goals through broader tax reforms and the removal of certain exemptions. The budget has allocated resources to key sectors, including LKR 500 Mn. for tourism and USD 10 Mn. for digital transformation to generate USD 15 Bn. through the digital economy over five years.

Despite this positive momentum, recovery remains fragile. Inflation, which dropped from 17.4% to 1.2% in 2024, is expected to rise to 3.1% in 2025 and 4.5% in 2026, driven by increasing demand from the ongoing recovery, higher electricity tariffs, and possible currency depreciation. Meanwhile, the current account is expected to fall into deficit in 2025 and 2026 as imports accelerate and interest payments resume.

Sri Lanka Poultry Sector Performance: Domestic Growth and Export Expansion in 2024

In 2024, Sri Lanka's poultry sector demonstrated resilience and moderate growth despite facing a complex economic landscape, including fluctuations in feed prices and rising production costs. The industry is a major contributor to national food security, offering a primary source of affordable animal protein through chicken meat and eggs.

Day-old chick production reached LKR 184.80 Mn., recording an 11.02% increase during the year compared to the previous year.

Broiler meat production in December 2024 alone reached approximately 24,000 metric tons, with a cumulative annual total of nearly 258,000 metric tons, meeting domestic demand and contributing to a stable supply.

Exports of broiler chicken meat witnessed a notable increase, which rose by 36.59% compared to the previous year.

The cost of production remained high, with the average retail price for chicken meat at LKR 1,047.69/kg (fresh) and LKR 1,154.31/kg (frozen). Key raw materials for poultry feed manufacturing are maize and soybean meal and they make up a major portion of the feed cost and hence cost of chicken production as well.

Outlook for the Year 2025/26

The global poultry industry is expected to maintain steady growth through 2025–2026, driven by rising demand for affordable, high-protein food, especially in emerging markets. The market is projected to reach over USD 410 Bn. in 2025, with a growth rate of 5.4%, supported by production efficiency, natural selection and improvements in genetics and traits of poultry breeds, technological advancements, expansion in production in the Asia-Pacific region, and growing consumer interest in processed and value-added poultry products.

In Sri Lanka, the poultry sector is set to build on its resilience and high growth seen in 2024. Continued emphasis on domestic production, coupled with improved efficiency and in embracing new technology would support stability.

However, challenges such as high feed costs arising from the volatility in input, raw materials prices, risk of disease outbreak and trade uncertainties may persist. Addressing those through policy support, including consideration by the government in granting approval to import substitute raw material for maize would be crucial to ensuring a sustainable industry growth into 2025 and beyond.

Our Value Creation Process

Business Model

Vision

Delivering Value

Financial Capital

- Shareholders' funds
- Finance and leases payables
- Cash flow from operations



Manufactured Capital

- Hatchery capacity (grandparent, parent, and broiler farms)
- Short production cycle of broiler farms
- Feed production by the joint-venture company
- Shorter growing age of broilers to achieve the target weight
- Investment in new plant, technology and equipment



Intellectual Capital

- Research and development of new products
- New products/brands
- Brand building
- Online promotions
- Social media posts
- Digital payment portal
- Introduced digital app for visually impaired users



Social and Relationship Capital

- Broiler production by out-grower farms
- Farmers and collectors supply corn for poultry feed production
- Cold chain operators and transport providers.
- CSR activities and engagement with local communities.
- Engagement with State institutions handling livestock, agriculture, health, and food safety.



Human Capital

- Strong workplace culture and values
- Diverse and inclusive workforce
- High numbers of long-serving employees.
- Prioritizing training and career development for employees
- Compliance with labour laws and ethical practices



Natural Capital

- Electricity consumption – farms and factories
- Water consumption – farms and factories
- Land use for farming operations
- Greenhouse gas emissions monitoring
- Environmental compliance and certifications



Creating Value

Activities

Parent Farms

Grandparent Farms

Sales and Marketing
Finance and other Support Services
Distribution

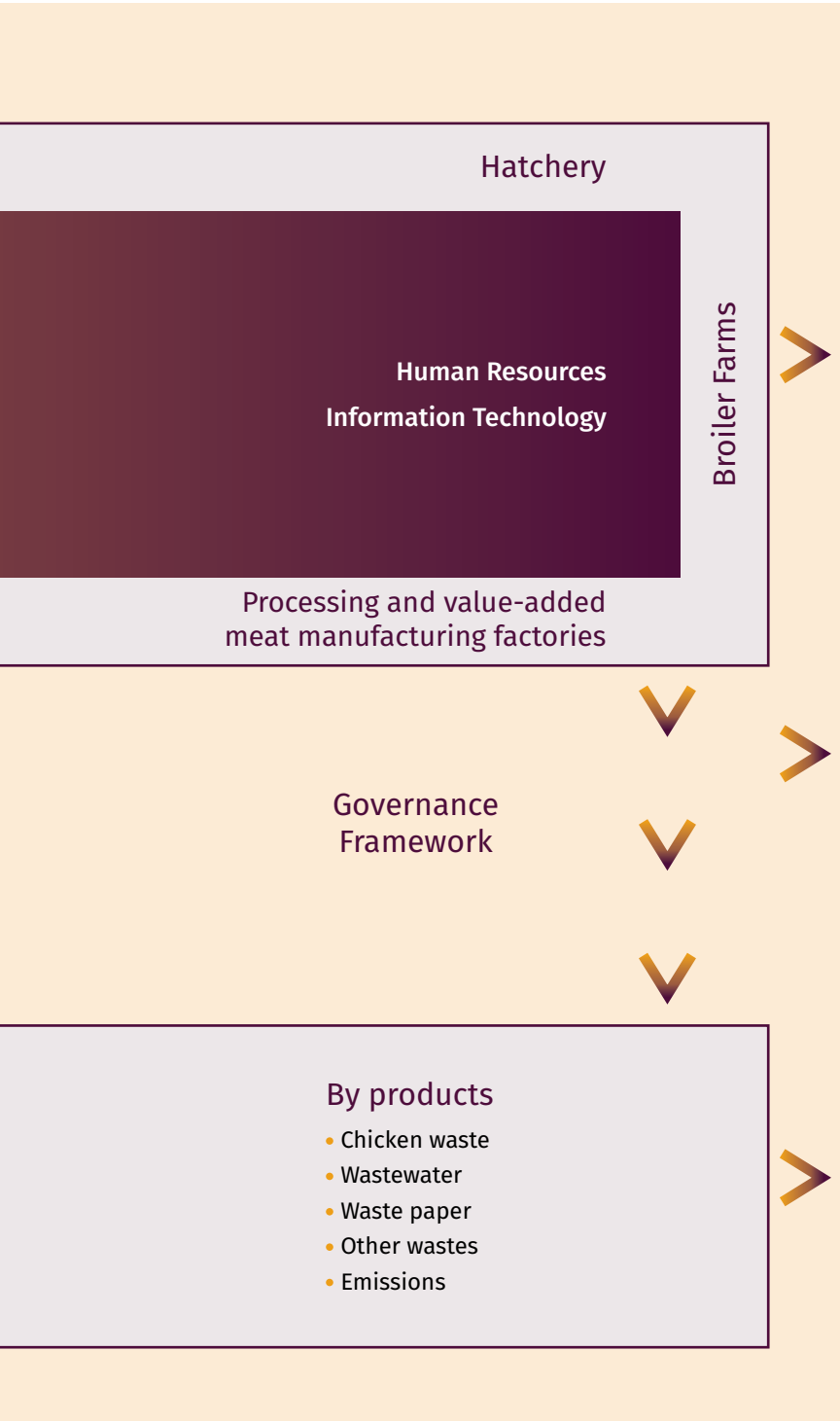
Feed Mill

Risk
Management
Framework

Products

- Processed chicken products
- Value-added chicken and other products
- Broiler day-old-chicks
- Poultry feed

Mission



Delivering Value

Shareholders and Investors

- Dividends
- Increase in Share price
- Strategic business expansion
- Sound governance and transparency



Customers

- Delivery of value-added products
- Competitive pricing and a wide choice of products.
- A widely accepted and healthy form of animal protein.
- Introduced new, affordable SKU sizes to cater to cost-conscious consumers.



Business Partners

- Income for out-grower farmers who rear broilers
- Income for rural corn farmers
- Expanding the number of broiler farmers/ corn farmers
- A substantial percentage of sales take place through small retailers, grocery shops and farm shops.



Employees

- Employee loyalty as an indicator of job satisfaction
- Increase in remuneration
- Training programmes for skill development.
- Help to Learn initiative supports employees' school-going children with school bags, stationery and other educational supplies.



Environment

- Manure produced from poultry litter/dung
- Solar power to national grid
- Optimizing electricity usage in farms and facilities
- Improving water re-cycling and utilization in farms and factories
- Environment conservation through re-forestation and tree planting initiatives

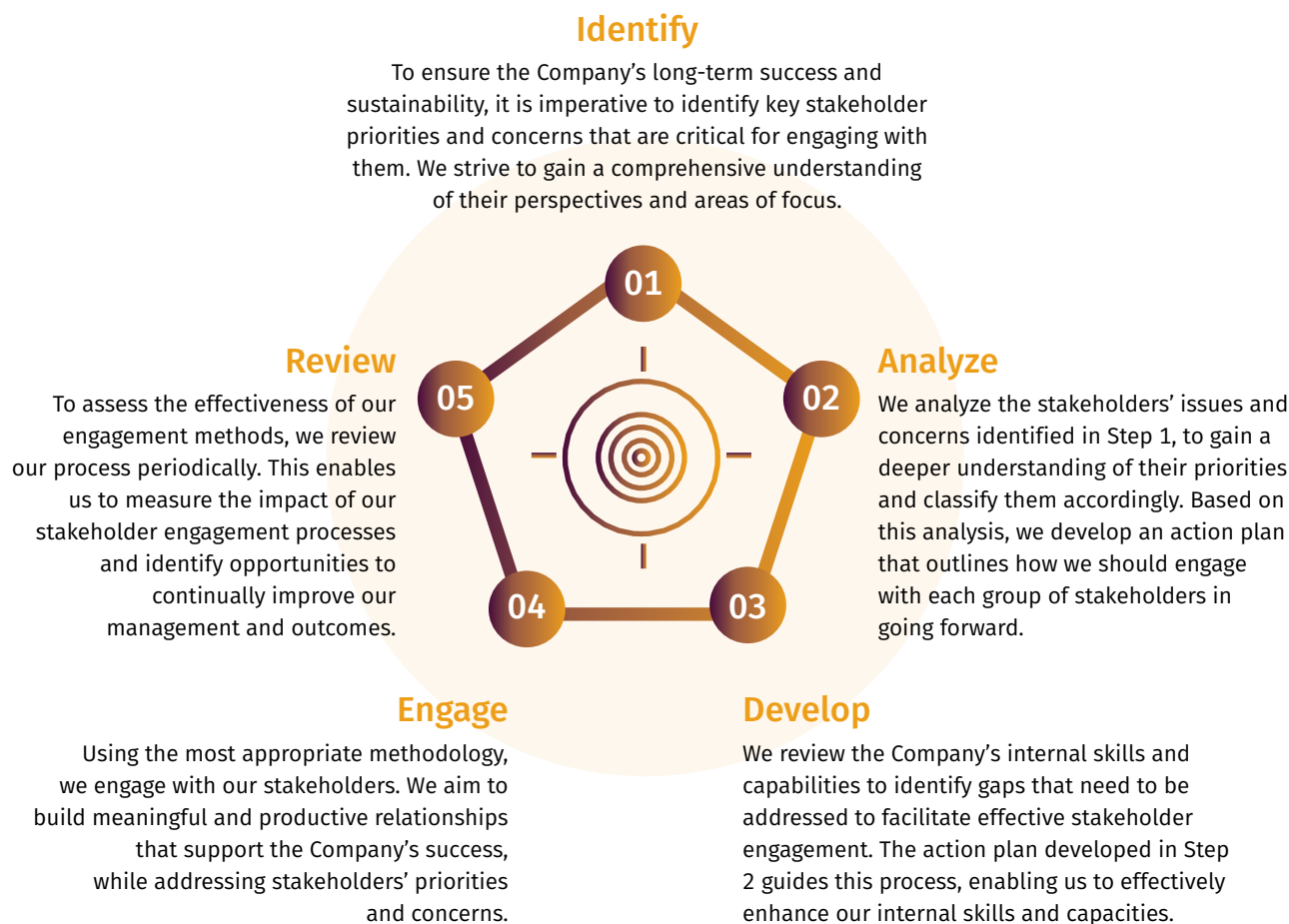


Bairaha focuses on establishing enduring partnerships with its stakeholders, recognizing that these relationships are fundamental to continuous growth and success. The Company has formed strong, trustworthy relationships that have played an essential role in its development over the

years. Understanding their important role in shaping the value creation process, Bairaha is dedicated to cultivating constructive and productive relationships. In alignment with the United Nations Sustainable Development Goal 17 (SDG 17), the Company safeguards the longevity and resilience of these partnerships.

The Five-Step Method

We employ a Five-Step framework that guides our engagement with stakeholders.



Strategic Relationship Building

Bairaha's process for establishing effective stakeholder engagement is as follows:

- **Building Key Relationships:** Bairaha's focus is on developing long-term partnerships with its main customers, suppliers and other stakeholders. Where needed the Company has provided with customized products for certain institutions.
- **Proactively Take Action:** To continuously deliver value, the Company must make timely and informed decisions. To achieve this Bairaha engages proactively with customers to obtain feedbacks for informed decision making, while being agile in adapting to market dynamics.
- **Research-based Strategic Decisions:** New product development (NPD) is ongoing, to seek new market segments with more variety of products to serve a wider market segment.
- **Customer Engagement Mechanism:** Bairaha maintains open and deep connections with customers through a dedicated customer support hotline, active social media engagement, a constantly updated website, and with other sales and marketing communication.

Employee Well-being and Growth

Bairaha's success is highly dependent on the dedication and satisfaction of its staff. The Company has established an environment of open communication, and a transparent performance review system to ensure that every employee feels heard and valued, thereby strengthening employee relationships.

Bairaha offers fair and stable employment, focusing on internal promotions and career development opportunities to help employees. Additionally, the Company provides financial assistance to pursue education, based on a case-by-case basis. Bairaha also maintains high standards of health and safety across all its facilities, building a protective and supportive environment for all employees. Beyond the workplace, Bairaha extends support to employees' families. Reinforcing its commitment to employee satisfaction and workplace culture, Bairaha was recently awarded the prestigious 'Best Place to Work' certification, reflecting the trust and positive engagement of its workforce.

Customer Commitment and Quality Product Offering

The Company acknowledges that customers play an important role in determining its success and in shaping its direction. Bairaha strives hard to deliver high-quality goods and services at reasonable and competitive prices to its customers.

The Company's product portfolio includes a diverse and well-designed range of products to serve varied needs of its customers and they are available across several distribution channels, such as modern trade, general trade, standalone supermarkets, quick-service restaurant (QSR) establishments, and the food service sector. The Company's strong presence across all provinces is strengthened by a dedicated field sales force that responds immediately to customer inquiries and issues, maintaining a seamless and satisfying experience.

The Company also holds certifications in internationally recognized food safety and quality standards, including FSSC 22000, ISO 9001:2015, ISO 22000:2018, HACCP (Hazard Analysis and Critical Control Points), and Good Manufacturing Practices (GMP), SLS product certification as well as GSO/ Halal certification thereby ensuring its products meet the global standards.

Stakeholder Returns

Bairaha is committed to creating a long-term sustainable business for its shareholders/investors and its employees by generating adequate returns, and paying attractive remuneration, respectively. The Company's strategic focus is on expanding its presence in the value-added meat products segment, recognizing it as a key growth driver that offers higher margins, greater brand differentiation, and enhanced customer loyalty. The Company continues to invest in new processes and technology, product development, and undertake market research to capture greater value across the meat value chain.

Strong Shareholder Relations

Bairaha is committed to keeping shareholders well-informed about its operations. The Company regularly disseminates annual reports, quarterly interim financial statements, circulars, and disclosures to both shareholders and the Colombo Stock Exchange, to ensure adherence to regulatory requirements and industry best practices. Bairaha's experienced Board of Directors offers strategic oversight and ensures that management decisions align with shareholder expectations and interests.

The Company maintains high ethical standards through its Code of Conduct, and ensures adherence to legal and regulatory standards. To maintain strong governance standards, the Company involves independent internal auditors and advisors to analyze practices and provide objective assessments to enhance governance frameworks. Shareholder feedback is actively encouraged and considered, enabling a two-way dialogue that supports transparency and continuous improvement. Bairaha values the trust and support of the shareholders, and remains dedicated to ensuring that they stay informed to drive sustainable growth and long-term success.

Supplier Relationship Management

The Company's operations are supported by a stable and an efficient supply chain. Bairaha focuses on building and maintaining strong partnerships with suppliers by maintaining open, continuous communication throughout the procurement process. Supplier risk assessments and contingency planning are in place to mitigate potential supply disruptions and ensure business continuity. Bairaha actively collaborates with suppliers to align with its sustainability goals, including responsible sourcing and reducing environmental impact. A formal supplier feedback mechanism allows partners to raise concerns and suggestions, promoting continuous improvement and collaboration.

Strategic Business Alliances and Operations

The Company provides technical support to poultry farmers and organizations with its own staff and as well as those experts from abroad. When necessary also organizes seminars and workshops to its customers involved in poultry production, to impart knowledge to improve farm productivity.

Ensuring Regulatory Compliance

The Company's operations are guided by standard operating procedures (SOPs), covering all aspects of work to meet regulatory and quality standards. Through training programmes, Bairaha equips employees with the necessary skills to meet standards and adherence to regulations. Besides, the Company also organizes regular internal audits to evaluate compliance with regulatory requirements and other standards.

Empowering Communities

Bairaha places a strong emphasis on sourcing raw materials and intermediate products from local suppliers and businesses, uplifting local entrepreneurship and enhancing the resilience of the supply chain. By building mutually beneficial relationships with farmers, organizations, individuals, and communities, Bairaha creates a framework that drives shared success.

Additionally, the Company offers a management trainee programme to provide newly graduated individuals with practical experience and a pathway to employment, both within and beyond the Company.

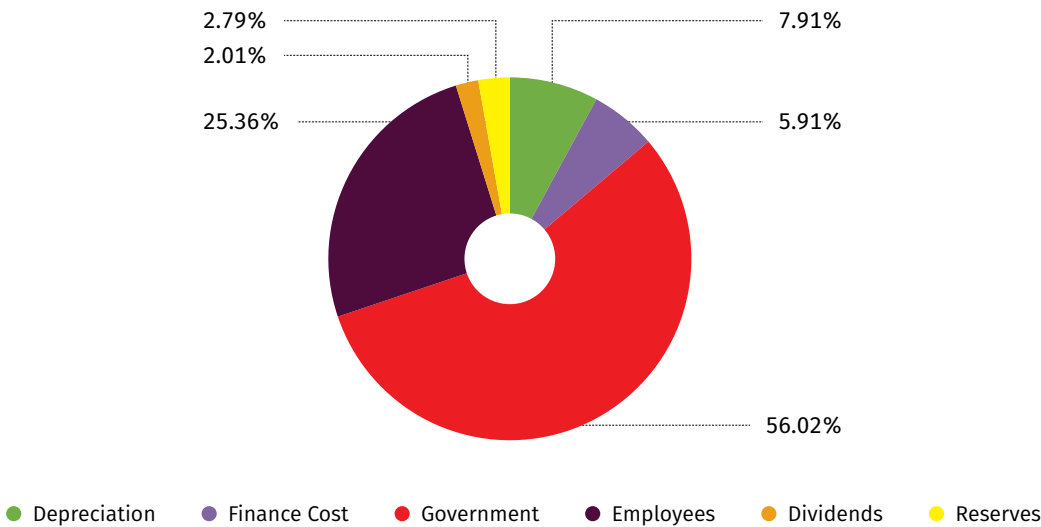
Future Expansion and Product Focus

Looking ahead to 2025/26, the Company has outlined strategic plans to drive growth and enhance market presence. A key focus will be expanding outlet penetration. Moreover, the Company plans to further capitalize on modern trade channels, food service (FS), and QSR segments to unlock new revenue streams and reinforce its leadership position in the industry.

Economic Value Added Statement

	31st March 2025 LKR '000	%	31st March 2024 LKR '000	%
Revenue	16,359,855		15,968,741	
Less: Cost of Materials and Services Purchased	(11,988,771)		(11,131,884)	
Value Added	4,371,084		4,836,857	
To Employees as Remuneration	1,108,309	25.36	880,661	20.15
To Government as Taxes	2,448,518	56.02	2,687,725	61.49
To Providers of Capital				
Finance Cost on Borrowings	258,423	5.91	390,706	8.94
Dividends to the Shareholders	88,000	2.01	128,480	2.94
Retained in the Business as				
Depreciation	345,678	7.91	313,503	7.17
Reserves	122,156	2.79	435,782	9.97
	4,371,084	100.00	4,836,857	100.00

Value Added Statement



Bairaha's long-term growth strategy has been carefully planned based on available data, market trends, and data gleaned from shifting market conditions and evolving stakeholder expectations. Despite having experienced numerous challenging economic conditions, we remain focused in being as a leading player in the competitive poultry industry.

Responsible Production

We consider it as one of our objective to offer quality and nutritious products at reasonable prices to the general public. Throughout our operations, from poultry farming to supply of products to customers, we adhere to strict controls, hygiene, and food safety standards. We are also committed to responsible and sustainable farming practices, aligning with global trends in animal welfare and environmental stewardship.

Boosting Productivity

Through enhanced process automation and digitalization, we have been able to improve processes, enabling faster and better-informed decision-making. Moreover, these improvements have proved beneficial as they have enabled us to streamline procedures, sales, supply chain management, and logistics, resulting in smoother workflows, greater responsiveness, and improved overall performance.

Process improvements that we continue to make, contribute to our overall efficiency. In addition, as a result of the progress made in natural selection for specific traits and genetics by our principal, primary breeding company, our breeding farms should benefit from improved parent breeding flocks from the last quarter of the financial year in progress.

Sustainable Growth

As part of our growth strategy, we remain committed to making strategic investments in expanding our product portfolio.

We maintain our focus on environmental sustainability and awareness, to minimize the environmental impact of our operations at all levels, through responsible practices and increased awareness. Efforts are ongoing to reduce our carbon footprint by optimizing the usage of natural resources including energy, by investing in and introducing renewable energy sources where they are considered to be viable. We also hold in high regard the relationships we have established with our clients, vendors, and farmers, and consider their wellbeing as an integral part to our long-term success as a company. Our inclusive approach ensures that our contract farmers, in particular, are provided training, veterinary assistance, and other support needed to thrive.

During the year under review, over 18,000 cinnamon trees and 1,000 pineapple trees were planted in Company-owned lands as part of the initiative in supporting re-forestation, environmental and sustainability endeavours. Moreover, used water continued to be treated before discharge and recycled as needed, in line with our environmental stewardship programme.

Financial Position and Strength of Our Brand

At Bairaha, we constantly seek investment opportunities that ensure steady and sustainable growth for the Company while maintaining a strong liquidity position. Our investment strategy remains disciplined and focused, with a firm emphasis on long-term value creation and risk mitigation. The Company's achievements are evident in its strategic and timely investments in backward and forward integration. In the year under review, despite being faced with several challenges in the main market segments, the Group managed to report a profit of LKR 122 Mn. compared to the LKR 436 Mn. profit earned during the previous financial year. This resilience highlights our ability to adapt swiftly to market fluctuations, volatility in input cost, and shifting consumer dynamics.

Building on the trust and loyalty that the Company has earned in the last five decades, we continue to strengthen our market presence, with focus on long-term value creation. We expect growth in exports from our export-oriented subsidiary, Global Reach Foods (Pvt) Ltd. in the year in progress and beyond.

Enhancing Stakeholder Relationships

Our sustainability depends on strengthening the healthy relationships that we have built with our stakeholders. We strongly believe in establishing mutually beneficial relationships with customers, suppliers, shareholders, distributors, lenders, and government agencies, as they are of utmost importance for the stability and growth of the Company. Our governance practices also promote transparency and accountability, and in ensuring that stakeholders are adequately informed. By paying attention to their needs and expectations, we could look forward to further enhancing our relationships with those stakeholders and in seeking to achieve favourable outcomes for all parties concerned.

We have strengthened our engagement with customers and stakeholders through multiple channels, including social media, website, and through other forms of communications.

Further details regarding the Company's engagement with stakeholders are discussed under the Stakeholder Engagement section on page 22, and in the Management Discussion and Analysis from pages 29 to 56.

Employee Engagement

Bairaha's foundation is built on the dedication, effort, and loyalty of our employees. We are responsible for assisting our employees in reaching their full potential through a culture of open communication, in offering equal opportunities for career growth, and prioritizing their well-being. Diversity, equity, and inclusion remain central to our human resource management and in ensuring a collaborative and empowering workplace across all locations. We highly value the contribution that continue to be made by employees and recognize them as the main driving force behind our continued success.

We also invest in leadership development, technical upskilling, and cross-functional training to build agile teams ready to respond to changing business needs.

A detailed overview of the Company's employees' value proposition is presented in the Human Capital section on pages 40 to 47.

Bairaha recognizes and evaluates the key factors that are considered material to its business with the capacity to influence the Group’s long-term operations. These factors are those deemed capable of affecting the Company’s performance and its ability to generate value, thereby impacting stakeholder interests.

Significant and emerging economic and industry trends, along with factors relevant to the Group’s goals and value creation capabilities, are also considered crucial for this evaluation.

Based on this analysis, Bairaha has identified 13 material topics that are key to its operating environment, including related opportunities and challenges. The table provided below, developed in line with Global Reporting Initiative (GRI) standards, captures an overview of both Bairaha and its key stakeholders. This materiality assessment helps the Company to recognize the gaps and opportunities, allocate resources efficiently, and set priorities that align with business needs.

Material Topic	Priority	GRI Standards
Employee health and safety	No change	GRI 403: Occupational Health and Safety
Macroeconomic issues and impact on the industry	Increased in importance	GRI 201: Economic Performance
Fair compensation for employees and non-discrimination	Increased in importance	GRI 401: Employment GRI 405: Diversity and Equal Opportunity
Financial health and performance	Increased in importance	GRI 201: Economic Performance
Responsible production and food safety	No change	GRI 416: Customer Health and Safety
Supply chain management and ethical sourcing	Increased in importance	GRI 414: Supplier Social Assessment GRI 417: Marketing and Labeling
Optimizing distribution channels	Increased in importance	GRI 203: Indirect Economic Impacts
Pollution, waste, and effluents	No change	GRI 301: Materials GRI 302: Energy GRI 303: Water and Effluents GRI 305: Emissions GRI 306: Waste
Innovation and digital transformation	Increased in importance	GRI 203: Indirect Economic Impacts
Talent management	Increased in importance	GRI 401: Employment GRI 402: Labour/Management Relations GRI 404: Training and Education
Community relations	No change	GRI 413: Local Communities
Manufacturing capabilities	No change	GRI 203: Indirect Economic Impacts
Animal welfare and ethical farming practices	Increased in importance	GRI 416: Customer Health and Safety

By continuously reviewing and updating its material topics, Bairaha Farms PLC ensures that its strategic focus remains aligned with the evolving expectations of stakeholders and global sustainability standards. This proactive approach enables the Group to identify early key risks and opportunities for timely decision-making, and reinforce its commitment to responsible and resilient business practices. Going forward, Bairaha will continue to engage with stakeholders and monitor emerging trends to ensure its materiality assessment remains dynamic, relevant, and integrated into its long-term value creation strategy.

Management Discussion and Analysis

Financial Capital	030
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Financial Performance

Five-Year Revenue, Profitability and Return Metrics

Financial Year	2024/25 LKR Mn.	2023/24 LKR Mn.	2022/23 LKR Mn.	2021/22 LKR Mn.	2020/21 LKR Mn.
Revenue	13,916	13,291	11,868	6,742	5,057
Profit from operations (without JV)	105	559	367	663	256
Net profit	122	436	283	765	347
Return on average equity (%)	2.1	7.92	5.66	17.2	8.9

The financial year under review tested the agility and resilience of Bairaha as the Company navigated through dynamic and often challenging market conditions. Performance varied significantly across quarters, determined largely by supply-demand imbalances in the day-old chick (DOC) and processed chicken segments.

The first quarter set a positive tone, with robust demand and favourable pricing contributing to a profit of LKR 147 Mn. However, this momentum was disrupted in the subsequent quarters due to an industry-wide oversupply of DOC and processed chicken, which led to a sharp correction in market prices. Heightened competition and reduced margin during this period resulted in losses in the second and third quarters. Demonstrating its adaptability, Bairaha made a recovery in the fourth quarter, recording a profit of LKR 122 Mn. This turnaround was driven by a temporary surge in demand and prices in the DOC and live bird markets, coupled with more stable operational performance.

To mitigate the impact of external pressures, the Company responded proactively with a range of cost rationalization measures. These included enhancing operational efficiencies, streamlining resource use, and strengthening internal controls across its production and sales functions. In parallel, Bairaha intensified its efforts to broaden market reach, actively identifying new customer segments and exploring other distribution strategies.

Looking ahead, Bairaha Farms PLC remains committed to a strategy of resilience and agility, recognizing that adaptability is key in a volatile market environment. The Company continues to monitor industry trends closely and remains focused on driving sustainable value through prudent management and long-term strategic planning.

Profit by Quarter

Financial Year	Q1 LKR Mn.	Q2 LKR Mn.	Q3 LKR Mn.	Q4 LKR Mn.
2023/24	232	264	(112)	52
2024/25	147	(109)	(37)	121

Summary of the Group Financial Performance

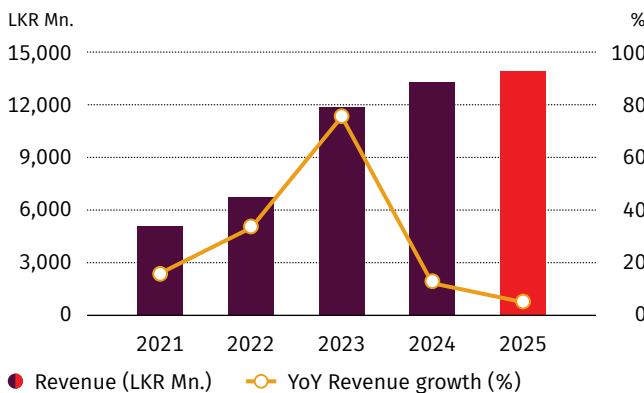
Financial Year	2024/25 LKR Mn.	2023/24 LKR Mn.
Revenue	13,916	13,291
Gross profit	1,733	2,156
Operating expenses	1,647	1,644
Operating profit	105	559
Share of profit from joint ventures	286	262
Profit before tax	133	430
Profit for the year	122	436
Key ratios		
Gross profit margin (%)	12.5	16.2
Operating profit margin (%)	0.8	4.2
Net profit margin (%)	0.9	3.3



Revenue

The Group recorded revenue of LKR 13,916 Mn. for the financial year 2024/25, reflecting a 4.7% increase compared to LKR 13,291 Mn. in the previous year. This growth was achieved despite a decline in market prices for both day-old chicks and processed chicken. Growth in sales reflect the Company's focus on market and product diversification and volume-driven strategies to sustain topline growth amid price pressures.

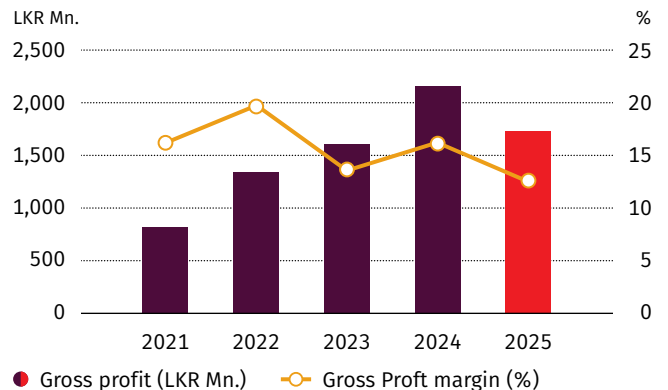
Revenue Analysis



Gross Profit

Gross profit for the financial year 2024/25 declined to LKR 1,733 Mn. from LKR 2,156 Mn. in 2023/24, reflecting a contraction in the gross profit margin from 16.2% to 12.5%. This decline was primarily attributed to a reduction in average selling prices of day-old chicks and chicken, as well as due to continued volatility in feed costs. The sharp fluctuations in raw material prices for feed production exerted pressure on the Group's cost structure, adversely affecting overall profitability. This impact persisted despite higher sales volumes, highlighting the sensitivity of margins to external cost pressures.

Gross Profit Analysis



Operating Expenses

During the financial year 2024/25, the Group observed a notable improvement in cost efficiency, particularly within its distribution operations. Distribution expenses decreased by LKR 72 Mn. compared to the previous year, primarily due to lower fuel prices and more effective delivery planning. Strategic initiatives such as route optimization and enhanced logistics coordination played a key role in reducing transportation costs. In addition, the recovery of previously impaired trade receivables further supported this positive trend, contributing to the overall reduction in distribution related overheads.

In contrast, administrative expenses increased by LKR 75 Mn. during the year. This rise is largely attributable to the higher Social Security Contribution Levy (SSCL), which escalated in line with the increase in Company revenue. Additionally, the increase reflects higher staff-related costs, Director's Emoluments, and rising outlays on travel, insurance, and security services.

The Company continues to monitor cost structures closely and remains committed to improving operational efficiency while ensuring adequate investment in new technology, talent building, governance, and systems to support long-term growth.



Finance Cost

In the financial year 2024/25, the Group's finance costs decreased to LKR 258 Mn. from LKR 391 Mn. in the previous year. This reduction was largely driven by lower market lending rates, as reflected by the Average Weighted Prime Lending Rate, which declined from 11.11% in March 2024 to 8.39% by March 2025. This favourable trend in interest rates was supported by the continuation of accommodative monetary policy measures implemented by the Central Bank of Sri Lanka, aimed at stimulating economic activity and improving credit conditions.

In parallel, the Group's prudent management of working capital and its overall debt position enabled it to reduce its debt levels despite challenging business conditions. This combination of disciplined financial management and a more favourable interest rate environment contributed to the reduction in finance costs during the year.

Profits from Joint Venture Operations

The Group's share of profit from joint venture operations increased to LKR 286 Mn., up from LKR 262 Mn. in the previous year. This improvement was attributed in particular to the steady volume in production and performance of the feed mill operation, which demonstrated resilience despite ongoing volatility in raw material prices, particularly maize, in both local and international markets. While the grandparent farming segment continues to recover from the previous year's demand disruptions, there were early signs of renewed market demand heading into 2025/26, indicating a positive outlook for the segment. The Group remains optimistic that sustained recovery and improved operational efficiencies across the joint venture portfolio will further strengthen profitability in the years ahead.

Financial Position

Summary of the Group Financial Position

Financial Year	2024/25 LKR Mn.	2023/24 LKR Mn.	Change	Change %
Total assets	9,830	9,470	360	3.8%
Total borrowings	2,258	2,463	(205)	-8.3%
Total equity	5,844	5,808	36	0.6%
Key ratios				
Debt to capital	27.9%	29.8%		
Current Ratio	1.31	1.34		
Financial leverage	1.7	1.6		

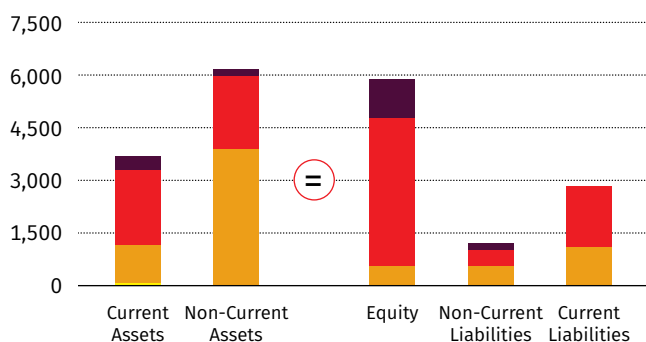
As at the end of the financial year 2024/25, the Group's total assets grew by LKR 360 Mn., reaching LKR. 9.83 Bn., representing a 3.8% year-on-year growth. This increase was primarily driven by a LKR 123 Mn. net addition to property, plant, and equipment, underscoring the Group's ongoing commitment to enhancing its operational infrastructure. Additionally, cash and bank balances improved by LKR 86 Mn., strengthening the Group's liquidity position. Inventory levels also rose by LKR 85 Mn., reflecting higher production volumes aligned with increased sales activity during the year.

During the year, the Group successfully reduced its net borrowings by LKR 240 Mn., reinforcing its commitment to prudent financial management. The gearing ratio remains at a comfortable level, providing the financial flexibility needed to support future expansion plans and strategic investments. Furthermore, the Group maintained a healthy short-term liquidity position, as evidenced by a current ratio of 1.31 times, ensuring its ability to meet operational and financial obligations in the near term. This strong financial foundation positions the Group well to capitalize on emerging opportunities while withstanding market volatility.



Group Financial Position

as at 31st March 2025
LKR Mn.



Current Assets	Non-Current Assets	Equity	Non-Current Liabilities	Current Liabilities
● Receivables	PPE	Stated Capital	Borrowings	Payables
● Inventories	Investment in JV	Retained Earnings	Deferred Tax	Borrowings
● Cash	Other	Other Reserves	Other	
● Other				

Cash Flow Management

Summary of the Group Cashflow Statement

Financial Year	2024/25 LKR Mn.	2023/24 LKR Mn.	Change LKR Mn.
Net cash from operating activities	1,760	1,932	(172)
Net cash used in investing activities	(1,388)	(2,186)	798
Net cash generated by financing activities	(327)	298	(625)
Net Increase in Cash and cash equivalents	46	45	1
Key ratios			
Quick ratio	0.5	0.6	
Working capital turnover	5.7	5.1	

The Group witnessed a reduction of LKR 172 Mn. in net cash generated from operating activities during the financial year 2024/25 compared to the prior year. This was largely attributable to the decline in operating profitability, as outlined earlier in the report. However, the negative impact was partially mitigated by disciplined working capital management, with particular emphasis on the effective management of payables and receivables. Additionally, the easing of borrowing costs due to reduced market interest rates contributed positively to the Group's overall liquidity position. Despite reduced operating inflows, the Group maintained a balanced approach to cash deployment, continuing its investments in fixed and biological assets while preserving financial flexibility to support long-term growth.



Shareholder Returns

Financial Year	2024/25	2023/24
Per share data		
Earnings per share (LKR)	7.11	24.76
Net assets per share (LKR)	332.02	330.03
Dividend per share (LKR)	5.00	7.30
Market price per share (LKR)	164.75	173.00
Key ratios		
Price earnings ratio (Times)	23.17	6.99
Price to book value (Times)	0.50	0.52
Dividend payout (%)	70.30	29.50
Dividend yield (%)	3.00	4.20

Despite the challenging market conditions during the period, the Company demonstrated its commitment to delivering consistent shareholder returns by declaring and paying a second interim dividend of LKR 2.50 per share for the financial year 2023/24 on 1st July 2024, and an interim dividend of LKR 2.50 per share for the financial year 2024/25 on 28th March 2025. This reflects the Company’s strong commitment to maintaining shareholder confidence during a period of reduced earnings and rising operational costs.

Strategic Outlook for 2025-2028

Bairaha Farms PLC foresees a period of both challenges and transformation in the poultry industry over the next three years. While short-term market dynamics remain volatile due to oversupply and price competition, ongoing consolidation among smaller players may pave the way for greater price stability and improved margins. The Company’s sustained focus on operational efficiency, cost containment, and route-to-market optimization is expected to help safeguard profitability during this transitional period.

A critical external factor shaping export competitiveness is the rising cost of broiler feed in Sri Lanka. As reported by the U.S. Soybean Export Council in March 2025, Sri Lanka records the highest broiler feed cost in South Asia at USD 0.92/kg significantly above regional averages such as India (USD 0.36/Kg), Pakistan (USD 0.49/Kg), and Bangladesh (USD 0.56-0.57/Kg). This cost disadvantage, are on account of lower productivity in corn cultivation, involvement of traders/middlemen as stockists, high special commodity levy of LKR 25/Kg on imported corn and domestic supply inefficiencies, have contributed to comparatively higher farm-gate broiler prices to USD 2.30/Kg, limiting Sri Lanka’s competitiveness in export markets.

To mitigate this, Bairaha continues to advocate for regulatory reforms that support more affordable and stable feed pricing through timely issue of permit to import corn and/ or alternatives like/wheat/sorghum and to take necessary measures to improve productivity in corn cultivation and seek ways and means to directly connect farmers with feed-millers. In parallel, the Company is strengthening its integrated business model, by also commencing the import of genetically superior Cobb grandparent broiler breeder chicks from May 2025 to enhance parent broiler breeder farms’ productivity.

Through a combination of strategic initiatives, operational discipline, and policy engagement, Bairaha Farms PLC is well-positioned to navigate current headwinds and pursue sustainable growth in the years ahead.

Manufactured Capital



Management Discussion and Analysis

Building on a Solid Foundation: Driving Growth through Vertically Integrated Operations

Since the Company's establishment in 1975, Bairaha has amassed an extensive asset base. Bairaha's first Parent Breeding Farm and Hatchery were established in 1976 in Katana. The Company has continuously improved its processes and facilities since then. Furthermore, the inauguration of the Contract Growing Scheme in 1986 enabled farmers in the Gampaha, Puttalam, and Kurunegala districts to grow and supply live broiler birds to the Company, and which was a remarkable initiative of Bairaha in enabling it to build within a decade, a strong vertically integrated value chain. This initiative of the Company has encouraged then existing organizations as well as new entrants to jump on the bandwagon to establish similar set up in with respect to poultry farming and production.

The Company's vertically integrated production operation is a distinctive advantage in terms of operation that enables it to operate smoothly. Through the Company's joint-venture feed mill company, Fortune Agro Industries Pvt Ltd, which produces high-quality feed and the other joint venture company, Fortune GP Farms Lanka Ltd, which operates a grandparent breeder farm and a hatchery, produces and supplies broiler parent breeder chicks to companies in the Group and to other poultry producers in the country. By producing within the country broiler parent breeder chicks and supplying them to meet both internal and market requirements, Fortune GP Farms Lanka Ltd ensures that there is an adequate production of parent breeder broiler day old chicks while assisting to save foreign exchange through import substitution.



Corn storage drying and cooling facility at the Factory in the Moneragala District

Bairaha operates its own poultry processing plant which is regularly upgraded to maintain standards, and capacity also continues to be expanded, as needed to meet market requirements. Sales distribution is undertaken with the Company's own staff and fleet of vehicles as well those from distributors/agents.

The Company considers investment made in new technology and digitalizing processes as being important factors in improving process controls and productivity. During the year under review, process upgrades were made to enhance productivity and product quality. A notable technological advancement during the year was in implementing an RFID tracking system for fixed assets, and in doing so streamlining asset transfers and verification for better control. In addition, the Company also augmented its production capacity as well as developed and introduced new products with the expansion of value-added meat products range.



Specimen design of the coolroom



Product Portfolio and Distribution Network

Bairaha continues to strengthen its manufactured capital by expanding its product portfolio. The Company currently offers a diverse range of products, which include sausages, meatballs, slices, burgers, marinated and breaded products. Those products are distributed throughout the country utilizing channels such as modern trade, general trade, standalone supermarkets, quick service restaurants (QSRs), and other outlets. Moreover, the Company is actively engaged in the process of expanding its sales and distribution operations to make its' products accessible and available at convenient locations for consumers.





Forging Ahead Despite Challenges: Strengthening Capacity and Market Expansion

In 2024, Bairaha encountered several challenges. A glut situation arose in the market due to the overproduction of chicks, intensified competition, and impacted both prices and margins. A non-level playing field from the so-called grey market segment also impacted adversely the sales and margins of the Company. Congestion at Colombo Port at times disrupted the export of chicken products.

Although the Company continues to face challenges, including market volatility and disruptions at times to its operations, Bairaha has a long-standing history of resilience and rising above challenges. Building on this strength, the Company continues to enhance its production capabilities and expand its product portfolio and markets. A state-of-the-art 500MT capacity cold storage facility is being built adjoining the chicken processing factory to support the expansion of the factory while intending to improve process and efficiency.

Effective Operational Risk Management

As a market leader and trusted household brand, Bairaha remains deeply committed to sustainable growth. Accordingly, the Company continues to strengthen its manufacturing capital while identifying and effectively managing operational risks.



Staff team at the farm following the successful completion of RFID-based fixed asset verification



Chicken export shipment



Ongoing construction of the new cold storage facility



Cobb technical team and Bairaha management in a discussion



The Company continues to embrace new technology and processes when feasible to do so, to improve efficiency and productivity. Further it also utilizes the expertise, long experience of staff together with new technology in its endeavour to generate value for its stakeholders.

Strong Corporate Culture

The Company's corporate culture is fundamental to its success. It is deeply rooted in the value system, which underscores five core values: Integrity, Respectfulness, Teamwork, Positive Attitude, and Initiative, which form as the base of its corporate ethos.

Strengthening Brand Value

Bairaha Farms PLC, with nearly five decades in providing services to farmers and customers is recognized as a trusted name in Sri Lanka's poultry industry. The Company owns the trademarks of "Bairaha Farms" and "Bairaha Foods," which are well recognized and represented in the poultry industry as well among the consumers.

Leveraging Digitalization

Bairaha has its own on-line ordering and delivering system for the consumers based in Colombo. In realizing the growing importance of digital engagement, the Company continues to upgrade this channel for on-line ordering and purchasing while continuously reviews consumer feedback from online customers for making improvements.



In the financial year under review the Company activated WhatsApp chat system to enable real-time communication with customers. Furthermore, the Company introduced the "Third Eye" app to help visually impaired users identify recipes and objects while it being also as a tool for the visually impaired students to assist in their studies.

Bairaha has also made use of digital advertising across platforms such as Google, Instagram, YouTube, and Facebook. Those efforts demonstrate Bairaha's plan to widen its reach in making its products available for the convenience of its customers.

Updating E-commerce Channels

The Bairaha website and e-commerce platforms are constantly being updated to provide a greater customer experience and in bringing awareness to its product range. The website updates include those relating to new product launches, recipes, cooking tips and industry-related insights.

Product Development

During the year, the Company has developed new products, particularly for the HORECA (Hotels, Restaurants, and Catering) segment. This initiative was driven by the progress in the Sri Lanka's tourism industry, which has further potential for growth.

Enhanced Marketing Initiatives

For brand development activities, the Company besides engaging in the social media also focused on Below-the-Line (BTL) activities, such as participation in exhibitions, food festivals, housewives' programmes, supermarket promotions among others. Those endeavours helped to strengthen the brand's visibility and customer awareness.





Awards and Recognition

In the year under review, Bairaha was recognized with various accreditations, prestigious awards, and achievements, showcasing its excellence in the industry. The Company achieved a Silver Award at the TAGS Awards 2024, organized by the Institute of Chartered Accountants of Sri Lanka. Bairaha was honoured with the Silver Award in the Poultry & Livestock Sector – Medium Category at the 32nd Annual Export Awards, organized by the National Chamber of Exporters of Sri Lanka. Additionally, we received the Certificate of Ethical Trading

from the Chamber, valid from 24th April 2025, to 23rd April 2027. The Company was also awarded with FSSC 22000, Food Safety Management System certification by the Sri Lanka Standards Institution. Those awards and achievements underscore the Company's adherence to regulations, transparency, accountability, governance, sustainability, quality standards, among others. In doing so, the Company has contributed for the well-being of the people, industry and economic and social progress of the Country.





Bairaha Farms PLC is led by enduring family principles that form the foundation of its business ethos, encompassing integrity, respect, initiative, teamwork, and positivity. The dedication and resilience of its employees is the driving force behind the Company's continued success, with staff members having consistently risen to the occasion, particularly in periods of challenges and hardship.

Incentive Programmes Based on Productivity Improvements

The incentive programmes that have been introduced motivates and supports employees in uplifting their performance, and encourages them to actively contribute to the Company's success. In addition, there are other programmes and initiatives to recognize and reward deserving employees while continuing to build a result driven and high-performance work culture.

During the year under review, Bairaha implemented a comprehensive performance appraisal system based on a 90-degree evaluation method. This method assists in the employee performance review process by also combining feedback from supervisors with self-assessments. The Company with its key performance indicators (KPIs) monitors the staff performance with a view to achieving the Company's goals and objectives.

A Career Committee manages the normalization of appraisals and career growth, to maintain fairness and transparency. This ensures that evaluations are aligned with company standards, while helping individual in their professional growth and personal development.

Empowering a Diverse Workforce: Commitment to Growth and Innovation

Bairaha Farms PLC focuses on enriching its staff with skills and by empowering its dynamic and diverse labour force, and in doing so has laid the foundation, among other things, for the employees to meet the expectations of the management. Some of the Company's key initiatives in this respect include:

- **Personalized Development Plans:** Designed for individual skills and professional aspirations, in line with company objectives.

- **Lifelong Learning Opportunities:** Initiatives encompassing technical and interpersonal skills to support personal and professional growth.
- **Recognition and Reward Systems:** Programmes designed to recognize achievements, supporting and motivating a through and an organized performance management system.

The Company's achievements reflect a strong commitment to innovation and progress, ranging from introduction of new processes and technology to sustainability objectives by making appropriate investment, and also by emphasizing growth and progress of the Company and retention strategies within an inclusive workforce.



Cobb technical service support representatives visiting grand parent farms with Bairaha management representatives

Elevating Employee Welfare and Sustainability

Bairaha Farms PLC continues to prioritize people-centric strategies, with a focus on inclusive talent acquisition across gender and regional lines, ensuring a diverse and representative workforce. Being the only company in the domestic poultry industry to achieve an impressive 87.5 score in its very first attempt at the Great Place to Work certification in 2024, is in itself an indicator of Bairaha's strong commitment to the well-being of its diverse, inclusive workforce.



- **Help to Learn programme:** Again for the 7th year running in December 2024, the Company continued to support its employees and their families by providing support for the education of their children. As part of this initiative, over 10,000 school stationery items, valued at LKR 3.5 Mn., were distributed to 650 students. This welfare programme focuses on offering school bags, books, etc to employees' children, intended to ease their burden of educational expenses.



- **Annual health check-up:** Demonstrating its continuous dedication to employee health, Bairaha conducted the annual medical test for its employees. Over 350 employees participated in the health check-up, which was undertaken by the government Medical Officer of Health (MOH).



- **Eye Clinic Camp:** This was held at both in a Breeder Farm/ the Hatchery at Pasyala and also at the Regional Office, with the participation of expert opticians from Vienna Vision Centre of Nittambuwa. Many employees were diagnosed with vision impairments, and Bairaha assisted in providing glasses to over 250 employees.



- **World Children's Day:** Bairaha organized an art competition for the children of employees. Nearly 75 children participated in the competition in which they were given the opportunity to demonstrate their creativity. The winners were recognized and awarded for their outstanding artwork. Through such initiatives, Bairaha endeavours to inculcate employee relationships by prioritizing well-being of their families.





Training and Development Programmes

Bairaha Farms PLC introduced various initiatives to improve employee productivity during the year. These initiatives are part of Bairaha's commitment for the development of its employees and in seeking to achieve organizational excellence.

- **Establishing a technical training programme centre:** This was a key milestone, focused on empowering employees with the necessary skills to elevate their performance and efficiency.
- **Training school in partnership with Warakapola Technical College:** Bairaha Farms PLC partnered with Warakapola Technical College to implement a dedicated training school programme at its Processing Factory. This initiative focused on employee skill development, in providing them with industry specific skills and professional growth. The establishment of this training school programme represents a major investment in human capital, aiming to maintain continuous improvement and professional advancement. Its key objectives include training, covering aspects of factory operations, integration of industry knowledge, skill development through practical and theoretical learning, professional growth through career advancement, and commitment to operational excellence.
- **Aligning productivity with incentives:** The Company has an incentive programme linked to productivity while salary increments are done as a financial motivator to improve retention. The initiative in regard to incentive is part of a variable pay in compensation, benefits both permanent and casual labourers, and which again reinforces the Company's commitment to nurturing a motivated and productive workforce.
- **Six-month training programme:** The Company also introduced a six-month training and development programme to improve essential skills. The programme covers training in machine operation, maintenance, grading, safe driving, and supervisory roles, to ensure that employees are well-equipped to fulfil their duties effectively and safely.
- **One-year Management Trainee Programme:** Under this initiative, now into its 7th year running, university graduates are provided with industry related skills to equip them with knowledge to enable them to have better prospects to secure suitable employment.
- **IT and Excel training:** This was provided for farm and factory staff to improve their IT skills.
- **Outbound training sessions:** The aim of these sessions was to enhance leadership and teamwork among executives and managers.

- **Executive Development and Motivational Programme:** To further support employees' development, Bairaha carried out a two-day Executive Development and Motivational Programme at the Kalalpitiya Regional Office, for management trainees and executives, focused on building teamwork and leadership, and in improving their IT skills.
- **Annual Fire Drill and Firefighting Training:** Over 30 employees were provided with training in fire safety and emergency response.





Adherence to Safety and Standards

Bairaha Farms PLC has a Health and Safety (H&S) management system to ensure the well-being of all employees across its operations. The Company employs a structured approach to hazard identification, risk assessment, and prevention, with a clearly defined safety protocols in place.

The Company adopts a comprehensive process to identify work-related hazards and assess risks by analyzing both current practices and historical data to track trends and ensure workplace safety. Additionally, it maintains clear grievance policies, directed specifically to Counsellors, to address concerns effectively. Those policies have been in place for the last four years, utilizing both past and present data to depict patterns and support informed decision-making. This dual strategy reflects the Company's commitment to fostering a safe and supportive working environment.

Adapting to Policy Changes and Challenges

During the financial year, the Human Resources (HR) department at Bairaha Farms PLC faced several key challenges that impacted its workforce, management and operational efficiency. The effect of government policy changes necessitated salary increments, which was an uphill task to do in a challenging year. There was a high labour turnover at the shop floor level, creating a need for new recruitment and training.

The Company also overcame challenges that emerged in executing effective training programmes, to equip employees with the skills needed to succeed. Those challenges highlight the resilience and adaptability of the HR team in navigating a dynamic operational landscape.

Employee Leave Policies and Challenges

Bairaha is dedicated to supporting its employees by offering parental leave in particular, maternity leave, for those requiring and entitled to such leave, with a view to build a work-life balance. The Company carefully records all data related to leave taken to maintain transparency and effectiveness. When implementing parental leave policies, Bairaha HR team acknowledges certain industry-specific challenges. The Company remains committed to overcoming those hurdles and developing a supportive environment for all employees.

Staff Safety

Bairaha has put in place measures for the wellbeing and to safeguard its workforce including the provision of personal protection equipment, health screenings and in complying with accepted hygiene protocols. The Company offers orientation programmes for new employees, and training includes those relating to personal hygiene and food safety measures and in fostering a safe, positive working environment.



Employee Engagement

To motivate team building and employee engagement, Bairaha organized in the year under review several activities including trips, special events, and tournaments to uplift the team spirit. Those programmes enable employees to de-stress, build relationships, and develop a supportive working atmosphere.

The Company also celebrated the Sinhala and Hindu New Year at its Regional Office premises. The festival saw enthusiastic engagement from Director of Operations Mr Wahid, along with senior managers, divisional heads, and staff members from several locations. The celebration featured traditional New Year games, offering valuable prizes and shared experiences that strengthened employee-employer bonds.

Additionally, the Further Processing Factory Annual Trip, held in December 2024 involved employees from all levels, bolstering the Company's commitment to employee involvement and well-being. Visits to *Munneswaram Kovil* and *Thalawila Church* provided cultural and spiritual growth, while the events helped to strengthen team unity, fostered relaxation, and cultivated a supportive workplace culture.



Recognizing and Rewarding Innovation

Bairaha considers its employees, as a driving force to accomplish organizational goals. As a part of this commitment, the Company implements a structured Employee Recognition Programme across its Breeder Farms, focusing on three key criteria:

1. **Productivity goals:** Employees are assessed on how effectively they meet set targets within given timeframes, ensuring that outstanding performers are appropriately rewarded and recognized.
2. **Attendance and Punctuality:** Regular attendance and punctuality are essential for operational efficiency and overall productivity, and staff who meet these standards are rewarded with cash prizes.
3. **Dedicated Long Service:** The Company values loyalty and long and dedicated service and recognizes employees who show enduring commitment over the years.

During the months of April to June 2024, the Best Employee Selection functions were conducted at all Breeder Farms, featuring healthy competition among employees. Three top performers were awarded cash prizes and certificates. This type of competition among staff encourages employees to work towards continuous personal development while those efforts also benefit the Company.





Work-Life Balance and Grievance Handling

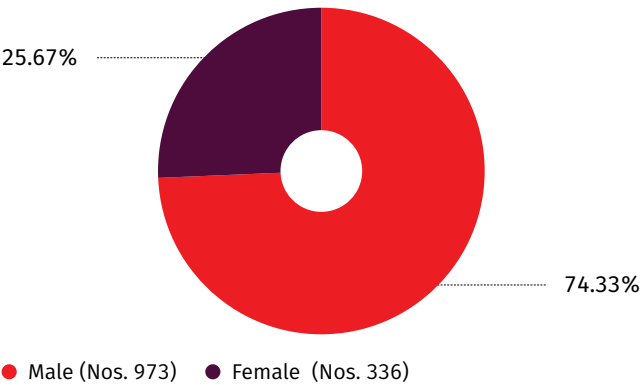
Bairaha encourages a balanced work-life style to help staff to effectively navigate both their professional and personal responsibilities with feeling of fulfilment in both areas. The Company also has in place grievance handling mechanism, thereby ensuring that employees' concerns are addressed promptly, fairly, and with utmost confidentiality. These efforts reinforce Bairaha's dedication in creating a motivating and collaborative work environment for its employees.

Strategic Outlook

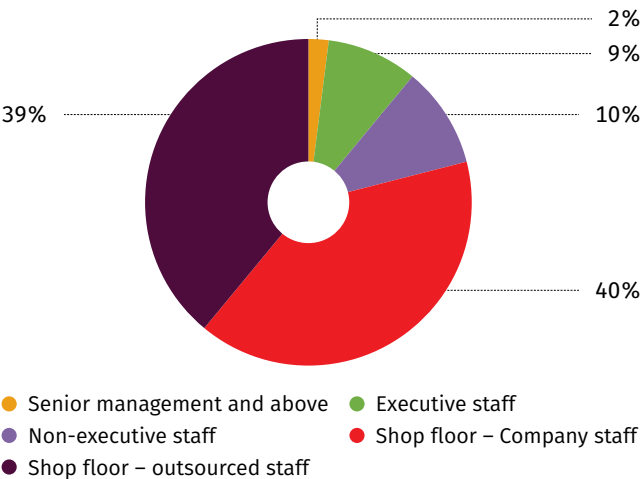
Bairaha Farms PLC prioritizes in encouraging its workforce to foster long-term development through targeted training, performance-based incentives, and inclusive growth. By focusing on training, learning, innovation, well-being, and adaptability, the Company promotes a skilled, motivated team aligned with long-term business goals.

Employee statistics

Analysis by Gender



Analysis by grade





Analysis By Type of Employment

Type of employment	2024/25					
	Total		Male		Female	
	Nos.	%	Nos.	%	Nos.	%
Permanent staff	797	60.89	573	58.89	224	66.67
Contract staff	512	39.11	400	41.11	112	33.33
Total	1,309		973	74.33	336	25.67

Years of Service Distribution by Gender

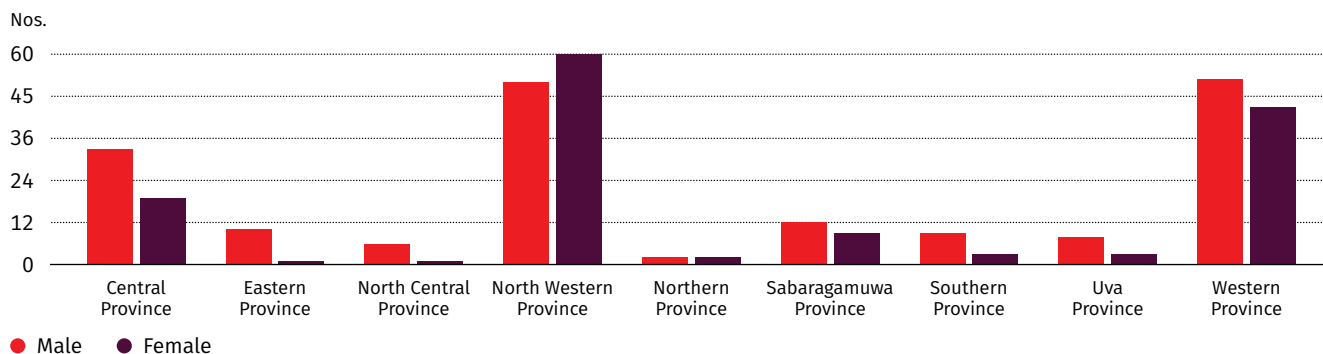
Number of years of service	Total		Male		Female	
	Nos.	%	Nos.	%	Nos.	%
0-1 years	557	42.55	436	78.28	121	21.72
2-5 years	411	31.40	304	73.97	107	26.03
6-10 years	200	15.28	132	66.00	68	34.00
11-15 years	75	5.73	50	66.67	25	33.33
16 years and above	66	5.04	51	77.27	15	22.72
Total	1,309		973	74.33	336	25.67

Age-wise Staff Distribution by Gender

Age Category	Total		Male		Female	
	Nos.	%	Nos.	%	Nos.	%
18-25 years	286	21.85	248	86.71	38	13.29
26-35 years	382	29.18	317	82.98	65	17.02
36-45 years	262	20.02	195	74.43	67	25.57
46-55 years	228	17.42	130	57.02	98	42.98
56 years and above	151	11.54	83	54.97	68	45.03
Total	1,309		973	74.33	336	25.67



Employee Turnover by Region and Gender



Employee Turnover by Age and Gender

Age	Total		Male		Female	
	Nos.	%	Nos.	%	Nos.	%
18-25 years	63	19.15	47	74.60	16	25.40
26-35 years	88	26.75	60	68.18	28	31.82
36-45 years	66	20.06	37	56.06	29	43.94
46-55 years	67	20.36	25	37.31	42	62.69
56 year and above	45	13.68	16	35.56	29	64.44
Total employee turnover	329		185	56.23	144	43.77

Employee Recruitment by Age and Gender

Age	Total		Male		Female	
	Nos.	%	Nos.	%	Nos.	%
18-25 years	87	18.67	61	70.11	26	29.89
26-35 years	122	26.18	78	63.93	44	36.07
36-45 years	93	19.96	48	51.61	45	48.39
46-55 years	98	21.03	32	32.65	66	67.35
56 years and above	66	14.16	20	30.30	46	69.70
Total new hires	466		239	51.29	227	48.71

Employees Health and Safety

Occupational injuries and diseases	130
Total numbers lost days due to occupational injuries/diseases	480.5
Health and safety training hours	360

Social and Relationship Capital



Bairaha is dedicated to cultivating strong, lasting relationships with its customers, local businesses and entrepreneurs, seeking to make a favourable impact to the communities in areas where it operates. These efforts continue to be made while concurrently seeking to deliver value across the supply chain, by embracing sustainability practices and in building lasting, mutually beneficial partnerships. Bairaha focuses on balancing the immediate needs of today with a long-term vision for the future. Despite the challenges, Bairaha continues to prioritize its mission. The Company aims to drive positive, impactful change for its customers, partners, and communities. At the same time, it reinforces its belief in mutual success and a sustainable future.

Customer Focus and Engagement

Bairaha's chicken brand has been a trusted brand and choice for generations among consumers, while it has been well accepted by both small-scale retailers and large enterprises, including restaurant chains, renowned hotels, food processors, and various other establishments. Despite facing significant economic and industry specific challenges during the financial year, Bairaha successfully expanded its customer base, strengthened relationships, and amplified its positive impact on the communities where it operates. Those accomplishments underscores the Company's resilience and dedication to excellence, even amid unstable operating environment.

Ensuring Affordability and Strengthening Food Security

The Company continues to introduce as needed various pack sizes at competitive price points to cater to a broader customer base. To enhance productivity, product quality, and food safety, Bairaha continuously evaluates, identify and introduce new technologies and processes while upholding ethical practices in a dynamic market that it operates in. The Company has no doubt that its activities and products it offers support Country's efforts in strengthening food security and nourishing the people.

Quality Control and Regulatory Compliance

Bairaha's commitment to producing antibiotic-free products underscores its dedication to ethical practices in operation while also adhering to best animal welfare practices. The Company takes pride in its continuous adherence to international food safety standards, showcasing its steadfast and commitment to upholding the highest quality across all areas of its operations.

In alignment with the Global Food Safety Initiative (GFSI) standards, Bairaha has complied with the stringent requirements of FSSC 22000, ISO and HACCP. The Company also cooperates with other audits undertaken by third parties on behalf of international food chains. In addition, by adhering to internationally recognized food safety standards and complying with the regulations of the Department of Animal Production and Health, the Company demonstrates its commitment to ethical practices and quality assurance in a complex and ever-evolving dynamic of the market.

Suppliers

Bairaha's supplier engagement and management policy is centred on transparency, fairness, and strict adherence to legal procurement practices. The Company fosters strong partnerships with suppliers through a thorough registration process that takes into account their credentials, track record while seeking to foster ethical standards. The procurement framework is designed to optimize efficiency, reduce costs, and minimize disruptions, while reinforcing long-term relationships. Continuous dialogue on inventory management and regular performance evaluations enhance the overall resilience of the supply chain. Bairaha's unwavering commitment to ethical, legal, and risk management practices further solidifies its relationships with suppliers, and thereby ensuring a stable and reliable procurement process.



Community Empowerment and Corporate Social Responsibility Initiatives

Bairaha Farms PLC is dedicated to community development and corporate social responsibility (CSR). The Company supports education, healthcare, sports, other community development initiatives, including schools, hospitals, and other local organizations to create a positive social impact.

Bairaha also takes proactive steps to support social responsibility efforts, including sponsoring students' education. A recent initiative in this respect was sponsoring a visually impaired student to continue his higher studies. Bairaha also adopted and supported the "Suwa Seriya" ambulance service initiative by providing financial support for the maintenance of an ambulance operating in the Nittambuwa area. This commitment of Bairaha reinforces its long-term commitment to social responsibility beyond business objectives.

Bairaha's corporate social responsibility objectives are aimed at creating a positive and lasting impact to the society.

- **Purpose-Driven Initiatives and Employee Engagement:** Promoting purpose-driven initiatives and volunteer engagement to foster employees' participation and involvement in such projects while aligning them, where possible, with its sustainability objectives.
- **Impact Society:** Committed to supporting community development projects and initiatives that create lasting benefits for the broader society in general.
- **Renewable Energy and Sustainable Practice:** Introduce renewable energy, and promotes efficient use of power, water and other natural resources so as to minimize their carbon footprint and support sustainable practices.
- **Equality, Diversity, and Inclusion (EDI):** Dedicated to fostering a diverse culture in hiring and recruitment by cultivating an inclusive workplace environment.
- **Supporting Small Businesses:** Collaborating with local communities and traders to empower small businesses.
- **Transparency and Business Ethics:** Focusing on transparency and ethical practices to foster trust and strengthen relationships with stakeholders.

CSR Activities

Talent Development Programmes

Bairaha places a strong emphasis on talent development through internships and management trainee programme, designed to enhance skills, create job opportunities, and foster a supportive work environment. Those initiatives have been highly effective in equipping individuals with valuable skills.

CSR Initiative with UMA Academy

Bairaha Farms PLC donated LKR 200,000 to Universal Martial Arts Academy (UMA Academy) in Hambantota. This contribution was to support the purchase of essential sporting equipment for aspiring athletes, thereby enhancing the development of young talent in the region. By investing in the future of youth sports, Bairaha Farms not only strengthens access to training facilities but also contributes to empowering individuals through physical fitness and discipline.





Supporting Youth Sports and Performance Excellence

Bairaha Farms PLC proudly partnered with the Zahira College Rugby Team as its official 'Nourishment Partner' for the 2025 season, again highlighting the Company's commitment to youth development and sporting excellence in Sri Lanka. Through this partnership the rugby team receives the necessary nutritional support, specifically high-quality protein, to assist in building better health and fitness. By supporting the nutritional needs of young athletes, Bairaha Farms not only contributes to their physical well-being but also promotes the values of teamwork, discipline, and perseverance.



Community Health and Emergency Support

Bairaha has adopted and restored an ambulance through the 1990 Suwa Seriya Foundation's "Adopt an Ambulance" programme. The ambulance, which was fully restored at a cost of LKR 5 Mn., was brought back into service in March 2025, and is currently serving the Nittambuwa area in Gampaha. By supporting the national ambulance service, which provides free pre-hospital emergency care, Bairaha Farms is assisting to improve the country's healthcare infrastructure, and thereby ensuring timely medical assistance for those in need. This support not only aligns with the company's commitment in enhancing the community's well-being but also plays a crucial role in saving lives, thereby fostering a healthier Nation.



Internship and Management Trainee Programme

Bairaha offers university students the opportunity to enrol in its internship programme and in doing so, provide them with valuable skills and practical experience that are needed to enhance their employability, while also helping them to meet training requirements stipulated by degree awarding institutions. This initiative reflects the Company's commitment to social responsibility by supporting students in their career development. Through those types of initiatives, the Company strives to make a positive impact on the society.

I extend my heartfelt gratitude to the entire Bairaha Farms PLC team for this remarkable opportunity. A special thanks to those who mentored and supported me throughout this journey—their guidance and encouragement have been instrumental in shaping my development. This experience has not only enhanced my expertise but has also prepared me to contribute meaningfully to the future of the organization and the broader poultry industry.

Trainee Testimonies



Amali Chapa
Trainee Executive

I am honoured to have begun my professional journey as a Management Trainee at Bairaha Farms PLC in 2024. This invaluable opportunity provided me with hands-on experience in two key departments, equipping me with the practical knowledge and skills necessary for a successful career in agribusiness and food production.

My initial training at the Bairaha Hatchery allowed me to gain a deep understanding of hatchery operations, followed by an enriching experience in broiler breeder management, where I learned about operational systems and best practices in poultry breeding. These experiences reinforced my enthusiasm for the industry and strengthened my ability to contribute effectively to the company's goals.

What drew me to Bairaha Farms PLC was its steadfast commitment to quality, innovation, and sustainability. Throughout my training, I developed essential managerial and technical competencies while being inspired by the company's dedication to excellence. The collaborative and dynamic work environment provided the perfect foundation for personal and professional growth, empowering me to embrace challenges with confidence and adaptability.



M K I S Perera
Trainee Executive

I am sincerely grateful for the opportunity to join Bairaha Farms PLC as a Management Trainee. Being selected for this well-structured and impactful program is truly an honour, and I am excited to embark on this journey with such a respected organization.

The Management Trainee Program at Bairaha Farms PLC is an excellent platform for young professionals to gain invaluable industry exposure, develop essential skills, and gain a deep understanding of the organization's core functions. I firmly believe that this experience will provide a strong foundation for my future career, helping me grow into a confident and capable professional.

I extend my heartfelt thanks to the Human Resource Management team for recognizing my potential and granting me this incredible opportunity. Their trust and support have been instrumental in shaping my early professional journey. I look forward to embracing new challenges, learning from industry experts, and contributing meaningfully to the organization's success.

Thank you once again for this remarkable opportunity.



**M R Darshana Kelum
Manchanayaka**
Trainee Executive

I would like to express my sincere gratitude to the Human Resources Management team at Bairaha Farms PLC for granting me the opportunity to join the organization as a Management Trainee. Being part of this esteemed company has been a highly rewarding and transformative experience in my professional journey.

During my tenure, I was exposed to a diverse range of operational and strategic functions, which provided me with a comprehensive understanding of the business environment. Through hands-on experience, active participation in team projects, and continuous learning, I was able to refine critical skills such as leadership, communication, analytical thinking, problem-solving, and adaptability.

I am especially grateful to the company's management team, whose invaluable guidance and support played a pivotal role in my professional and personal growth. Their insights and feedback helped me navigate challenges, strengthen my expertise, and build confidence in my abilities. The collaborative and dynamic work culture at Bairaha Farms PLC has been instrumental in shaping my development, offering an environment that encourages learning and innovation.

This experience has laid a strong foundation for my future career, and I am deeply thankful for the trust, opportunities, and encouragement I have received during my time at Bairaha Farms PLC. I look forward to applying the knowledge and skills I have gained to contribute meaningfully to the industry and continue growing as a professional.



D S Wickramathunge
Trainee Executive

I do hereby express my sincere appreciation for the opportunity to participate in the Management Trainer Program conducted at Bairaha Farms PLC last year.

As a Data Analyst attached to the Production Operations team, I found the program extremely valuable. It significantly enhanced my understanding of management practices and provided exposure to key areas such as production processes, quality assurance, team coordination, and decision-making. These insights have enabled me to perform my role more effectively and align my contributions with the broader objectives of the organization.

In particular, I would like to highlight the Excel-based training sessions included in the program. These sessions were especially beneficial in strengthening my data analysis and reporting skills, which are crucial in a production environment. The practical, hands-on approach allowed me to apply the knowledge immediately in daily operations, leading to improvements in both speed and accuracy of reporting and analysis.

I believe the inclusion of technical modules such as Excel, alongside management training, added significant value to the overall program. I strongly recommend continuing and even expanding this aspect in future training initiatives to support professional development across departments.

Thank you once again for organizing such a meaningful and impactful program. I am grateful for the experience and remain committed to contributing to the continued growth and success of Bairaha Farms PLC.



Shareholders

Investor Relations

Thirty Major Shareholders as at 31st March

Name	31st March 2025		31st March 2024	
	Number of Shares	%	Number of Shares	%
1. Mr M N M Yakooth	1,872,053	10.637	1,872,053	10.637
2. Mr M N M Mubarak	1,826,998	10.381	1,826,998	10.381
3. Mr M N M Kamil	1,764,316	10.025	1,764,316	10.025
4. Mrs F S Imran	992,251	5.638	992,251	5.638
5. Employees Trust Fund Board	949,812	5.397	949,812	5.397
6. MR M Y M RIYAL	906,735	5.152	906,735	5.152
7. Deutsche Bank Ag-National Equity Fund	625,382	3.553	512,363	2.911
8. Mr M E N Mohamed Ilyas	590,059	3.353	590,059	3.353
9. Mr M I Ilyas Naleem	590,035	3.352	590,035	3.352
10. Amana Bank PLC/Hi-Line Trading Pvt Ltd.	385,076	2.188	385,076	2.188
11. Mrs F F Ilyas Naleem	295,016	1.676	295,016	1.676
12. M T A Furkhan Foundation	259,505	1.474	263,505	1.497
13. Mrs F I Mohamed Rauff (Deceased)	210,727	1.197	210,727	1.197
14. Hatton National Bank PLC-Senfin Growth Fund	143,000	0.813	143,000	0.813
15. People's Leasing & Finance Plc/Hi-Line Trading (Pvt) Ltd.	139,259	0.791	130,540	0.742
16. Deutsche Bank Ag-Namal Growth Fund	110,000	0.625	110,000	0.625
17. Mrs S Vasudevan and Mr S Vasudevan	110,000	0.625	110,000	0.625
18. Mr R Pestonjee	108,938	0.619	108,938	0.619
19. Kalin Holdings (Pvt) Ltd.	107,831	0.613	222,776	1.266
20. Monad (Private) Limited	100,000	0.568	75,000	0.426
21. MR S PRABAGAR	88,492	0.503	80,000	0.455
22. Seylan Bank PLC/Zaki Alif	85,978	0.489	47,117	0.268
23. People's Leasing & Finance Plc/Hi-Line Towers (Pvt) Ltd.	83,070	0.472	77,550	0.441
24. Hatton National Bank PLC – Senfin Dividend Fund	80,072	0.455	30,000	0.170
25. Mercantile Fortunes (Private) Limited	74,050	0.421	74,050	0.421
26. DFCC Bank PLC/Mr P Pranavan	67,000	0.381	15,000	0.085
27. Mr A M A Alsaad	64,725	0.368	24,908	0.142
28. Mr V C Mahtani and Mrs M V Mahtani	63,853	0.363	106,458	0.605
29. Mr S C Abul Cassim	62,208	0.353	55,500	0.315
30. Confifi Management Services (Pvt) Ltd.	61,320	0.348	61,320	0.348
	12,817,761	72.828	12,631,103	71.768
Others	4,782,239	27.172	4,968,897	28.232
Total	17,600,000	100.000	17,600,000	100.000



Directors’ and Chief Executive Officer's holding in shares as at 31st March 2025

Directors Name	31st March 2025	
	Number of Shares	%
1. Mr Reyaz Mihular – Chairman	8,486	0.05
2. Mr M N M Yakooth – Managing Director/CEO	1,872,053	10.64
3. Mr M Y M Riyal – Executive Director	906,735	5.15
4. Mr M N M Kamil	1,764,316	10.02
5. Mr M N M Mubarak	1,826,998	10.38
6. Mr M I Wahid	2,200	0.01
7. Mr O A Herath	–	0.00
8. Ms R M R V Ratnayake	–	0.00
	6,380,788	36.25
Others	11,219,212	63.75
	17,600,000	100.00

Market value per share during the year (LKR)

Directors Name	As at	As at
	31st March 2025	31st March 2024
Highest	198.00 (22nd May 2024)	209.75 (14th September 2023)
Lowest	150.00 (14th November 2024)	126.00 (30th May 2023)
Closing	164.75	173.00

Share Trading

Number of Shares Traded during the year	2,977,518
Value of Shares Traded during the year	517,377,476
Number of Transactions during the year	8,068



		Number of Transaction (Trade Volume)	Share Volume (Number of shares traded)	Turnover Volume (Value of Shares)
1st April 2024	30th June 2024	1,347	564,636	100,249,632
1st July 2024	30th September 2024	1,301	505,062	81,246,591
1st October 2024	31st December 2024	3,022	1,078,757	186,662,425
1st January 2025	31st March 2025	2,398	829,063	149,218,829
		8,068	2,977,518	517,377,476

Share Distribution

Shareholding as at 31st March 2025

From	To	Number of Holders	Number of Shares	%
1	– 1,000	3,372	665,428	3.78
1,001	– 10,000	569	1,731,072	9.84
10,001	– 100,000	119	3,216,507	18.28
100,001	– 1,000,000	16	6,523,626	37.07
Over 1,000,000		3	5,463,367	31.04
		4,079	17,600,000	100.00

Categories of Shareholders

Directors Name	Number of Holders	Number of Shares	%
Local Individuals	3,897	13,221,215	75.12
Local Institutions	152	4,164,997	23.66
Foreign Individuals	28	209,843	1.19
Foreign Institutions	2	3,945	0.02
	4,079	17,600,000	100.00

Public Holding

The percentage of shares held by the public as at 31st March 2025 is 63.743%, comprising of 4,072 shareholders.

The Float adjusted market capitalization as at 31st March 2025 – LKR 1,848,292,687.00.

Bairaha is dedicated to protecting natural resource as a core aspect of our corporate responsibility. We are committed to conducting our operations in a way that respects the environment and supports the well-being of local communities. Our business strategy is focused on embracing sustainability principles, aiming to achieve long-term growth while minimizing our environmental footprint.

Sustainable Environmental Management

The Company is steadfast in its commitment to complying with environmental regulations in Sri Lanka through a variety of initiatives, while promoting sustainable practices across all facets of its operations. Bairaha is mindful and responsible in the use of water, energy, and waste management, which it considers as central to its ongoing efforts to mitigate environmental impact from its activities and achieve sustainability objectives.

As part of its commitment to achieving carbon neutral, Bairaha continues to take steps to reduce its carbon footprint and promote sustainability. One key milestone and endorsement in this endeavour was in obtaining the “Greenhouse Gas Verification Opinion” from the Sri Lanka Climate Fund (Pvt) Ltd, a unit of the Ministry of Environment, which affirmed the Company’s compliance with the ISO 14064-1:2018 and ISO 14064-3:2019 standards. Bairaha’s approach to sustainability includes in being focused on energy efficiency, embracing renewable energy and in recycling of by-products. A notable example of this is in the installation of solar panels in five farm and factory locations of the Group.

The Group is contemplating to set-up an organic fertilizer factory by utilizing as its raw material poultry dung, and in doing so would be able to do import substitution for imported chemical fertilizer. Besides generating additional revenue to the Group, this initiative would help to save foreign exchange to the country, while contributing to sustainable practices in poultry farming and agriculture.

In the year under review, nearly 18,000 cinnamon trees and 1,000 pineapple plants were planted in Company-owned lands, recycle where possible used water after treating it and introduced bio-gradable product for sanitizing water in the factory. Those efforts contribute to both reducing the environmental impact and fostering a culture of sustainability throughout its operations.

Regulatory Compliance and Industry Benchmarking

As a Company engaged in the livestock production and meat processing sectors, we comply with regulations framed under the Food Act No. 26 of 1980, and those regulations of the Department of Animal Production and Health (DAP&H). Bairaha’s commitment to ensuring food safety, product quality and in meeting certain specific market requirements would be apparent from the system quality standards and certifications that the company is accredited with, including FSSC 22000, ISO 9001:2015, ISO 22000:2018, HACCP, Good Manufacturing Practice (GMP), SLS product certification for certain specific products, and GSO/Halal certification.

Our factories, hatchery, and farms undergo regular independent audits by third-party accreditation bodies, in addition to those Quality Management System audits undertaken on behalf of multinational clients. The Company always seek to uphold the highest standards in quality, hygiene, food safety, and in matters relating to animal welfare, and in doing so asserting its commitment to responsible operations. Its broilers are raised by conforming to best industry practices and those stipulated by the Department of Animal Production and Health.

Animal Welfare and Biosecurity Standards

At Bairaha, biosecurity is prioritized by continuously reviewing and enhancing internal measures and practices to ensure the health and safety of all operations. The Company maintains adequate distances between poultry houses/factories and properties of neighbours, and these are referred to as buffer zones, which help to mitigate against environmental pollution in the form of odour. Further visitor access is restricted to safeguard the health of the poultry flocks and to minimize the risk of cross-contamination.

In addition, the Company is committed to upholding animal welfare standards in accordance with the expectations and guidelines set by its key customers. Its efforts in this area have been recognized by the National Chicken Council (USA), which has endorsed its animal welfare practices, confirming that the Company has met its guidelines for animal welfare.

Stewardship

Board of Directors 058

Corporate Governance 062

**Compliance Status with the Code
of Best Practice on Corporate
Governance 071**

**Compliance Status with Colombo
Stock Exchange Listing Rules on
Corporate Governance 072**

**Annual Report of the Board
of Directors on the Affairs
of the Company 077**

Report of the Audit Committee 083

**Report of the Remuneration
Committee 085**

**Report of the Nomination
and Governance Committee 086**

**Report of the Related Party
Transactions Review Committee 088**

Risk Management 089

Board of Directors

Stewardship



Reyaz Mihular
Chairman



Yakooth Naleem
Managing Director/Chief Executive Officer



Kamil Naleem
Executive Director



Mubarak Naleem
Executive Director



Olga Ashley Herath
Director



Radhika Ratnayake
Director



Riyal Yakoob
Executive Director



Mohamed Imtizam Wahid
Executive Director-Operations

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The Board comprises of seasoned professionals with diverse local and international experience, offering strategic oversight, governance, and industry knowledge to guide the company’s long-term growth and resilience.

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Reyaz Mihular

Chairman

Reyaz Mihular was the Managing Partner of KPMG Sri Lanka and Maldives, having served in that role since April 2012. He served a three (3) year term as the Chairman of the KPMG MESA (Middle East and South Asia) Regional Board until September 2021 and previously as the Chief Operating Officer of KPMG's MESA Regional Office where he was responsible for coordinating strategy and activities of KPMG member firms across 17 countries.

Reyaz also served on KPMG's EMA (Europe, Middle East and Africa) Board and the Global Council of KPMG International. Reyaz counts over 40 years of experience in Audit and Advisory Services.

He previously served as a member of the KPMG's Global IFRS Panel, which determines firm policy on application of IFRS for member firms across 148 countries. Reyaz served on the Board of the International Accounting Standards Committee (IASC) for a period of 5½ years from 1995 to 2000 and on the IFRS Advisory Board (formerly known as Standards Advisory Council) for a period of 6 years thereafter.

Reyaz chaired the Steering Committee which developed IAS 41 on Agriculture and also served as a member of the Committee which developed IAS 19 – Employee Benefits. In 2012 Reyaz was invited to serve on the Board of the International Ethics Standards Board for Accountants (IESBA) for a period of 6 years ending 2018. He also served on IESBA's Planning Committee during this period.

Reyaz is a Past President of the Institute of Chartered Accountants of Sri Lanka (ICASL) and presently chairs the Ethics Committee of the Institute. He also served as Chairman of the Board of Chartered Institute of Management Accountants Sri Lanka (CIMA Sri Lanka). Reyaz is a Fellow Member of the Institute of Chartered Accountants of Sri Lanka (FCA) and a Fellow Member of the Chartered Institute of Management Accountants – UK (FCMA).

He has also completed Executive Educations programmes at INSEAD France, London Business School and Harvard Business School.

Reyaz presently also serves as Chairman of Watawala Plantations PLC and as an Independent Non-Executive Director of Melstacorp PLC, Sunshine Holdings PLC, Aitken

Spence PLC, Aitken Spence Hotel Holdings PLC, Browns Beach Hotels PLC, Balangoda Plantations PLC, Madulsima Plantations PLC, DAMRO Holdings Ltd, LTL Holdings Ltd. and Agility Innovation (Pvt) Ltd. Reyaz also serves as a Member of the Stakeholder Engagement Committee of the Central Bank of Sri Lanka.

Yakooth Naleem

Managing Director/Chief Executive Officer

Mr Yakooth Naleem is the CEO of the Company. He has been the Managing Director since 1990. He has a BA Econ. (Hons.) Degree from the University of Manchester (formerly known as the Victoria University of Manchester) of the United Kingdom.

He was awarded the Entrepreneur of the Year 2000 – Merit Award in the extra-large category in the Western Province by FCCISL. In January 2013, he was elected as the first Chairman of the Standing Committee on Dairy and Livestock of the National Chamber of Commerce of Sri Lanka and he retired from this position in 2024.

Riyal Yakoob

Executive Director

Mr Riyal Yakoob is an Executive Director of the Company. He worked as a Senior Assistant Accountant of Bairaha for seven years and subsequently was appointed as an Executive Director of the Company, a position he has held since 1990. He received his Higher National Diploma (Business and Finance) from the Southwest London College of the United Kingdom.

Kamil Naleem

Executive Director

Mr Kamil Naleem has been a Director of the Company since 1984. He previously looked after the operations of the Golden Rooster Restaurant chain until the operation was discontinued. He was also educated in the United Kingdom.

Mubarak Naleem

Executive Director

Mr Mubarak Naleem joined the Company in January 1994 as an Executive Director and was in-charge of the supermarket chain until it was discontinued. He was also educated in the United Kingdom.

Mohamed Imtizam Wahid**Executive Director-Operations**

Mr Mohamed Imtizam Wahid has been working with the Company for more than 30 years. He has in-depth experience in all aspects of poultry management, including hands-on management especially on contract farming as well as broiler farming. He has attended workshops held in the USA and the Netherlands on Advanced Poultry Production and Management. In addition, he participated in a Corporate Management Programme held in Japan. In his long career with Bairaha Farms PLC, he has held the positions of an Executive, Assistant Manager (Contract Farming), Manager – Extension Services, Group Manager (Broiler Operations), Chief Operations Officer and presently holds the position of Director Operations.

Olga Ashley Herath**Director**

Olga Herath is a seasoned leader with 38 years of global experience at British American Tobacco PLC, including 22 years as an international secondee in dynamic markets such as Egypt, Nigeria, Vietnam, Malaysia, and Indonesia. In his most recent role as Global Route-to-Market (RTM) and Business Development Manager for the Asia Pacific region, Olga oversaw operations across 23 countries, reporting directly to BAT's group headquarters in London.

Throughout his career, Olga has been a driving force behind strategic growth, innovation, and transformation. As a key architect of BAT's global RTM strategy, he played a pivotal role in shaping the company's long-term commercial vision. He successfully negotiated complex distributor contracts and forged strong client relationships in the top 40 global tobacco markets, establishing a foundation for sustained growth and market leadership.

A recognized leader in business transformation, Olga led critical change management projects that redefined operational models in high-growth markets like Vietnam, Malaysia, Indonesia, Australia, and South Korea. His leadership in transitioning these markets from indirect to direct distribution significantly enhanced market agility, operational control, and profitability, setting new benchmarks for efficiency and customer responsiveness.

Beyond commercial success, Olga has been an advocate for innovation, spearheading transformational projects in collaboration with leading technology and innovation

partners. His work has been instrumental in building the RTM capabilities of global end markets, ensuring they remain agile, competitive, and prepared for future growth.

Olga's leadership philosophy centres on empowering teams, building high-performance cultures, and fostering a shared sense of purpose. Known for his collaborative approach and ability to unite cross-functional teams, he has inspired colleagues across markets to push boundaries, innovate, and consistently deliver outstanding results. His emphasis on capability building and knowledge sharing has left a lasting impact, creating a legacy of resilience, agility, and growth.

During his tenure at Ceylon Tobacco Company, a member of British American Tobacco PLC, Olga focused on driving excellence in RTM strategy, distributor consolidation, process standardization, and strategic trade marketing. As a senior member of the company's top management team, he contributed to critical business decisions that shaped the strategic direction of the organization.

Olga's legacy is one of visionary leadership, operational excellence, and a relentless pursuit of growth. He has been a core member of the Global RTM and Business Development leadership team at British American Tobacco PLC in London, guiding teams to outperform in challenging markets and setting new standards in commercial strategy.

Olga holds a postgraduate certificate in Business Administration from the University of Wales, UK, and is a fellow member of the Chartered Institute of Marketing, UK.

Radhika Ratnayake**Director**

Radhika's career spans over 15 years in investments and investment research across multiple asset classes, valuation, and strategy. Radhika worked as an Associate Director of the analytical team at Fitch Ratings Lanka Ltd overseeing a portfolio of non-financial corporates, across diverse industries. Previously she was the Head of Research at Lanka Securities (Pvt) Ltd, a licensed member of the Colombo Stock Exchange, where she led the investment research division. Radhika is a CFA Charter holder and an Associate Member of Chartered Institute of Management Accountants (UK). She holds a Master's degree in Business Administration from University of Anglia Ruskin, UK.

Corporate governance is crucial for Bairaha Farms PLC as it ensures the Company's long-term success and sustainability. By adopting international best practices and adhering to mandatory guidelines, Bairaha Farms PLC has established a robust governance structure that guides the Company's strategic direction and operational efficiency.

In compliance with the revised Section 9 of the Colombo Stock Exchange (CSE) Listing Rules on Corporate Governance, Bairaha Farms PLC has formally adopted and implemented twelve comprehensive governance policies with effect from 01 October 2024. These policies aim to strengthen transparency, accountability, ethical conduct, and stakeholder trust across all operations. The newly implemented policies are:

1. Policy on Matters Relating to the Board of Directors

Defines Board composition, roles, independence, diversity, and evaluation procedures.

2. Policy on Board Committees

Establishes and governs key Board Committees including Audit, Remuneration, Nominations & Governance, and Related Party Transactions Review.

3. Policy on Corporate Governance, Nominations, and Re-Election

Outlines the nomination and re-election process, promoting diversity, succession planning, and shareholder engagement.

4. Policy on Remuneration

Provides principles for fair, competitive, and performance-linked remuneration for Directors and key management.

5. Policy on Internal Code of Business Conduct and Ethics

Sets standards for ethical behaviour, legal compliance, conflict of interest, and responsible conduct.

6. Policy on Risk Management and Internal Controls

Establishes a framework for identifying, assessing, and managing risks with a focus on industry-specific risks such as biosecurity and food safety.

7. Policy on Relations with Shareholders and Investors

Promotes open, timely, and equitable communication with shareholders and the investment community.

8. Policy on Environmental, Social and Governance (ESG) Sustainability

Integrates ESG principles into the business strategy with a focus on environmental stewardship, social responsibility, and corporate governance.

9. Policy on Control and Management of Company Assets and Shareholder Investments

Ensures proper safeguarding, utilization, and reporting of company assets to preserve shareholder value.

10. Policy on Corporate Disclosures

Defines guidelines for timely, accurate, and fair disclosure of material information to stakeholders.

11. Policy on Whistleblowing

Provides a secure and confidential framework for reporting misconduct or unethical behaviour without fear of retaliation.

12. Policy on Anti-Bribery and Corruption

Enforces a zero-tolerance stance on bribery and corruption across all levels of operation and business partnerships.

These policies reflect Bairaha's commitment to maintaining the highest standards of corporate governance, in alignment with regulatory expectations and stakeholder interests. The policies currently in place are outlined on the website at <https://www.bairaha.com/corporate-governance/>.

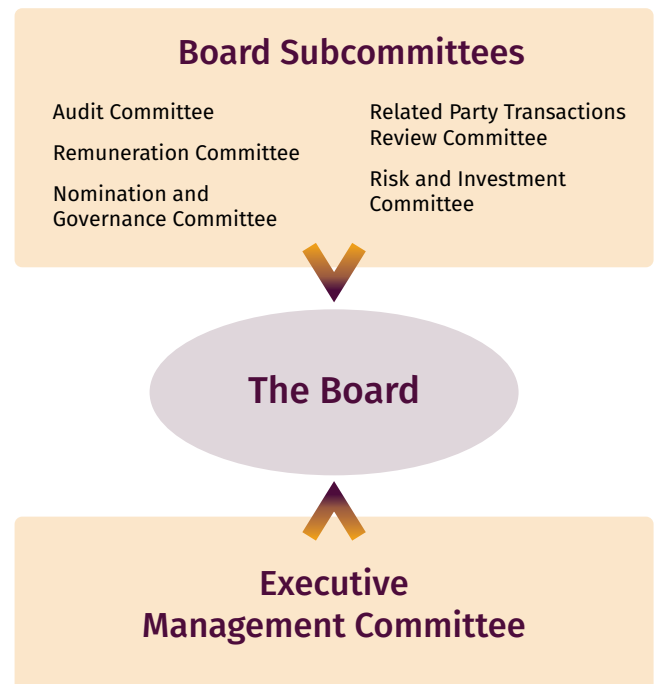
We have adopted international best practices while meeting the below mandatory guidelines.

Standard/Principle/Code	Adherence
The Companies Act No. 07 of 2007 and amendments thereto	Mandatory provisions – fully complied
Listing Rules of the Colombo Stock Exchange (CSE)	Mandatory provisions – fully complied
Securities and Exchange Commission of Sri Lanka Act No. 36 of 1987, including applicable directives and circulars	Mandatory provisions – fully complied
Code of Best Practices on Related Party Transactions (2013) advocated by the Securities and Exchange Commission of Sri Lanka (SEC)	Mandatory provisions – fully complied
Code of Best Practice on Corporate Governance (2017) issued by CA Sri Lanka	Voluntary provisions – complied with all the requirements as applicable to Bairaha.
Shop and Office Employees Act No. 19 of 1954 and amendments thereto	Mandatory provisions – fully complied
Inland Revenue Act No. 24 of 2017	Mandatory provisions – fully complied
Custom Ordinance No. 17 of 1869	Mandatory provisions – fully complied
Exchange Control Act No. 12 of 2017	Mandatory provisions – fully complied

Key Internal Policies

1. Articles of Association of the Company
2. Terms of Reference and Charters of the Board and Management Committees
3. Recruitment and selection policies
4. Rewards and recognition policy
5. Disciplinary procedures
6. Policy on grievance handling
7. Policy on communications and ethical advertising
8. Group accounting procedures and policies
9. Policies on enterprise risk management and internal controls
10. IT policies and procedures, including data protection, classification and security
11. Policies on energy, emissions, water and waste management
12. Policies on product quality standards and services

Corporate Governance Structure



The Responsibilities of the Board

The Board of Directors holds collective responsibility for generating long-term value for shareholders. It upholds sound governance by reviewing and approving the Company's strategic plans and policies, while overseeing the effective execution of these strategies.

Furthermore, the Board offers leadership to the organization by:

- Overseeing the Group's overall financial performance.
- Ensuring robust internal controls, effective risk management, sound corporate governance practices, and succession planning are in place.
- Reviewing and approving annual budgets, while monitoring actual performance against set targets.
- Approving major investments and capital expenditures to support the Group's long-term strategic growth.
- Reviewing and endorsing quarterly interim Financial Statements and the annual financial accounts.
- Approving dividend distributions after evaluating capital expenditure needs, the Company's gearing level, and the importance of delivering returns to shareholders.
- Ensuring full compliance with the Companies Act, regulations set by the Securities and Exchange Commission, the Colombo Stock Exchange, and all other relevant legal and regulatory frameworks.
- Adopting appropriate accounting policies to align with financial regulations and reporting standards.
- Upholding corporate governance best practices at all levels.
- Embedding sustainability into the decision-making process, ensuring that the interests of all stakeholders are duly considered.

Areas of Focus during the Current Financial Year

During the financial year under review, the Board convened ten meetings, focusing on the following key areas:

1. Review of Financial Statements and forecasts, with an emphasis on strategies to enhance profitability while maintaining a sound financial position.

2. Analysis of demand and supply dynamics to guide effective strategic responses to shifting market conditions.
3. Evaluation of IT security frameworks, policies, and procedures.
4. Promotion of a performance-driven culture through key performance indicators (KPIs).
5. Monitoring compliance with local, national, and international regulations concerning food safety, animal welfare, environmental sustainability, and labour standards.
6. Approval of salary revisions and reward policies aimed at retaining critical talent.
7. Exploration of new technologies to boost productivity, ensure quality control, and promote sustainability in poultry farming and processing, including Environmental, Social, and Governance (ESG) initiatives.
8. Formulation of long-term growth strategies, including diversification into new markets and related business segments.

Board Subcommittees

The Board has formally delegated specific governance responsibilities to four key Subcommittees: the Audit Committee, Remuneration Committee, Nomination and Governance Committee, and the Related Party Transactions Review Committee. These Committees have been established in line with the Listing Rules of the Colombo Stock Exchange, Code of Best Practice on Corporate Governance issued by The Institute of Chartered Accountants of Sri Lanka, and the Code of Best Practice on Related Party Transactions issued by the Securities and Exchange Commission of Sri Lanka. Each Subcommittee convenes regularly to deliberate on matters within its scope of responsibility.

In addition to these, a dedicated Risk and Investment Committee is in place to monitor and address material risks proactively and to evaluate new investment opportunities aligned with the Board's strategic direction.

The specific areas of oversight for each Subcommittee are outlined below, and their detailed reports can be found on pages 83 to 88 of this Report.

Audit Committee: The Audit Committee is primarily responsible for reviewing the integrity and accuracy of the Financial Statements, as well as evaluating the effectiveness of internal control systems and risk management practices. The Committee engages in discussions with both Internal and External Auditors, guided by independent audit reports, to identify areas requiring improvement and ensures appropriate follow-up on management's corrective actions. Additionally, the Audit Committee oversees the appointment, remuneration, and performance of the Auditors.

Remuneration Committee: The Remuneration Committee is responsible for overseeing the Company's remuneration policy to ensure alignment with its long-term value creation objectives. The Committee reviews and recommends the compensation packages of Executive Directors and Senior Management, as well as the fees and allowances payable to Non-Executive Directors. It also provides strategic guidance on the overall remuneration framework of the Company.

Related Party Transactions Review Committee: The primary function of this Committee is to review and approve related party transactions, ensuring they are conducted at fair and reasonable terms. This process aims to protect the interests of the Company while also safeguarding the rights of other stakeholders.

Risk and Investment Committee: The primary role of this Committee is to identify and assess key risks and their potential impact on the organization, with the objective of effectively managing, monitoring, and mitigating them in the best interests of the Group. Additionally, the Committee evaluates the feasibility and strategic fit of investment opportunities presented by Management.

Nomination and Governance Committee: The core responsibility of this Committee is to ensure the implementation of effective corporate governance measures and to support leadership continuity across the organization. It is entrusted with identifying, evaluating, and recommending suitably qualified candidates for appointment to the Company's Board of Directors, ensuring a balanced composition with diverse skills, experience, and perspectives. The Committee also oversees the Company's corporate governance framework, including Board performance evaluations, succession planning for key executive roles,

and adherence to applicable regulations and best practices. Through its commitment to strong governance and strategic leadership appointments, the Nominations and Governance Committee plays a vital role in securing the Company's long-term sustainability and success.

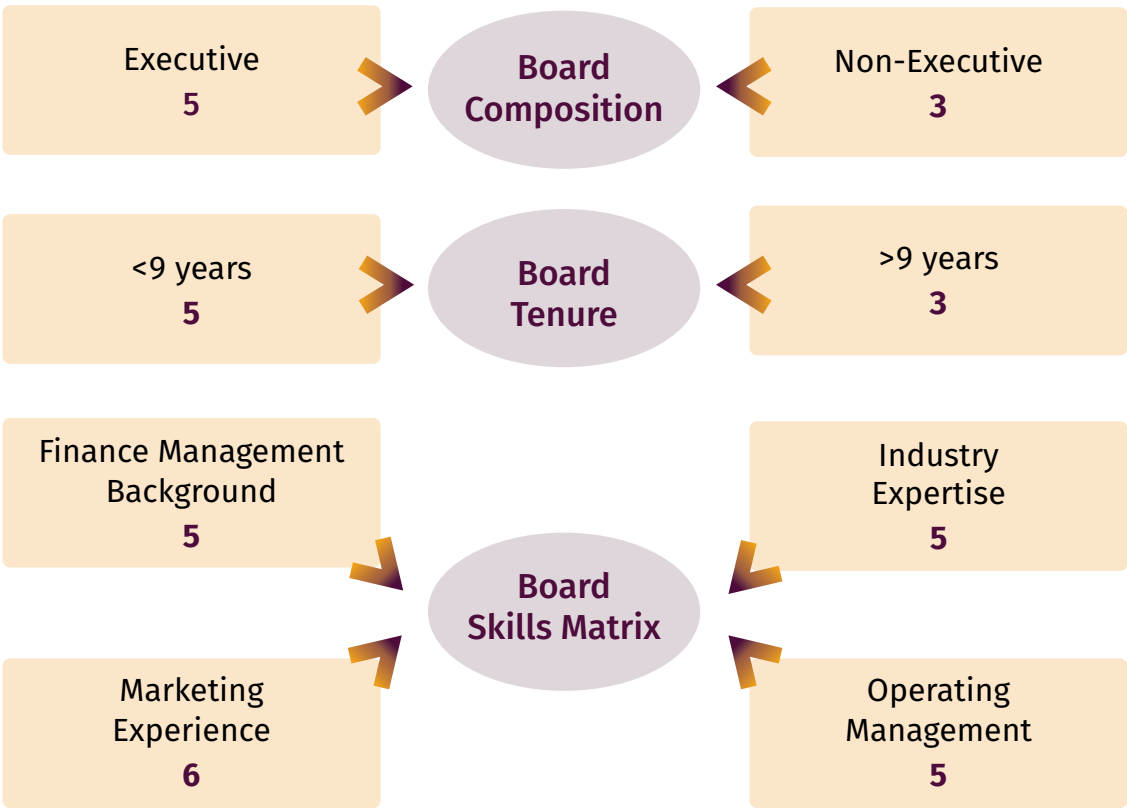
Executive Management Committee (EMC): The Executive Management Committee (EMC), chaired by the CEO, focuses on the day-to-day operations of the Group and the implementation of the strategy established by the Board. The members of the EMC hold specific responsibilities aligned with their expertise and background. The Committee meets weekly and is comprised of the Managing Director/CEO, Executive Director, Director of Operations, Financial Controller, and Heads of Divisions.

The Composition of the Board

Bairaha is led by a Board of Directors consisting of eight members, each bringing a diverse range of skills, knowledge, and experience essential for overseeing the business and driving long-term value for shareholders. The composition of the Board as of the date of this report is as follows:

Mr Reyaz Mihular	– Chairman/Independent Non-Executive Director
Mr Yakooth Naleem	– Managing Director/Chief Executive Officer
Mr Riyal Yakooob	– Executive Director
Mr Kamil Naleem	– Executive Director
Mr Mubarak Naleem	– Executive Director
Mr Mohamed Imtizam Wahid	– Executive Director, Director of Operations
Mr Olga Ashley Herath	– Independent Non-Executive Director
Ms Radhika Ratnayake	– Independent Non-Executive Director

The profiles of the Directors are given on pages 58 to 61 of this Report.



Roles and Responsibilities

Chairman

The Chairman provides strategic leadership to the Board, ensuring the effective execution of its responsibilities. By setting the agenda, he establishes clear direction and focus for Board discussions, while fostering a culture of openness and encouraging active participation from all Directors. Additionally, the Chairman promotes effective communication within the Board, cultivating mutual respect between Executive and Non-Executive Directors and ensuring the smooth and cohesive functioning of the Board.

Chief Executive Officer

The CEO is accountable for the day-to-day management of Bairaha's operations. As the Chair of the Executive Management Committee (EMC), he leads Senior Management

in executing the strategies, policies, and recommendations approved by the Board, and is responsible for achieving the Company's agreed objectives. Additionally, the CEO, along with EMC members, engages in regular dialogue with stakeholders to identify emerging opportunities and risks, ensuring the Board remains well-informed and responsive.

Independent Non-Executive Directors

The Non-Executive Directors (NEDs) play a vital role in bringing external perspectives and objectivity to Board deliberations, drawing on their broad and diverse experience. They contribute to shaping strategic and policy proposals, ensuring their relevance and effectiveness. Where appropriate, NEDs provide support or constructive challenge to Management, while closely monitoring performance to help ensure the successful delivery of the Company's objectives.

Executive Directors

The Executive Directors contribute valuable insights to Board discussions through their in-depth knowledge of the business and privileged access to the Company's operational information. They play a key role in supporting the CEO in the execution of Board-approved strategies and policies, while also overseeing the Company's day-to-day operations.

Additionally, the Company Secretary has traditionally served as the primary point of contact for shareholders. However, effective from 1st January 2024, Central Depository Systems (Pvt) Ltd has been appointed as the Company's Registrar. Going forward, shareholders should contact Central Depository Systems (Pvt) Ltd for any queries or issues related to their shareholdings.

Company Secretary and Registrar

The Company Secretary plays a key role in advising the Directors on Board procedures, corporate governance practices, statutory obligations, disclosure requirements, and other administrative matters. The Secretary also facilitates effective communication within the Board by coordinating and distributing agendas, minutes, and related documents.

Independence of Non-Executive Directors

The independence of the Non-Executive Directors (NEDs) was assessed based on the criteria outlined in the Code of Best Practice on Corporate Governance issued by The Institute of Chartered Accountants of Sri Lanka, as well as the Continuous Listing Requirements of the Colombo Stock Exchange. The following criteria were used in evaluating the independence of the NEDs:

Criteria	Adherence by the NEDs
Employment at the Company, three years immediately preceding the appointment.	None of the NEDs have been employed by the Company and its subsidiaries.
Material business relationship with the Company, within three years immediately preceding appointment.	None of the NEDs had a material business relationship with the Company.
A close family member is a Director, and/or CEO, or a Key Management Personnel of the Company.	No family member of NEDs are Directors, CEO or Key Management Personnel.
Significant shareholder of the Company or associated directly with a significant shareholder of the Company.	None of the NEDs have a significant shareholding in the Company or associated with a shareholder with significant shareholding. Refer to page 54 of this Report.
Served on the Board continuously for a period exceeding nine years from the date of the first appointment.	None of the NEDs have served in the Board for a period exceeding nine years.
Employment, directorship, material business relationship or significant shareholding in another Company or business that has a material business relationship, business connection or a significant shareholding in the Company, directly or indirectly.	None of the NEDs are employed, hold directorships, have material business relationships or have a significant shareholding as defined in the criteria.
Is above the age of seventy (70) years.	None of the NEDs are above the age of seventy (70) years.

Note: Material business relationship – income and benefits equivalent to 10% of Director's annual income/Business connection – transaction value equivalent to 10% of the turnover of the Company/Significant shareholding – carrying more than 5% of voting shares.

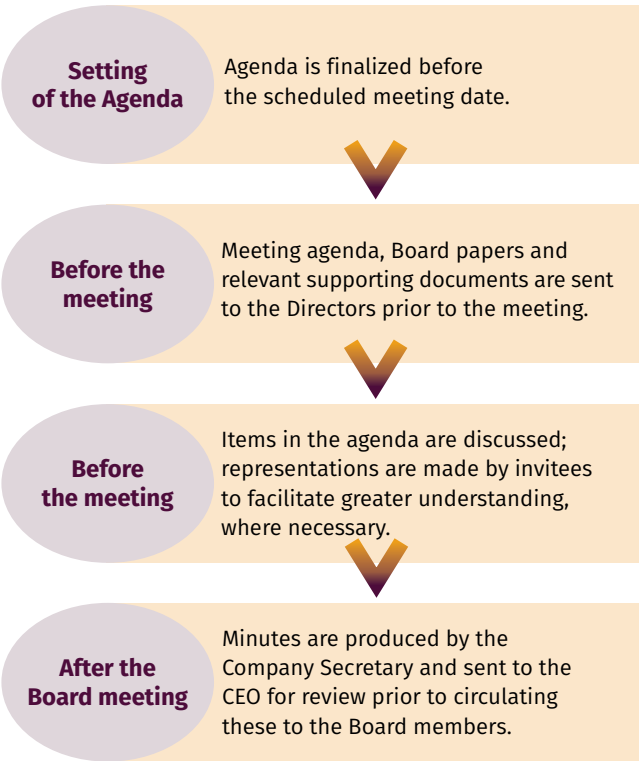
Based on the declarations submitted, the Board determined that Mr Reyaz Mihular, Mr Olga Ashley Herath and Ms Radhika Ratnayake are independent.

Procedures are in place to avoid potential conflicts or bias that can impair the Independence of the NEDs, where the Directors submit relevant disclosures of interests at the start of the financial year as well as during the financial year when necessary.

Board Meetings

The Board operates on a structured and well-defined agenda. To facilitate informed decision-making, Management ensures that comprehensive and relevant information is shared with Board members in advance, allowing sufficient time for review and preparation. Additionally, senior executives from the Executive Management Committee are invited to attend Board meetings when their input is required.

The following steps are followed before and after each Board meeting.



Directors are granted full access to Management and have the freedom to request additional information or seek clarification on any matters presented to the Board. The Chairman ensures that all Directors are thoroughly briefed on key issues discussed during Board meetings. Furthermore, the minutes of each meeting are circulated to all Directors in advance of the subsequent Board meeting, allowing ample time for review and follow-up.

The Board generally meets monthly and during the year under review, the Board met 10 times.

Name of the Director	Number of meetings eligible to attend	Attendance
Mr Reyaz Mihular	10	10
Mr Yakooth Naleem	10	10
Mr Riyal Yakoob	10	10
Mr Kamil Naleem	10	09
Mr Mubarak Naleem	10	10
Mr Mohamed Imtizam Wahid	10	10
Mr Olga Ashley Herath	10	10
Ms Radhika Ratnayake	10	10

Appointment of Directors

The appointment of a new Director may arise either upon the resignation of an existing Director or when the Board identifies the need to enhance its capabilities by bringing in individuals with specific knowledge and expertise. Such appointments are made through a collective decision of the Board, ensuring that the selected individuals possess the required talent and experience.

Upon the appointment of a new Director, the Company makes a Corporate Disclosure to the Colombo Stock Exchange, which includes a brief résumé outlining the Director's educational background, professional expertise, directorships in other companies, shareholding in the Company, and independence status.

Newly appointed Directors are provided with comprehensive information and support to familiarize themselves with the business and its operations. They are also introduced to the Company's core values and organizational culture. The Company Secretary plays a key role in guiding all Board members, including new appointees, on matters related to compliance, governance, and best practices for effective Board functioning.

Re-election of Directors

In accordance with the Company's Articles of Association, one-third of the Directors retire by rotation at each Annual General Meeting (AGM). Those required to retire are typically the Directors who have served the longest since their last appointment or re-election. Directors appointed during the year must offer themselves for re-election at the first AGM following their appointment. Furthermore, Directors who are over 70 years of age are required to submit themselves for re-election on an annual basis.

Details of the Directors proposed for election or re-election are included in the Notice of the AGM, ensuring that shareholders are informed in advance and are able to make well-considered decisions regarding their appointments.

Directors' Remuneration

(i) Policy and Procedures

The Company has established policies and procedures to ensure that no Director is involved in setting their own remuneration. The Remuneration Committee is responsible for making recommendations to the Board regarding the remuneration of Executive Directors. The Committee is composed of three Independent Non-Executive Directors, with the details of its composition provided on page 81 of this Report.

The Remuneration Committee consults with the CEO on his proposals concerning the remuneration of Non-Executive Directors. Additionally, the Committee has access to professional advice, both internal and external to the Company, to effectively carry out its duties. The remuneration of Non-Executive Directors is determined by the Board as a whole.

(ii) Level and Structure

In determining the remuneration of Executive Directors, the Remuneration Committee ensures that it is competitive and sufficient to retain experienced Directors who are vital to achieving the Company's strategic objectives. The Committee, where necessary, compares the remuneration packages offered by other companies to ensure that the level and structure of Executive Directors' remuneration remain competitive. Executive Directors are eligible for a performance-based incentive scheme, which is also applicable to other employees within the Company.

Currently, the Company does not have an Executive Share Option Scheme. Non-Executive Directors receive a fee and an allowance for their roles on the Board and for attending meetings. However, Non-Executive Directors are not eligible for performance-based incentives. During the year under review, the Company paid a total of LKR 64,089,681 in emoluments to its Directors.

Relations with Shareholders

Understanding the needs of our shareholders is essential for the Management to create long-term value. As such, we actively engage with our shareholders to understand and address their concerns. The Company encourages shareholder participation at the Annual General Meeting, where we provide clear answers and clarifications on any issues raised. Additionally, the Board ensures shareholders are kept informed of the Company's progress by making quarterly and annual Financial Statements available in a timely manner, along with other forms of communication.

Bairaha Farms PLC has implemented a policy on effective communication and engagement with shareholders in accordance with Section 9.2 of the Listing Rules. For any inquiries related to this matter, the designated contact person is the,

Financial Controller

Bairaha Farms PLC
2nd Floor
No. 407, Galle Road, Colombo 3.
Phone: +94 11 257 5255
Email: corporateoffice@bairaha.com

Our adherence to the Code of Best Practice on Corporate Governance, issued by The Institute of Chartered Accountants of Sri Lanka, as well as the Continuing Listing Requirements of the Colombo Stock Exchange and the Code of Best Practices on Related Party Transactions issued by the Securities and Exchange Commission of Sri Lanka, is outlined on pages 71 to 76 of this Report.

Board Positions Held by our Directors in Non-Group Entities

Director	Name of Company	Listed/Unlisted	Nature of Directorship
1. Mr Reyaz Mihular	Watawala Plantations PLC	Listed	Independent Non-Executive Director/Chairman
	Sunshine Holdings PLC	Listed	Independent Non-Executive Director
	Melstacorp PLC	Listed	Independent Non-Executive Director
	Aitken Spence PLC	Listed	Independent Non-Executive Director
	Aitken Spence Hotel Holdings PLC	Listed	Independent Non-Executive Director
	Browns Beach Hotels PLC	Listed	Independent Non-Executive Director
	Balangoda Plantations PLC	Listed	Independent Non-Executive Director
	Madulsima Plantations PLC	Listed	Independent Non-Executive Director
	DAMRO Holdings Ltd	Unlisted	Independent Non-Executive Director
	LTL Holdings Ltd	Unlisted	Independent Non-Executive Director
	Agility Innovation (Pvt) Ltd	Unlisted	Independent Non-Executive Director
	Sunshine Teas (Pvt) Ltd	Unlisted	Independent Non-Executive Director
	Lonach Dairy (Pvt) Ltd	Unlisted	Independent Non-Executive Director
2. Mr M N M Yakooth	N/A	N/A	N/A
3. Mr M Y M Riyal	N/A	N/A	N/A
4. Mr M N M Kamil	N/A	N/A	N/A
5. Mr M N M Mubarak	N/A	N/A	N/A
6. Mr M I Wahid	N/A	N/A	N/A
7. Mr O A Herath	Infinity Global Consultant Pvt Ltd	Unlisted	Executive Director
8. Ms R M R V Ratnayake	N/A	N/A	N/A

Compliance Status with the Code of Best Practice on Corporate Governance

Statement of Compliance under Section 7.6 of the Listing Rules of the Colombo Stock Exchange (CSE) on Annual Report Disclosure

Mandatory provisions – Fully compliant

Rule	Compliance status	Reference in Annual Report
(i) Names of persons who were Directors of the entity		Board of Directors
(ii) Principal activities of the entity and its subsidiaries during the year, and any changes therein		The Bairaha Family section and Notes to the Financial Statements
(iii) The names and the number of shares held by the 20 largest holders of voting and non-voting shares and the percentage of such shares held		Investor Relations
(iv) The float adjusted market capitalization, public holding percentage (%), number of public shareholders and under which option the listed entity complies with the minimum public holding requirement		Annual Report of the Board of Directors on the Affairs of the Company
(v) A statement of each Director's holding and Chief Executive Officer's holding in shares of the entity at the beginning and end of each financial year		Annual Report of the Board of Directors on the Affairs of the Company
(vi) Information pertaining to material foreseeable risk factors of the Entity		Risk Management
(vii) Details of material issues pertaining to employees and industrial relations of the Entity		Management Discussion and Analysis
(viii) Extents, locations, valuations, and the number of buildings of the Entity's land holdings and investment properties		Notes to the Financial Statement
(ix) Number of shares representing the Entity's stated capital		Annual Report of the Board of Directors on the Affairs of the Company
(x) A distribution schedule of the number of holders in each class of equity securities, and the percentage of their total holdings		Investor Relations
(xi) Financial ratios and market price information		Financial Capital
(xii) Significant changes in the Company's or its subsidiaries' fixed assets, and the market value of land, if the value differs substantially from the book value as at the end of the year		Notes to the Financial Statements
(xiii) Details of funds raised through a public issue, rights issue and a private placement during the year	N/A	The Company did not raise equity during the financial year.
(xiv) Information in respect of Employee Share Ownership or Stock Option Schemes		There are no ESOP's or stock option schemes in effect at present.
(xv) Disclosures pertaining to Corporate Governance Practices in terms of Section 9 of the Listing Rules		Corporate Governance Report

Compliance Status with Colombo Stock Exchange Listing Rules on Corporate Governance

Stewardship

Statement of Compliance under Section 9 of the Listing Rules of the CSE on Corporate Governance

Mandatory provisions – Fully compliant

CSE Rule	Compliance status	Remarks/Reference in Annual Report
Disclosures Regarding the Board of Directors		
9.2.1 Policies Listed entities must establish and maintain the 12 policies as specified in the listing rules and disclose their existence, along with details of their implementation, on the entity's website.		The Bairaha Group is compliant with these requirements, and the established policies are available on our website at https://www.bairaha.com/corporate-governance/ .
9.3.3 Chairperson of the Board of Directors The Chairperson of the Board of Directors of the Listed Entity shall not be the Chairperson of the Board Committees referred to in Rule 9.3.1.		Mr Reyaz Mihular, Chairman does not hold chairmanship in any committee
9.6.1 Separation of Roles Between Chairperson and CEO The Chairperson of every Listed Entity shall be a Non-Executive Director. Consequently, the position of Chairperson and CEO shall not be held by the same individual.		Mr Reyaz Mihular is a Non-Executive Director and he does not hold the position of CEO.
9.7.2 Fit and Proper Assessment Listed Entities shall ensure that persons recommended by the Nominations and Governance Committee as Directors are fit and proper as required in terms of these Rules		Declaration as per the listing rules related to fit and proper assessment criteria has been obtained and ensured that the said criteria are met by all the Directors.
9.8.1 Minimum Number of Directors The Board of Directors of a Listed Entity shall, at a minimum, consist of five (5) Directors		The board consists of 8 Directors.
9.8.2 (a) Minimum Number of Independent Directors The Board of Directors of Listed Entities shall include at least two (2) Independent Directors or such number equivalent to one third (1/3) of the total number of Directors of the Listed Entity at any given time, whichever is higher.		Three Board members out of eight are Independent.
9.8.3 (ix) Criteria for determining independence Revision to Independence Criteria as prescribed in this rule.		Refer Corporate Governance section of the Annual Report.

CSE Rule	Compliance status	Remarks/Reference in Annual Report
9.8.5 (a) Declaration of Independency by Directors Each Non-Executive Director should submit a declaration of independence/non-independence in the prescribed format annually		Non-Executive Directors have submitted declarations during the year 2024/25.
9.10.2 New appointment of Directors (i-iii) A brief resume of the newly appointed Directors should be provided to the Colombo Stock Exchange for dissemination to the public.		No new appointments were made to the Board during the year.
9.10.4 The disclosure relating to Directors (a) A brief resume of each Director should be included in the Annual Report including the area of his/her expertise		Refer Board of Directors section of the Annual Report.
Disclosures Regarding the Nomination and Governance Committee		
9.11.1 Listed Entities shall have a Nominations and Governance Committee		Refer Report of the Nomination and Governance Committee
9.11.4 The members of the Nomination and Governance Committee shall comprise a minimum of three (3) Directors of the Listed Entity, out of which a minimum of two (2) members shall be Independent Directors of the Listed Entity and not comprise Executive Directors of the Listed Entity		The committee consists of three Independent Non-Executive Directors
9.11.5 Functions of the Nomination and Governance Committee as set out in the listing rules.		Refer Report of the Nomination and Governance Committee
9.11.6 (a) The names of the Chairperson and members of the Committee and the nature of directorships held by such members (b) The date of appointment to the Committee (c) Whether a documented policy and processes are in place when nominating Directors (d) Whether all Directors should be required to submit themselves for re-election at regular intervals and at least once in every three (3) years (e) A disclosure on Board diversity in the range of experience, skills, age and gender as an essential factor for effective Board performance		Refer Report of the Nomination and Governance Committee

CSE Rule	Compliance status	Remarks/Reference in Annual Report
Disclosures Regarding the Remuneration Committee		
9.12.2 A Listed Company shall have a Remuneration Committee		Refer Report of the Remuneration Committee
9.12.6 (1) (a) The members of the Remuneration Committee shall a minimum of three (3) Directors of the Listed Entity, out of which a minimum of two (2) members shall be Independent Directors of the Listed Entity (b) not comprise of Executive Directors of the Listed Entity.		The committee consists of three Independent Non-Executive Directors
9.12.7 The Remuneration Committee shall recommend the remuneration of the Chief Executive Officer and Executive Directors		Refer Report of the Remuneration Committee
9.12.8 (a) Names of the Chairperson and members of the Remuneration Committee and the nature of directorships held by such members (b) A statement regarding the remuneration policy (c) The aggregate remuneration of the Executive and Non-Executive Directors		Refer Report of the Remuneration Committee
Disclosures Regarding the Audit Committee		
9.13.1 A Listed Company shall have an Audit Committee		Refer to Report of the Audit Committee
9.13.3 (1) The Committee shall comprise of Non-Executive Directors, the majority of whom shall be independent. 9.13.3 (7) The Chairman of the Committee should be a Member of a recognized professional accounting body		The committee consists of three Independent Non-Executive Directors. The Chairman of the Committee, Ms Radhika Ratnayake is a Member of the Chartered Institute of Management Accountants (CIMA), UK.
9.13.4 (1) Functions of the Audit Committee as per listing rules.		Refer to Report of the Audit Committee
9.13.5 (a) Names of Directors comprising the Audit Committee (b) The Audit Committee shall make a determination of the independence of the Auditor and disclose the basis for such determination (c) The Annual Report shall contain a Report of the Audit Committee setting out the manner of compliance with their functions		Refer to Report of the Audit Committee

CSE Rule	Compliance status	Remarks/Reference in Annual Report
Disclosures Regarding the Related Party Transactions Review Committee		
9.14.2 The Related Party Transactions Review Committee shall comprise of a minimum of three (3) Directors of the Listed Entity, out of which two (2) members shall be Independent Directors of the Listed Entity		The committee consists of three directors out of which two members are independent.
9.14.3 Functions of the Related Party Transaction Review Committee as per listing rules		Refer to Report of the Related Party Transaction Review Committee
9.14.7 (1) A Listed Entity shall make an immediate Market Announcement to the Exchange, (a) of any non-recurrent Related Party Transaction with a value exceeding 10% of the Equity or 5% of the Total Assets, whichever is lower, of the Entity as per the latest Audited Financial Statements; or (b) of the latest transaction, if the aggregate value of all non-recurrent Related Party Transactions entered into with the same Related Party during the same financial year amounts to 10% of the Equity or 5% of the Total Assets, whichever is lower, of the Entity as per the latest Audited Financial Statements		Refer Notes to the Financial Statements.
9.14.8 (1) In the case of non-recurrent Related Party Transactions, if the aggregate value of the non-recurrent Related Party Transactions exceeds 10% of the Equity or 5% of the Total Assets, whichever is lower, of the Listed Entity according to the latest Audited Financial Statements		Refer Notes to the Financial Statements.
9.14.8 (2) In the case of recurrent Related Party Transactions, if the aggregate value of the recurrent Related Party Transactions exceeds 10% of the gross revenue/income as per the latest Audited Financial Statements		Refer Notes to the Financial Statements
9.14.8 (3) Annual Report shall contain a report compiled by the RPTR Committee including the following: Names of the Directors who are in the Committee Statement about related party transactions reviewed during the financial year, Policies and procedures adopted by the RPTRC		Refer to Report of the Related Party Transaction Review Committee
9.14.8 (4) A declaration by the Board of Directors as an affirmative statement of compliance with the rules pertaining to Related Party Transactions or a negative statement in the event the Entity has not entered into any Related Party Transactions		Refer to Report of the Board of Directors on the affairs of the Company

Statement of Compliance Pertaining to Companies Act of No. 07 of 2007

Rule	Compliance Status	Reference in Annual Report
168 (1) (a) The nature of the business together with any change thereof		Notes to the Financial Statements and About Us
168 (1) (b) Signed Financial Statements of the Group and the Company		Financial Statements
168 (1) (c) Auditors' Report on Financial Statements		Independent Auditors' Report
168 (1) (d) Accounting policies and any changes therein		Notes to the Financial Statements
168 (1) (e) Particulars of the entries made in the Interests Register		Annual Report of the Board of Directors on the Affairs of the Company
168 (1) (f) Remuneration and other benefits paid to Directors of the Company		Notes to the Financial Statements and Corporate Governance Report
168 (1) (g) Corporate donations made by the Company		Notes to the Financial Statements and Annual Report of the Board of Directors on the Affairs of the Company
168 (1) (h) Information on the Directorate of the Company and its subsidiaries during and at the end of the accounting period		Annual Report of the Board of Directors on the Affairs of the Company
168 (1) (i) Amounts paid/payable to the External Auditor as audit fees and fees for other services rendered		Notes to the Financial Statements
168 (1) (j) Auditors' relationship or any interest with the Company and its subsidiaries		Report of the Audit Committee
168 (1) (k) Acknowledgement of the contents of this Report and signatures on behalf of the Board		Financial Statements/Annual Report of the Board of Directors on the Affairs of the Company

The Board of Directors of Bairaha Farms PLC has pleasure in presenting to the shareholders its Annual Report on the affairs of the Company together with the Audited Financial Statements of the Company and the Consolidated Financial Statements of the Company and its subsidiaries for the financial year ended 31st March 2025 conforming to all relevant statutory requirements.

This Report provides the information as required by the Companies Act No. 07 of 2007, Listing Rules of the Colombo Stock Exchange and the recommended Best Practices.

General

Pursuant to the requirements of the new Companies Act No. 07 of 2007, the Company was re-registered on 14th February 2008 and bears registration number PQ122. Accordingly, the name of the Company has changed to Bairaha Farms PLC.

The registered office of the Company is located at 407, Galle Road, Colombo 3.

Group Activities

The core activities of the Group are vertically integrated poultry farming, chicken processing and manufacturing of pre-cooked meats and in particular the following:

- Breeding poultry and operating of hatcheries for the production and sale of both parent and commercial broiler day-old-chicks
- Operating hundreds of out grower farms as well as a few large-scale own broiler farms
- Processing, distributing and selling of packeted whole broiler chicken and broiler chicken portions (cut-ups)
- Manufacturing, distributing and selling of pre-cooked meats including chicken sausages, chicken meat balls, chicken sandwich slices and marinated chicken

There have been no significant changes in the nature of activities of the Company and its subsidiaries during the financial year under review.

Financial Statements

The Financial Statements of the Company and the Consolidated Financial Statements of the Group have been prepared in accordance with Sri Lanka Accounting Standards (SLFRS/LKAS) as issued by The Institute of Chartered Accountants of Sri Lanka and comply with the requirements of the Companies Act, No.7 of 2007 and the Listing Rules of the Colombo Stock Exchange.

The aforesaid Financial Statements, duly signed by the Financial Controller and two Directors on behalf of the Board are included in this Annual Report on page 106 to 111 form an integral part of this Annual Report of the Board of Directors.

Summarized Financial Results

LKR'000	31st March 2025	31st March 2024
Group Revenue	13,916,401	13,291,268
Total Comprehensive Income	123,078	728,925
Retained Earnings	4,212,592	4,175,427

Auditor's Report

The Report of the Independent Auditors on the Group Financial Statements is given on page 102.

Directors

The names of the Directors who held office as at the end of the accounting period are given below and their brief profiles appear on pages 58 and 61.

Executive Directors

Mr M N M Yakooth (Managing Director)

Mr M Y M Riyal

Mr M N M Kamil

Mr M N M Mubarak

Mr M I Wahid

Independent Non-Executive Directors

Mr M R Mihular

Mr O A Herath

Ms R M R V Ratnayake

Changes in the Board of Directors During the Year

New Appointments/resignations during the year

Prof. H Abeygunawardena ceased to be a Director of the Company with effect from 27th June 2024.

Recommendation for Re-election of Directors who Retire by Rotation

In accordance with Article 87 and 88 of the Articles of Association of the Company, Mr M N M Mubarak and Mr M I Wahid retire by rotation and, being eligible are recommended for re-election.

Directors of the Subsidiaries as at 31st March 2025

The names of the Directors of the subsidiaries and sub-subsidiary companies are given on page 182.

Fit and Proper Assessment of Directors

In terms of Rule 9.7.4 of the Listing Rules of the Colombo Stock Exchange, Declarations were obtained from the Directors who confirmed that they have continuously satisfied the Fit and Proper Assessment Criteria set out in the Listing Rules during the financial year under review and as at the date of such Declarations.

Additional Disclosures Pertaining to Directors

(i) Material Business relationships

None of the Directors or close family members have any material business relationships with other Directors of the Company.

(ii) Other directorships held by the Directors

Other directorships held by Directors are disclosed on page 70.

Board Meetings

Ten (10) Board meetings of the Company were held during the year under review and the Directors' attendance at those meetings is set out on page 68.

Interest Register

The Company maintains an Interest Register in terms of the Companies Act No. 07 of 2007.

All related party transactions which encompass the transactions of Directors who were directly or indirectly interested in a contract or a related party transaction with the Company during the accounting period is recorded in the Interest Register in due compliance with the applicable rules and regulations of the relevant Regulatory Authorities.

The relevant interests of Directors in the shares of the Company as at 31st March 2025 are recorded in the Interest Register and details are given in this Report under Directors' shareholding.

Directors' Remuneration

The Directors' remuneration is disclosed in Note 24 to the financial statements on page 154.

Directors' Interests in Contracts

The Directors declare that all material interests in contracts involving the Company have been disclosed to the Board and wherever any Director was materially interested in a contract or a proposed contract with the Company, they have refrained from voting on such contracts.

It is further declared that during the year under review, the Company did not enter into any contracts in which any Director was materially interested except for the transactions referred to in Note 32.2 to the Financial Statements.

Directors' Responsibility for Financial Reporting

The Directors are responsible for the preparation of Financial Statements of the Company and the Group, and to ensure that they reflect a true and fair view of the state of its affairs. A further statement in this regard is included on page 101.

Auditors Company

Messrs Ernst & Young, Chartered Accountants served as the Auditors during the year under review. As far as the Directors are aware, the Auditors' only relationship with the Company is in regard to their work relating to the audit and the computation that they do in regard to Taxation.

The audit fee payable for the year under review is LKR 3,924,320/-.

The Auditors have also provided tax compliance services during the year and the fee payable in this regard amounts to LKR 497,530/-.

The Auditors have expressed their willingness to continue in office. Based on the recommendations of the Audit Committee a resolution to re-appoint the Auditors and authorizing the Directors to determine their remuneration will be proposed at the Annual General Meeting.

Group

The audits of subsidiary companies are handled by firms of Chartered Accountants in Sri Lanka or their respective countries of incorporation. Details of payments to such audit firms on account of audit fees are set out in Note 24 to the financial statements on page 154.

Independence of Auditors

Based on the declaration provided by Messrs. Ernst & Young, Chartered Accountants and to the extent that the Directors are aware, the Auditors do not have any relationship with (other than that of the Auditor), or interest in, the Company, which in the opinion of the Board, may reasonably be considered to have a bearing on their independence within the meaning of the Code of Professional Conduct and Ethics issued by The Institute of Chartered Accountants of Sri Lanka as at the reporting date.

Stated Capital

The Stated Capital of the Company as at 31st March 2025 was LKR 536,305,197/- represented by 17,600,000 Ordinary Shares.

There were no changes in the Stated Capital of the Company during the year.

Directors' Shareholding

The shareholdings of the Directors of the Company are as follows:

As at 31st March	Number of Shares 2025	Number of Shares 2024
Directors		
Mr Reyaz Mihular	8,486	7,114
Mr Yakooth Naleem	1,872,053	1,872,053
Mr Riyal Yakooob	906,735	906,735
Mr Kamil Naleem	1,764,316	1,764,316
Mr Mubarak Naleem	1,826,998	1,826,998
Mr M I Wahid	2,200	2,200
Mr Ashley Herath	—	—
Ms Radhika Ratnayake	—	—
Prof. H Abeygunawardena (Resigned on 27.06.2024)	N/A	—

Major Shareholders, Distribution Schedule and other Information

Information on the thirty largest shareholders of the Company, distribution schedule of the shareholders and market value per share are given as per the Listing Rules of the Colombo Stock Exchange on pages 53 to 55 under Investor Information.

Float Adjusted Market Capitalization and Public Holding

Float adjusted market capitalization – LKR 1,848,292,687.

63.743% of the issued shares of the Company are in the hands of 4,072 public shareholders.

The Company complies with option 5 of the Listing Rules 7.14.1 (a).

Reserves

The movement of reserves during the year are given under the Statement of Changes in Equity on page 109.

Land Holdings

Details of Company's ownership of lands are given in note 4 of the Financial Statements.

Capital Expenditure

The total capital expenditure during the year amounted to LKR 457 Mn. compared to LKR 599 Mn. incurred in the previous year.

Details of movements in property, plant and equipment are given under Note 4 to the financial statements.

Dividends

The Company declared and paid a Second Interim Dividend of LKR 2.50 per share for 2023/24 on 01st July 2024 and an Interim Dividend of LKR 2/50 per share for 2024/25 on 28th March 2025.

Statutory payments

The Directors confirm that to the best of their knowledge, all taxes, duties and levies payable by the Company, and all contributions, levies and taxes payable on behalf of, and in respect of employees of the Company and all other known statutory dues as were due and payable by the Company as at the balance sheet date have been paid or, where relevant provided for.

Donations

The Company has made donations for charitable purposes amounting to LKR 2,399,412 (2024 – LKR 4,853,616/-) for the year ended 31st March 2025.

Compliance with Laws and Regulations

The Board has made arrangements to make themselves aware of applicable laws, rules, and regulations and changes thereto, particularly to Listing Rules and applicable capital market provisions through regular updates provided by Directors themselves, whose expertise lies in the field of Finance/ Audit/Business Administration and by the Company Secretaries.

To the best of knowledge and belief of the Directors, there were no material non compliances with laws or regulations and there were no fines which are material imposed on the Company by any government or regulatory authority in the Country.

Events Occurring after the Balance Sheet Date

No circumstances have arisen since the reporting date, which would require adjustment to, or disclosure in the financial statements.

Corporate Governance

Corporate governance practices and principles with respect to the management and operations of the Company are set out on pages 62 to 70 of this Report.

The Directors confirm that the Company has complied with the rules on corporate governance contained in the Listing Rules of the Colombo Stock Exchange.

An Audit Committee, Remuneration Committee, Related Party Transactions Review Committee and Nominations and Governance Committees function as subcommittees of the Board and they are composed of Directors with the requisite qualifications and experience. The composition of the said Committees is as follows:

Audit Committee

Ms R M R V Ratnayake – Chairperson

Mr M R Mihular – Member

Mr O A Herath – Member

Remuneration Committee

Ms R M R V Ratnayake – Chairperson

Mr M R Mihular – Member

Mr O A Herath – Member

Related Party Transactions Review Committee

Mr O A Herath – Chairman

Mr M R Mihular – Member

Mr M Y M Riyal – Member

Nominations and Governance Committee

Mr O A Herath – Chairman

Mr M R Mihular – Member

Ms R M R V Ratnayake – Member

Declaration – Compliance with the Provisions of the Listing Rules

The Related Party Transactions Review Committee has reviewed all related party transactions that require their review for the year ended 31st March 2025.

The Directors declare that the Company is in compliance with the listing rules of the Colombo Stock Exchange pertaining to related party transactions during the financial year ended 31st March 2025.

Amendment to Articles of Association

The Directors in the Notice of Meeting have placed before the shareholders under “Special Business” amendments to certain Articles of the Articles of Association of the Company.

- (a) Article 53 is amended to facilitate meetings of shareholders to be held in addition to physical meetings as per the present Article; by means of audio or audio and visual communication ; thereby providing the Board to have the option to determine whether a General Meeting of shareholders would be held as a physical meeting, electronic meeting or as a hybrid meeting.
- (b) Currently, the minimum number of Directors shall not be less than three (03). The recent amendments to Listing Rules required the minimum number to be increased to five (05). The amendment is to be in line with the new rule.

- (c) The Listing Rules recently amended the circumstances under which/the period for which an Alternate Director may be appointed. The amendment is in line with the Rule.
- (d) Additional methods were brought in to serve notice on shareholders.
- (e) Further provision in terms of the Rules that publication by advertisement must be done in all three languages in a national newspaper. Publication of notice was further enhanced if permitted by law, to be done via the official website of the company and/or the official website of the Colombo Stock Exchange so long as the company is listed on the Colombo Stock Exchange.

Annual General Meeting

The Annual General Meeting will be held at the Auditorium, Sri Lanka Foundation, 100, Padanama Mawatha, Independence Square, Colombo 7 at 11.30am on Monday the 30th of June 2025.

The Notice of the Annual General Meeting appears on page 183.

Acknowledgement

The Board of Directors has approved the Audited Financial Statements together with the Annual Report of the Board of Directors and the Reviews which form part of the Annual Report dated 29th May 2025.

This Annual Report is signed for and on behalf of the Board of Directors by

(Sgd.)
Yakooth Naleem
Managing Director

(Sgd.)
Riyal Yakoob
Executive Director

(Sgd.)
P W Corporate Secretarial (Pvt) Ltd.
Secretaries

29th May 2025
Colombo

The Audit Committee (the “Committee”) plays a crucial role in assisting the Board of Directors (the “Board”) with fulfilling its oversight responsibilities. The Committee’s key functions include reviewing Financial Statements, evaluating internal control systems, and overseeing risk management procedures to ensure compliance with relevant accounting standards, all while safeguarding the independence of the External Auditor.

The Committee helps the Board uphold the integrity of the Group’s Financial Statements by ensuring the financial reporting system is robust, well-managed, and capable of providing accurate, timely, and relevant information. It also ensures compliance with the Companies Act and other legislative reporting requirements, confirming that the Financial Statements are in alignment with Sri Lanka Accounting Standards. These responsibilities are essential for safeguarding the interests of shareholders and other stakeholders.

The Committee reviews the design and operational effectiveness of the Company’s internal controls and suggests improvements where appropriate. It also monitors the effectiveness of the Group’s risk management practices, ensuring that risks are identified, assessed, and mitigated.

Furthermore, the Committee evaluates the performance and independence of both the Internal and External Auditors, and it is responsible for recommending the reappointment or change of External Auditors, along with their remuneration and terms of engagement. Additionally, the Committee offers recommendations and suggestions to the Board as necessary within its scope of authority.

Through its independent oversight, the Committee plays an integral role in supporting the Board’s efforts to ensure compliance with legal and regulatory requirements, while fostering strong corporate governance and promoting long-term value creation.

Composition of the Audit Committee

The Audit Committee is composed entirely of Non-Executive Directors, all of whom are independent in accordance with applicable corporate governance standards.

1. Ms Radhika Ratnayake serves as the Chairperson of the Committee. She is a Chartered Financial Analyst (CFA) charterholder, USA, and a Member of the Chartered Institute of Management Accountants (CIMA), UK.

2. Mr Reyaz Mihular is a Fellow of the Institute of Chartered Accountants of Sri Lanka and a Fellow of the Chartered Institute of Management Accountants (CIMA), UK.
3. Mr Olga Ashley Herath holds a postgraduate degree in Business Administration from the University of Wales, UK, and is a Fellow of the Chartered Institute of Marketing (CIM), UK.

Meetings of the Audit Committee

During the year under review, the Committee convened six meetings. Attendance at these meetings was extended by invitation to the Chief Executive Officer, Executive Director, Director of Operations, and the Financial Controller, as deemed appropriate to support the Committee’s deliberations.

Attendance at Audit Committee Meetings held during the period from 01st April 2024 to 31st March 2025

Name of the Director	Meeting Participation (Held/Attended)
1. Ms Radhika Ratnayake	6/6
2. Mr Reyaz Mihular	6/6
3. Mr Olga Ashley Herath	2/2

Note: Mr Olga Ashley Herath was appointed to the Committee on 20th November 2024.

Summary of activities during the Financial Year

Financial Reporting Framework and Financial Statements

The Audit Committee continued to support the Board in ensuring the integrity, accuracy, and transparency of the Group’s Financial Statements and related disclosures. A key focus of the Committee was to assess the appropriateness of significant accounting estimates and judgments made by management during the preparation of the Financial Statements.

Prior to the finalization and signing off of the Annual Financial Statements, the Committee met with the External Auditor to discuss key audit matters. Following this review, the Committee recommended the adoption of the final accounts to the Board. In addition, the Committee held discussions with the External Auditor regarding the previous year's Management Letter to ensure that appropriate corrective actions were implemented.

The Committee also reviewed the assurance provided by the Chief Executive Officer and the Financial Controller that the financial records have been properly maintained and present a true and fair view of the Company's operations and financial position.

The Committee reviewed the Quarterly Financial Statements prior to submission and recommended their adoption to the Board. Beyond financial reporting, the Committee discussed a range of key financial areas during the year, including budgeting and forecasting, cash management and working capital requirements.

Risk Management, Internal Control, and Internal Audit

The Audit Committee is responsible for overseeing the effectiveness of the Company's risk management framework and internal control environment. It reviews and assesses the adequacy of controls in areas identified as carrying significant risk and ensures that the risk management processes are robust and aligned with the Group's strategic objectives.

The Committee evaluates the adequacy of internal controls through management reports and independent assessments provided by both the Internal and External Auditors. The internal audit function is outsourced to Messrs BDO Partners, Chartered Accountants, under terms agreed with the Committee regarding the frequency of audits, scope of work, key focus areas, and audit fees.

During the year, the Committee met with the Internal Auditor to review audit findings, discuss management's responses, and ensure that appropriate follow-up actions were implemented. Internal audits conducted during the year included a review of maintenance and health and safety practices at the Company's processing plant—an operationally critical area. These audits were designed to assess the adequacy and effectiveness of internal controls and verify compliance with established policies and procedures.

External Audit

The Company's External Auditor, Messrs. Ernst & Young, Chartered Accountants, presented a detailed audit plan for the financial year 2024/25, highlighting key operational areas for review. Special emphasis was placed on specific areas identified in the previous audit and from current operational assessments, based on their risk of material misstatement and potential impact on the Financial Statements.

The Audit Committee engaged with the External Auditor to evaluate and agree on the audit scope, methodology, and timelines. Following the audit's completion, the Committee met with the Auditor to review significant findings, discuss any concerns, and examine the Audit Management Letter. The Committee also considered management's responses and the remedial actions implemented to address the Auditor's recommendations. Furthermore, the Audit Committee reviewed the audit fees proposed by the External Auditor and recommended their approval by the Board.

To the best of the Committee's knowledge, the External Auditor, Ernst & Young, Chartered Accountants, has no relationship or interest in the Company other than in the capacity of External Auditor. The Committee has also received a formal declaration from Ernst & Young, in accordance with the requirements of the Companies Act No. 07 of 2007, confirming that no circumstances exist which may compromise their independence. This affirmation is in line with the Code of Best Practice on Corporate Governance 2017 issued by the Institute of Chartered Accountants of Sri Lanka, and the Guidelines for Listed Companies on Audit and Audit Committees issued by the Securities and Exchange Commission of Sri Lanka.

Based on this confirmation and its overall assessment, the Committee has recommended to the Board the reappointment of Ernst & Young as the External Auditor for the financial year ending 31st March 2026, subject to shareholder approval at the Annual General Meeting.

(Sgd.)

Radhika Ratnayake

Chairperson

Audit Committee

29th May 2025

Report of the Remuneration Committee

The Remuneration Committee (the “Committee”) is appointed by the Board of Directors (the “Board”) to oversee the Company’s remuneration policies and ensure they are fair, competitive, and aligned with the Company’s strategic objectives. The Committee plays a key role in supporting the attraction, motivation, and retention of talented individuals who can drive business performance and deliver long-term value to shareholders.

The Committee meets at least once a year, or as necessary, to review and recommend adjustments to the remuneration of the following categories of personnel:

- Executive staff
- Chief Executive Officer and Executive Directors
- Non-Executive Directors – including fees and allowances.

In determining remuneration levels, the Committee takes into account the individual’s qualifications, experience, skillset, commitment, and contribution to the business, as well as prevailing market conditions and industry benchmarks.

The Company’s remuneration framework is designed to maintain a balance between fixed and performance-linked components. Executive remuneration includes a base salary, performance-related bonuses, benefits-in-kind, and other incentives. Key factors considered in assessing executive compensation include:

- Overall Company performance
- Individual performance and evaluation outcomes
- Comparative remuneration within the industry.

For Non-Executive Directors, the Committee reviews fees and allowances based on the scope of responsibilities and market practices, ensuring they reflect the value and time commitment of the role. The aggregate remuneration of the Executive and Non – Executive Directors is given in Note 24 of the financial statements.

All recommendations made by the Committee are presented to the Board for consideration and approval. The Committee remains committed to upholding principles of transparency, equity, and accountability in all remuneration-related decisions.

Composition of the Remuneration Committee

The Remuneration Committee comprises three Independent Non-Executive Directors:

Ms Radhika Ratnayake – Chairperson

Mr Reyaz Mihular

Mr Olga Ashley Herath (appointed w.e.f. 20th November 2024)

Meetings of the Remuneration Committee

The Committee met once during the year. The Chief Executive Officer and Executive Director attended the meeting by invitation.

Attendance at Remuneration Committee Meetings held during the period 1st April 2024 and 31st March 2025

Name of the Director	Meeting Participation (Held/Attended)
1. Ms Radhika Ratnayake	1/1
2. Mr Reyaz Mihular	1/1
3. Mr Olga Ashley Herath	1/1

(Sgd.)

Radhika Ratnayake

Chairperson

Remuneration Committee

29th May 2025

Report of the Nomination and Governance Committee

The nomination and governance committee plays a crucial role, responsible for selecting and proposing qualified candidates for the Board of Directors to ensure a diverse and competent leadership team. Moreover, it supervises succession planning for critical roles, upholds corporate governance norms, assesses Board effectiveness, and enforces ethical and compliance guidelines. Through these duties, the Committee safeguards the organization's integrity, efficiency, and enduring viability.

Duties and Responsibilities of the Committee

Board Structure Assessment

- Regularly assess the Board's structure, size, and composition
- Offer recommendations to the Board accordingly

Independence of Non-Executive Directors (NEDs)

- Assess the independence of Non-Executive Directors
- Evaluate the performance of the Board.

Balance and Diversity Management

- Evaluate the balance between Executives and Non-Executive Directors (NEDs) within the Board
- Ensure effective management of diversity in Board composition.

Skills, Knowledge, and Experience Assessment

- Consistently assess the balance of skills, knowledge, and experience among Board members
- Ensure effective succession planning for Directors.

Board Performance Evaluation Procedure

- Establish and maintain a regular process for regularly assessing the performance of the Board of Directors
- Ensure that no member of the Committee is involved in deciding his or her own appointment.

Recommendations for Reappointment

- Make recommendations to the Board regarding the reappointment of Directors

Corporate Governance Framework Enhancement

- Evaluate and propose enhancements to the Company's corporate governance framework
- Consider the Listing Rules of the Exchange, relevant regulatory mandates, and industry/international standards of excellence.

Board Committees

- Recommend the establishment of specialized Board Committees, such as Audit, Compensation, or Risk Management Committees, to enhance governance effectiveness.

Stakeholder Engagement

- Facilitate engagement with key stakeholders, such as shareholders, employees, and community members, to ensure their perspectives are considered in governance decisions.

Risk Management Oversight

- Oversee the Company's risk management framework, including identification, assessment, and mitigation of key risks that may impact governance or operational performance.

The Committee affirms that:

1. A documented policy and process are in place for the nomination of Directors
2. All Directors are subject to re-election at regular intervals, and at least once every three years
3. Board diversity in terms of experience, skills, age, and gender is duly considered to ensure effective Board performance.

Composition of the Committee

Members of this Committee consist of three Independent Non-Executive Directors.

Mr Olga Ashley Herath – Chairman

Appointed on 30th April 2024.

(Independent, Non-Executive Director)

Mr Reyaz Mihular – Member

Appointed on 06th December 2023

(Independent, Non-Executive Director)

Ms Radhika Ratnayake – Member

Appointed on 20th November 2024

(Independent, Non-Executive Director)

Meetings

The Committee held one (1) meeting during the year under review. Information on the attendance at these meetings by the members of the Committee is given below:

Attendance at Nominations and Governance Committee held during the period 1st April 2024 and 31st March 2025.

Name of the Director	Attendance
1. Mr Olga Ashley Herath	1/1
2. Mr Reyaz Mihular	1/1
3. Ms Radhika Ratnayake	1/1

Note: Emeritus Prof H Abeygunawardena resigned from the Committee with effect from 27th June 2024.

The views/observations of the Committee were properly documented in the minutes of the Committee meetings and were communicated to the Board of Directors.

(Sgd.)

Olga Ashley Herath

Chairman

Nominations and Governance Committee

29th May 2025

Report of the Related Party Transactions Review Committee

The Related Party Transactions Review Committee serves as an advisory body to advise the Board on transactions involving related parties as outlined in LKAS 24. Its primary role is to ensure adherence to both the Code of Best Practices on Related Party Transactions set forth by the Securities and Exchange Commission of Sri Lanka and Section 9 of the Listing Rules of the Colombo Stock Exchange.

Duties and Responsibilities of the Committee

- To monitor all related party transactions to ensure that they are carried out at arm's-length commercial terms and that they are not in any way disadvantageous to the Company and its minority shareholders;
- Obtain professional advice either from within the Company or from outside to assess the pricing of recurrent related party transactions;
- To review recurrent related party transactions;
- To review non recurrent related party transactions;
- Recommend to the Board and obtain their approval before executing related party transactions;
- To review proposed related party transactions prior to them being entered into.

Composition of the Committee

Members of this Committee consist of two Independent Non-Executive Directors and one Executive Director.

Mr Olga Ashley Herath – Chairman
(Independent, Non-Executive Director)

Mr Reyaz Mihular – Member
(Independent, Non-Executive Director)

Mr Riyal Yakoob – Member
(Executive Director)

Meetings

The Committee held four (4) meetings, one in every quarter during the year under review. Information on the attendance at these meetings by the members of the Committee is given below:

Attendance at Related Party Transactions Review Committee held during the period 1st April 2024 and 31st March 2025.

Name of the Director	Attendance
1. Mr Olga Ashley Herath	3/3
2. Mr Reyaz Mihular	4/4
3. Mr Riyal Yakoob	4/4

Note: Emeritus Prof H Abeygunawardena resigned from the Committee with effect from 27th June 2024. Mr Olga Ashley Herath was appointed to the committee on 30th April 2024.

The views/observations of the Committee were properly documented in the minutes of the Committee meetings and were communicated to the Board of Directors.

Review of Related Party Transactions

During the year, there were no non-recurrent transactions that exceeded the threshold limits specified in the Listing Rules, requiring disclosure in the Annual Report except for the transactions disclosed in Note 32.1.4. The details of the recurrent related party transactions are disclosed in Note 32 of the Annual Report.

Declaration

There were no recurrent or non-recurrent related party transactions which required additional disclosure in the Annual Report under the Colombo Stock Exchange Listing Rule 9.3.2 except for the disclosure made in Note 32 to the Financial Statements.

The Related Party Transactions Review Committee has reviewed all related party transactions that require their review for the year ended 31st March 2025.

A declaration by the Board of Directors on compliance with the rules pertaining to the related party transactions appears in the Report of the Board of Directors on page 81 of the Report.

(Sgd.)

Olga Ashley Herath

Chairman

Related Party Transactions Review Committee

29th May 2025

Recognizing that value creation involves balancing risk and return, Bairaha embraces risk as an inherent part of achieving its strategic objectives. Risk management remains a cornerstone of our operational and strategic planning, enabling long-term business continuity and sustainable performance. As a leading player in Sri Lanka's poultry industry, Bairaha operates in a sector exposed to a wide range of risks, from sourcing raw materials and breeder chicks to production and market dynamics. In response, Bairaha has implemented a robust risk management framework designed to proactively identify, assess, and mitigate both internal and external threats. This approach ensures that only measured and manageable risks are undertaken, aligning with the organization's capabilities and growth ambitions.

The key risks for the year remained consistent with previous reports, with notable concerns including volatile commodity prices and supply-demand imbalances. The local market faced a significant challenge due to the oversupply of day-old chicks, which led to a drop in prices and tight profit margins for both integrated and independent producers. Additionally, fluctuations in global commodity prices, particularly for imported feed ingredients like maize and soybean, remained a major risk to feed production. Locally, government policy on maize import licenses further distorted prices by holding back imports until locally harvested stocks were sold. Although intended to support domestic farmers, this policy led to market imbalances, straining feed affordability and availability across the industry. Furthermore, changes in tax policies impacted the industry, especially due to the lack of fair competition between the organized and unorganized sectors, which has made it more challenging for regulated businesses to compete effectively.

These factors combined to create a highly challenging operational environment, underlining the importance of a dynamic and proactive risk management approach.

Risk Governance

At Bairaha, risk governance is led by the Board of Directors, while Senior Management oversees its operational implementation to ensure that the Company's activities remain sustainable and compliant. The Board holds overall accountability for risk management, whereas the Managing Director and Senior Management team are responsible for implementing the approved risk framework across all operations.

This delegation enables Senior Management to identify, assess, and mitigate risks in alignment with the guidelines and policies approved by the Board. Senior Management provides strategic direction and guidance to employees at all levels, fostering a risk-aware culture across the Company. Through open communication channels, they ensure that risk management remains integrated into daily operations, enabling timely responses to emerging risks.

This collaborative and structured approach allows Bairaha to effectively navigate both internal and external challenges, safeguarding long-term value creation and business continuity.

Risk Management Process

Bairaha employs a structured five-step process to manage risk effectively across the organization. This structured approach allows for proactively identifying, assessing, and responding to risks, ensuring that resources are focused on those that could materially impact its strategic goals and operational continuity.

1. Risk Identification

Risk identification is carried out by designated risk owners across various segments and functions. This decentralized approach ensures a comprehensive and updated risk landscape that reflects the full spectrum of internal and external risks relevant to Bairaha's operations.

2. Risk Assessment

Given the complex nature of the poultry industry, risks are prioritized based on their potential impact and likelihood of occurrence, assessed both qualitatively and quantitatively. Additionally, Interdependencies among risks are also evaluated.

A risk mapping chart is used to visualize the severity and probability of each risk (refer to page 98). This enables management to classify risks as high, medium, or low. Risks classified as “high” or “medium” are treated as principal risks and are subject to enhanced monitoring and focused mitigation efforts.

3. Risk Response

Based on the assessed severity and likelihood, Management determines the appropriate response to each risk. This may involve accepting, mitigating, transferring, or avoiding the risk altogether, in line with the Company’s risk appetite and strategic priorities.

4. Risk Reporting

Effective and timely communication of risk-related information is essential. This ensures that relevant employees are kept informed of significant risks. This approach enables proactive decision-making and reduces potential negative impacts on operations.

5. Risk Monitoring

Continuous monitoring is performed through regular management oversight to evaluate the effectiveness and timeliness of mitigation measures. In addition, periodic reviews of the risk management framework ensure that Bairaha maintains appropriate standards, methodologies, and tools for effective risk governance.

Principal Risk Factors

This section outlines the principal risks identified as most critical to Bairaha’s business operations, financial performance, and long-term sustainability. For each risk, the Company describes mitigation measures currently in place or under development. Inadequate management of these risks could impede the achievement of our strategic objectives and have a material adverse effect on our cash flows, profitability, financial position, and corporate reputation.

01. Macroeconomic Risk

	2024/25	2023/24	2022/23
Risk Rating	High	High	High

Macroeconomic risks rank high on the risk matrix due to their widespread impact and high likelihood in the current environment. Sri Lanka’s ongoing economic challenges, ranging from inflation and currency volatility to rising interest rates, pose significant and interconnected threats. These factors can simultaneously pressure consumer demand, increase production costs, and tighten financing conditions, making macroeconomic risks difficult to contain and highly disruptive across the entire value chain.

Economic Volatility Risk

Context and Potential Impact

Bairaha’s business performance is closely tied to Sri Lanka’s broader economic landscape. A slowdown in GDP growth can suppress consumer purchasing power, directly affecting demand for poultry products. Broader economic instability also impacts investor confidence and could delay expansion plans or reduce operational efficiency. Over time, these pressures may lead to weaker revenue growth, margin compression, and reduced profitability across the value chain.

Mitigation Measures

We monitor macroeconomic indicators and evolving consumer trends to stay ahead of demand shifts. Our diversified product portfolio serves multiple consumer segments across various price points, enabling the Company to handle economic shocks effectively. Operational flexibility in both cost management and production planning allows the organization to respond swiftly to changes in the market environment.

Inflation Risk

Context and Potential Impact

The persistently high inflation rate in Sri Lanka, particularly in food and energy, drives up the cost of key inputs such as feed (maize, soybean), fuel, packaging, and logistics within the country. Although some cost increases can be passed on, price sensitivity in the market limits this ability, resulting in compressed margins. Furthermore, inflation erodes consumer purchasing power, especially in mass-market segments, which may lead to reduced volume sales.

Mitigation Measures

To counter inflation, we focus on cost-efficiency across the supply chain. Price revisions are applied cautiously to protect market share while preserving profitability. Enhancements in operational efficiency and productivity improvements support margin stability even in inflationary periods.

Interest Rate Risk

Context and Potential Impact

As a capital-intensive business, our operations rely on borrowing to fund working capital and infrastructure investments. The rising interest rates increase financing costs and may strain liquidity, affecting our ability to invest in capacity enhancements or operational upgrades. Additionally, higher rates may weaken consumer credit availability, indirectly dampening retail demand.

Mitigation Measures

We manage interest rate exposure by optimizing the mix of short and long-term borrowings. The Company regularly explores refinancing opportunities to secure competitive terms. Additionally, rigorous working capital management and disciplined capital allocation help us reduce reliance on external financing.

Foreign Exchange Risk

Context and Potential Impact

Fluctuations in the Sri Lankan Rupee, especially against the US Dollar, present a significant challenge due to the Company's reliance on imported raw materials such as feed ingredients, vaccines, and machinery. Currency depreciation raises input costs, which are not always recoverable through pricing.

FX fluctuations also create uncertainty in budgeting and margin forecasting.

Mitigation Measures

We use forward contracts and structured supplier agreements to manage currency exposure. Our vertical integration reduces reliance on imports in some areas. We also monitor currency trends to guide procurement and pricing decisions. An increasing emphasis on export channels allows us to generate foreign currency revenue to partially offset import-related costs.

02. Commodity Price Risk

	2024/25	2023/24	2022/23
Risk Rating	High	High	High

Context and Potential Impact

Feed ingredients, particularly maize and soybean meal, are major cost drivers in our operations. While we operate our own feed mill and source a portion of maize locally, a significant share is imported under a government-regulated quota system. This exposes us to global commodity price volatility, exchange rate movements, and potential supply chain disruptions. Local sourcing is also subject to seasonal variability and weather-related challenges. Increases in raw material costs directly impact production costs, with limited ability to fully pass these on to consumers due to price sensitivity.

Mitigation Strategies

We manage this risk through a balanced sourcing approach, leveraging both domestic suppliers and strategic imports. We maintain strong supplier relationships, monitor global market trends, and pursue bulk purchasing and forward contracting where feasible. Feed formulations are regularly optimized to enhance efficiency and reduce dependency on any single input. These measures help stabilize input costs and protect margins.

Market Risk

03. Supply-Demand Imbalance Risk

	2024/25	2023/24	2022/23
Risk Rating	High	High	High

Context and Potential Impact

The Sri Lankan poultry industry is highly cyclical and sensitive to shifts in supply and demand. Periods of oversupply driven by uncoordinated production increases, market saturation, or sudden drops in consumer demand can lead to price reductions, increased inventory costs, and margin compression. Such imbalances also disrupt production planning, cause inefficiencies in farm operations, and create downward pressure on industry-wide pricing.

Mitigation Measures

We proactively track production trends, market signals, and consumer behaviour to align output with demand. Our integrated business model enables flexible adjustments in hatchery operations and broiler placements. We also optimize cold storage capacity to manage excess inventory and minimize wastage. To absorb surpluses and enhance margins, the Company continues to expand its value-added product lines and actively pursues export opportunities. Collaboration with industry peers and regulators supports broader market stability and long-term sector sustainability.

04. Competition Risk

	2024/25	2023/24	2022/23
Risk Rating	High	High	High

Context and Potential Impact

Rising competition from local producers, new market entrants, and imported poultry products can squeeze margins and challenge market share. These competitive pressures may trigger price wars or increased marketing spend, while shifting consumer preferences toward either alternative proteins or lower-cost substitutes can further reduce demand for poultry.

Mitigation Measures

We respond to competitive pressures through:

- Strong Brand Positioning: Our reputation for consistent quality and reliability reinforces customer loyalty.
- Product Diversification: We continue to expand our portfolio with value-added items such as processed meats and ready-to-cook offerings.
- Cost Efficiency: Our vertically integrated operations enable leaner production and pricing flexibility.
- Market Expansion: We explore new domestic and export markets to reduce reliance on local demand.
- ESG Commitment: Our sustainability initiatives enhance brand value and attract ethically conscious consumers.

05. Poultry Dependency Risk

	2024/25	2023/24	2022/23
Risk Rating	Medium	Medium	Medium

Context and Potential Impact

Our core focus on poultry makes us susceptible to risks specific to this sector, including price volatility, disease outbreaks, and shifts in dietary trends. A downturn in poultry prices or demand can materially affect revenue and profitability, given the Company's concentrated exposure.

Mitigation Measures

The Company remains a poultry specialist while diversifying within the sector. This includes expanding into higher-margin, value-added products like processed and ready-to-cook items. We are also leveraging poultry by-products to build out complementary revenue streams. Strategic investments in technology, process innovation, and market diversification across both local and international markets help mitigate reliance on any single poultry segment and strengthen resilience.

06. Geographic Concentration Risk

	2024/25	2023/24	2022/23
Risk Rating	Medium	Medium	Medium

Context and Potential Impact

The Company's reliance on the Sri Lankan market exposes it to risks associated with local economic conditions, regulatory changes, and demand fluctuations. Any downturn in the domestic market, whether due to economic factors, political instability, or natural disasters, could have a significant impact on revenue and growth prospects.

To reduce geographic concentration risk, the Company is actively pursuing international market expansion, identifying export opportunities, and diversifying its revenue streams to reduce reliance on Sri Lanka's market. This includes exploring new geographic regions and targeting niche markets abroad to ensure more stable and diversified revenue sources.

Operational Risk

07. Pathogens and Disease Risk

	2024/25	2023/24	2022/23
Risk Rating	High	High	High

Context and Potential Impact

Poultry farming is highly susceptible to disease outbreaks such as Avian Influenza and Newcastle Disease. These can lead to high mortality rates, production losses, increased veterinary costs, and serious reputational damage. In severe cases, outbreaks may trigger mandatory culling and trade restrictions, disrupting operations across breeding, hatchery, and processing units and resulting in significant financial losses.

Mitigation Measures

We maintain stringent biosecurity protocols across all operations to prevent disease introduction and spread. Key measures include:

- Maintaining buffer zones between farms and external environments
- Enforcing strict sanitation and safety procedures for staff and visitors
- Conducting regular blood tests on breeder flocks through our in-house laboratory for early disease detection
- Providing ongoing training to farm personnel on biosecurity best practices
- Ensuring safe disposal of carcasses to prevent contamination

Additionally, we implement comprehensive vaccination programmes and collaborate with veterinary experts and authorities to monitor emerging threats. Our vertically integrated model allows traceability and rapid containment in the event of an outbreak.

08. Supply Chain Risk

	2024/25	2023/24	2022/23
Risk Rating	High	High	High

Risk Context and Potential Impact

The poultry industry depends on a complex supply chain for essential inputs like day-old chicks, feed ingredients, and veterinary supplies. Disruptions in the supply chain caused by factors such as adverse weather, global commodity shortages, transportation issues, or regulatory restrictions can lead to delays, increased costs, and compromised product quality. A disruption in feed availability, for instance, directly affects poultry health and productivity, resulting in reduced efficiency and higher operational costs. These challenges can hinder our ability to meet production targets and ultimately affect profitability.

Mitigation Strategies

We mitigate supply chain risks through integrated operations, including wholly owned and joint venture entities, which provide greater control over key inputs. Key strategies include:

- Securing long-term agreements with reliable suppliers to stabilize costs and ensure supply continuity.
- Developing alternate suppliers and sourcing substitutes for raw materials to reduce reliance on single sources.
- Regularly reviewing suppliers to maintain high-quality standards and adjusting formulations as necessary to ensure product consistency.
- Utilizing our own feed mill operations to improve procurement and storage of locally available raw materials.

These strategies, combined with our vertical integration, reduce external dependencies and enhance resilience, ensuring continuous production and supply chain stability.

09. Product Safety and Quality Risk

	2024/25	2023/24	2022/23
Risk Rating	Medium	Medium	Medium

Context and Potential Impact

The Company faces significant risk if safety or quality standards are compromised, potentially leading to health hazards, recalls, regulatory penalties, and reputational damage. Misinformation or false claims can also erode consumer trust.

Mitigation Strategies

The Company has implemented robust quality assurance systems across all operations. These are reinforced by regular audits conducted by independent internal teams, along with third-party certifications such as ISO 9001:2015, ISO 22000:2018, HACCP, GMP, SLS, GSO/Halal, and the prestigious FSSC 22000, which validate compliance with global standards. The Company is the first in Sri Lanka’s meat subsector to obtain FSSC 22000 certification, underscoring its leadership in food safety.

GMP practices are embedded in every process, and continuous training ensures employees uphold hygiene protocols. Technical support from Cobb-Vantress Inc. helps maintain international best practices. In-house labs regularly test product samples, while automated packaging systems minimize human contact and contamination risk. Cold chain integrity is monitored using real-time tracking software, with controls extended to customer storage conditions as well.

A structured complaint handling mechanism is in place to respond swiftly to consumer feedback.

People Risk

10. Employee Attrition Risk

	2024/25	2023/24	2022/23
Risk Rating	High	High	High

Context and Potential Impact

High employee turnover can disrupt operations, reduce productivity, and increase recruitment costs, particularly in a labour-intensive industry like poultry production. Loss of key employees can also impact operational efficiency and strategic objectives.

Mitigation Strategies

We prioritize employee satisfaction through engagement initiatives, career development, competitive compensation, and continuous training. Our participation in the Great Place to Work® initiative helps us foster a positive work culture. We also prioritize internal talent development and knowledge-sharing to retain critical skills and ensure smooth transitions.

11. Occupational Health Hazards

	2024/25	2023/24	2022/23
Risk Rating	High	High	High

Context and Potential Impact

Employees in the poultry industry face health risks, including exposure to zoonotic diseases, chemicals, and machinery-related injuries. These hazards can lead to absenteeism, reduced productivity, higher costs, and legal liabilities.

Mitigation Strategies

We provide regular safety training focused on PPE usage and hazard prevention, maintain rigorous hygiene standards, and ensure all employees are equipped with proper protective gear. Regular inspections and advanced technology are also used to minimize health risks and maintain a safe, compliant workplace.

Governance Risk

12. Risk of Breakdown of Internal Controls

	2024/25	2023/24	2022/23
Risk Rating	Medium	Medium	Medium

Context and Potential Impact

Failure in internal controls can lead to financial misstatements, fraud, compliance breaches, and operational inefficiencies, potentially damaging investor confidence and exposing the Company to regulatory and legal risks.

Mitigation Strategies

We conduct regular internal audits, enforce segregation of duties, and train staff on compliance and ethics. Automation strengthens control reliability, while external audits and a whistleblower mechanism provide added oversight.

Technology Risk

13. Information Security Risk

	2024/25	2023/24	2022/23
Risk Rating	Medium	Medium	Medium

Context and Potential Impact

Increasing reliance on digital systems exposes the Company to cyber threats, including data breaches and system disruptions, which could affect operations and erode stakeholder trust.

Mitigation Strategies

We maintain strong IT governance, employ AI-enabled firewalls for threat detection, and conduct regular third-party audits. The Company reinforces confidentiality through non-disclosure agreements with its vendors and contractors.

Financial Risk

14. Liquidity Risk

	2024/25
Risk Rating	Medium

Context and Potential Impact

Given the capital-intensive nature of our business, disruptions in cash flow caused by factors such as input cost volatility, delayed receivables, or market shocks can negatively impact our ability to meet financial and operational obligations.

Mitigation Strategies

We maintain tight working capital controls, balanced financing facilities, and strong banking relationships. Through regular cash flow forecasting, disciplined cost management, and prudent capital allocation, ensure financial resilience and operational continuity.

15. Credit and Receivables Risk

	2024/25	2023/24	2022/23
Risk Rating	Medium	Medium	Medium

Context and Potential Impact

Extending credit to distributors and customers exposes the Company to delayed payments or defaults, particularly in volatile economic conditions. Inefficient receivables management can strain cash flow and increase financial risk.

Mitigation Strategies

The Company secures credit through bank guarantees and employs an ERP system for real-time credit monitoring. Credit is extended selectively after due diligence, with active tracking of ageing and prompt recovery measures. Furthermore, sales teams are incentivized to support timely collections.

Regulatory and Policy Risk

16. Risk of Price Controls

	2024/25	2023/24	2022/23
Risk Rating	Medium	Medium	Medium

Context and Potential Impact:

Government-imposed price controls on poultry products can limit pricing flexibility, especially during periods of rising input costs, affecting profitability and market stability. Prolonged price controls below production cost may lead to supply shortages and operational strain.

Mitigation Strategies

We engage with government bodies and industry associations to advocate for balanced policies that ensure fair pricing without undermining the financial viability of the poultry sector. In the event of price controls, we are open to engaging with regulators and industry bodies to advocate for fair, formula-based pricing. Our growing focus on value-added products helps diversify revenue streams and reduce reliance on price-regulated items.

17. Regulatory Compliance Risk

	2024/25	2023/24	2022/23
Risk Rating	Medium	Medium	Medium

Context and Potential Impact

Operating in a highly regulated sector, we are subject to continuously evolving requirements across taxation, labour, food safety, environmental, and financial domains. Non-compliance or sudden policy shifts such as new taxes or tariffs could lead to financial penalties, reputational harm, or operational constraints.

Mitigation Strategies

We maintain a robust compliance framework supported by qualified professionals and regular audits. The Company maintains active engagement with regulators and industry bodies to stay ahead of regulatory changes. Ongoing staff training and legal advisory support reinforce compliance across the organization.

Environmental Risk

18. Climate and Natural Disaster Risk

	2024/25	2023/24	2022/23
Risk Rating	Medium	Medium	Medium

Context and Potential Impact

Extreme weather events and natural disasters pose significant risks to poultry operations. Adverse weather, such as droughts or heavy rainfall, can damage infrastructure, disrupt supply chains, and harm bird health, leading to reduced productivity. Additionally, natural disasters like floods, cyclones, and earthquakes can cause extensive damage, impacting facilities, logistics, and overall operations.

Mitigation Measures

To mitigate these risks, we build facilities to withstand local weather conditions and diversify feed ingredient sourcing to minimize disruptions. We also spread operations across multiple regions to reduce the risk of widespread impact from a single event. Insurance coverage protects against asset damage, and contingency plans, including buffer stock management and alternative logistics strategies, ensure continuity. Staff training and disaster response drills further enhance preparedness.

19. Local Environmental Impact Risk

	2024/25	2023/24	2022/23
Risk Rating	High	High	High

Context and Potential Impact

Our operations including farms, feed mills, and processing facilities interact closely with surrounding environments and communities. Key risks include odour emissions, waste handling, wastewater discharge, and biosecurity breaches, especially in areas near human settlements or other farms. Improper disposal of manure, carcasses, or untreated wastewater can contaminate soil and water resources, pose health risks, and strain relationships with local stakeholders. These issues, if not managed effectively, may lead to regulatory non-compliance, community opposition, and reputational damage, potentially disrupting operations.

Mitigation Strategies

We ensure environmentally responsible operations through well-sited facilities with adequate buffer zones and strong waste management practices. Odor and waste are controlled through proper ventilation, timely manure removal, and sustainable reuse of waste as organic fertilizer. Carcasses are disposed of using environmentally sound methods. Our processing facilities operate effluent treatment systems to ensure compliant wastewater discharge. Water usage and discharge are monitored regularly, with ongoing efforts to reduce effluent at the source. Bairaha conducts routine audits, regulatory compliance checks, and proactive community engagement to support the Company in maintaining its operating license and upholding environmental standards.

20. Energy Management Risk

	2024/25	2023/24	2022/23
Risk Rating	High	High	High

Context and Potential Impact

Our operations depend heavily on electricity and fuel, making us vulnerable to energy price volatility and supply disruptions. High energy consumption also contributes to emissions, potentially attracting future regulatory costs and stakeholder pressure.

Mitigation Strategies

We focus on energy efficiency through preventive maintenance, automation, and use of energy-efficient equipment. Bairaha closely monitors usage to identify savings, and is actively exploring renewable energy options to enhance sustainability and reduce reliance on fossil fuels.

21. Social Risk

	2024/25	2023/24	2022/23
Risk Rating	Medium	Medium	Medium

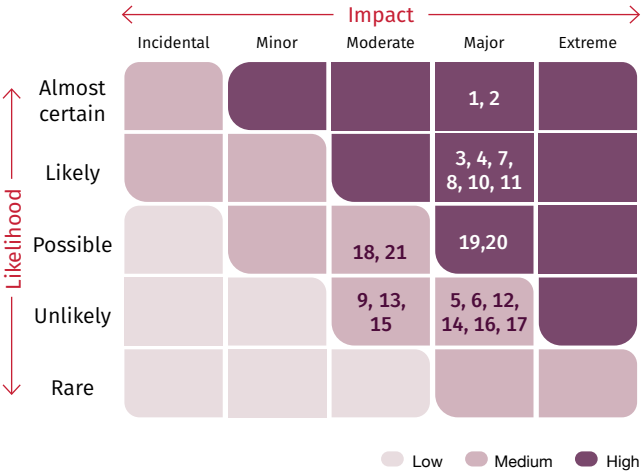
Context and Potential Impact

Our proximity to residential and rural communities may give rise to concerns over environmental impact, noise, traffic, and employment practices. Poor community or employee relations may lead to reputational harm, operational disruptions, or regulatory scrutiny. Social risk also encompasses the responsibility to uphold ethical labour standards and contribute positively to society.

Mitigation Strategies

We engage proactively with local communities and employees through open communication, development initiatives, and support for national and local welfare programmes. These efforts help build trust, strengthen our social license to operate, and reinforce long-term business sustainability.

The following risk heat map illustrates the assessed likelihood and impact of our key material risks, helping to prioritize them based on their overall risk rating.



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Interim Financial Statements Calendar

	2024/25	Target set for 2025/26
1st Quarter (ended 30th June)	30th July 2024	31st July 2025
2nd Quarter (ended 30th September)	13th Nov 2024	31st Oct 2025
3rd Quarter (ended 31st December)	11th Feb 2025	30th Jan 2026
4th Quarter (ended 31st March)	30th May 2025	29th May 2026

Annual General Meeting Calendar

	2024/25	Target set for 2025/26
Annual Report and Financial Statements to shareholders	4th June 2025	1st June 2026
Annual General meeting (to be held)	30th June 2025	30th June 2026

Statement of Directors' Responsibilities

The responsibilities of the Directors, in relation to the Financial Statements of the Company and its subsidiaries differ from the responsibilities of the Auditors.

The responsibility of the Independent Auditors in relation to the Financial Statements is set out in the Report of the Auditors given on pages 102 to 105 of the Annual Report.

As per the Sections 150 (1), 151, 152 (1) and (2), 153 (1) and (2) of the Companies Act No. 07 of 2007, the Directors are required to prepare Financial Statements for each financial year giving a true and fair view of the state of affairs of the Company and its subsidiaries as at the end of the financial year and of the results of its operations for the financial year, ensure that they are completed within six months or such extended period as may be determined by the Registrar General of Companies, certified by the person responsible for the preparation of the Financial Statements that they are in compliance with the said Companies Act and dated and signed on behalf of the Board by two Directors of the Company.

In terms of section 166 (1) read together with Sections 168 (1) (b) and (c) and Section 167 (1) of the Companies Act, the Directors shall cause a copy of the aforesaid Financial Statements together with the Annual Report of the Board of Directors of the Company prepared as per Section 166 (1) of the Companies Act to be sent to every shareholder not less than fifteen working days before the date fixed for holding the Annual General Meeting. The said obligation is discharged by the Directors by publishing/making available for download, the Company's Annual Report on the Corporate Website of the Company and the Colombo Stock Exchange Website, and by notifying the shareholders thereof. On request, printed copies of the Annual Report will be forwarded to the shareholders.

The Directors consider that in preparing these Financial Statements set out on pages 106 to 176, appropriate accounting policies have been selected and applied in a consistent manner and supported by reasonable and prudent judgment and that all applicable Accounting Standards, as relevant, have been followed.

The Directors are of the view that the Company and its subsidiaries have adequate resources to continue in operation either on their own or with the assistance of the Company, as the holding company, and have applied the going concern basis in preparing these Financial Statements.

Further, the Directors have a responsibility to ensure that the Company and its subsidiaries maintain sufficient accounting records to disclose with reasonable accuracy, the financial position of the Company and its subsidiaries.

The Directors are also responsible for taking reasonable steps to safeguard the assets of the Company and its subsidiaries and in this regard to give proper consideration to the establishment of appropriate internal control systems to prevent and detect fraud and other irregularities.

Financial Statements prepared and presented in this report have been prepared based on Sri Lanka Accounting Standards (SLFRS/LKAS) and are consistent with the underlying books of accounts and are in conformity with the requirements of Sri Lanka Accounting Standards, Companies Act No. 07 of 2007, Sri Lanka Accounting and Auditing Standards Act No. 15 of 1995 and the Listing Rules of the Colombo Stock Exchange.

The Directors are of the view, that they have discharged their responsibilities as set out in this statement.

The Directors also confirm that to the best of their knowledge, all statutory payments payable by the Company and its subsidiaries as at the reporting date have been paid or where relevant provided for.

By order of the Board

Bairaha Farms PLC

(Sgd.)

P W Corporate Secretarial (Pvt) Ltd.

Director/Secretaries

29th May 2025



PNS/MAR

Ernst Young
Chartered Accountants
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HLF/MAR

TO THE SHAREHOLDERS OF BAIRAHA FARMS PLC

Report on the Audit of the Financial Statements

Opinion

We have audited the Financial Statements of Bairaha Farms PLC ("the Company") and the Consolidated Financial Statements of the Company and its subsidiaries ("the Group"), which comprise the Statement of Financial Position as at 31st March 2025 and the Statement of Profit or Loss and Other Comprehensive Income, Statement of Changes in Equity and Statement of Cash Flows for the year then ended, and Notes to the Financial Statements, including material accounting policy information.

In our opinion, the accompanying Financial Statements of the Company and the Group give a true and fair view of the financial position of the Company and the Group as at 31st March 2025, and of their financial performance and cash flows for the year then ended in accordance with Sri Lanka Accounting Standards.

Basis for Opinion

We conducted our audit in accordance with Sri Lanka Auditing Standards (SLAuSs). Our responsibilities under those standards are further described in the Auditor's responsibilities for the audit of the Financial Statements section of our report. We are independent of the Group in accordance with the *Code of Ethics Professional Accountants issued by CA Sri Lanka (Code of Ethics)* and we have fulfilled our other ethical responsibilities in accordance with the Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key Audit Matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the Financial Statements of the current period. These matters were addressed in the context of our audit of the Financial Statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters. For each matter below, our description of how our audit addressed the matter is provided in that context.

We have fulfilled the responsibilities described in the Auditor's Responsibilities for the audit of the Financial Statements section of our report, including in relation to these matters. Accordingly, our audit included the performance of procedures designed to respond to our assessment of the risks of material misstatement of the Financial Statements. The results of our audit procedures, including the procedures performed to address the matters below, provide the basis for our audit opinion on the accompanying Financial Statements.

Partners: D K Hulangamuwa FCA FCMA LLB (London), A P A Gunasekera FCA FCMA, Ms. Y A De Silva FCA, Ms. G G S Manatunga FCA, W K B S P Fernando FCA FCMA FCCA, B E Wijesuriya FCA FCMA, RN de Saram ACA FCMA, Ms. N A De Silva FCA, N M Sulaiman FCA FCMA, Ms. L K H L Fonseka FCA, Ms. P V K N Sajeewani FCA, A A J R Perera FCA ACMA, N Y R L Fernando ACA, D N Gamage ACA ACMA, C A Yalagala ACA ACMA, Ms. P S Paranavitane ACA ACMA LLB (Colombo), B Vasanthan ACA ACMA, W D P L Perera ACA

Principals: T P M Ruberu FCMA FCCA MBA (USJ-SL), G B Goudian ACMA, D L B Karunathilaka ACMA, W S J De Silva Bsc (Hons) - MIS Msc - IT, V Shakthivel B.Com (Sp)

A member firm of Ernst & Young Global Limited



Key Audit Matters common to both Group and the Company

Key audit matter	How our audit addressed the key audit matter
Assessment of fair value of bearer biological assets The Group carried bearer biological assets at fair value in accordance with its accounting policy as disclosed in Note 2.3.9 to the Financial Statements. Assessment of fair value of bearer biological assets was a key audit matter due to: - the materiality of the reported fair value of bearer biological assets which amounted to LKR 1,045,757,309 representing 11% of the Group's total assets as of the reporting date; and - The significant judgements, assumptions, and estimation uncertainties involved in determining the fair value using a discounted cash flow model based on a risk-adjusted discount rate. Key areas of significant judgements, estimates assumptions used in assessing fair value of bearer biological assets, as disclosed in Notes 2.2, 2.3.9, 12.2 and 30.1.1.1 to the Financial Statements, included judgments involved in ascertaining the appropriate valuation technique and estimates such as - mortality rates - hatchability rates of eggs - estimated market selling price of day-old-chick and other estimated farming cost that will be incurred throughout the remaining life of the parent birds	Our audit procedures included the following key procedures; Tested the relevant key controls and understood the methodology adopted in the valuation of bearer biological assets; Tested the reasonableness of inputs used in the valuation of biological assets; Assessed the reasonableness of the valuation technique used and significant assumptions, judgements and estimates such as mortality rates of the parent birds, egg – production rates, hatchability rates of eggs and estimated market selling price of day-old-chick and other estimated farming cost that will be incurred throughout the remaining life of the parent birds. Our procedures included comparing those assumptions with the industry's historical experience and with relevant available market information. We also assessed the adequacy of the related disclosures in Notes 2.2, 2.3.9, 12.2 and 30.1.1.1 to the Financial Statements.



Other Information included in the 2025 Annual Report

Other information consists of the information included in the Annual Report, other than the Financial Statements and our Auditor's Report thereon. Management is responsible for the other information.

Our opinion on the Financial Statements does not cover other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the Financial Statements, our responsibility is to read the other information and, in doing so, consider whether other information is materially inconsistent with the Financial Statements or our knowledge obtained in the audit or otherwise appears to be materially misstated. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Responsibilities of the Management and those Charged with Governance

Management is responsible for the preparation of Financial Statements that give a true and fair view in accordance with Sri Lanka Accounting Standards, and for such internal control as management determines is necessary to enable the preparation of Financial Statements that are free from material misstatement, whether due to fraud or error.

In preparing the Financial Statements, management is responsible for assessing the Group's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Group or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Company's and the Group's financial reporting process.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the Financial Statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an Auditor's Report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SLAuSs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these Financial Statements.

As part of an audit in accordance with SLAuSs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the Financial Statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the internal controls of the Company and the Group.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.



- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our Auditor's Report to the related disclosures in the Financial Statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our Auditor's Report. However, future events or conditions may cause the Group to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the Financial Statements, including the disclosures, and whether the Financial Statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Group to express an opinion on the Consolidated Financial Statements. We are responsible for the direction, supervision and performance of the group audit. We remain solely responsible for our audit opinion.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, actions taken to eliminate threats or safeguards applied.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the Financial Statements of the current period and are therefore the key audit matters. We describe these matters in our Auditor's Report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on Other Legal and Regulatory Requirements

As required by section 163 (2) of the Companies Act No. 07 of 2007, we have obtained all the information and explanations that were required for the audit and, as far as appears from our examination, proper accounting records have been kept by the Company.

The Institute of Chartered Accountant of Sri Lanka membership number of the engagement partner responsible for signing this Independent Auditor's Report is 3755.

03rd June 2025
Colombo

Statement of Financial Position

Financial Reports

As at 31st March	Notes	GROUP		COMPANY	
		2025 LKR	2024 LKR	2025 LKR	2024 LKR
Assets					
Non-Current Assets					
Property, Plant and Equipment	4	3,868,961,731	3,746,279,289	1,341,250,215	1,236,524,362
Right-of-use-Asset	5	22,873,122	28,591,404	33,699,015	42,123,770
Investment Property	6	—	—	44,986,449	47,301,889
Intangible Assets	7	26,492,233	30,830,097	25,582,984	30,767,098
Investments in Subsidiaries	8	—	—	392,566,960	388,532,820
Investments in Joint Ventures	9	2,081,190,594	1,934,137,117	711,922,000	711,922,000
Other Investments	10	919,287	788,900	919,287	788,900
Biological Assets – Bearer	12	131,113,400	105,440,301	131,113,400	105,440,301
		6,131,550,367	5,846,067,108	2,682,040,310	2,563,401,140
Current Assets					
Inventories	11	692,451,688	607,375,241	521,262,380	456,093,212
Biological Assets – Consumable	12	522,874,978	531,719,626	522,874,978	531,719,626
Biological Assets – Bearer	12	914,643,909	925,574,400	914,643,909	925,574,400
Trade and Other Receivables	13	1,139,245,507	1,210,625,755	1,270,868,166	1,334,192,101
Income Tax Receivable		21,058,319	17,911,805	11,408,322	8,919,275
Other Investments	10	25,596,662	25,563,201	96,662	63,201
Amounts Due from Related Parties	14	939,883	9,460,716	803,178,316	443,675,033
Cash and Bank Balances	27	381,797,129	295,597,270	202,470,042	242,273,420
		3,698,608,075	3,623,828,014	4,246,802,775	3,942,510,268
Total Assets		9,830,158,442	9,469,895,122	6,928,843,085	6,505,911,408
Equity and Liabilities					
Equity					
Stated Capital	15	536,305,197	536,305,197	536,305,197	536,305,197
Revaluation Surplus	16	1,105,419,247	1,105,419,247	288,119,507	288,119,507
Fair Value Reserve		(1,226,708)	(1,357,107)	(1,226,708)	(1,357,107)
Actuarial Gain on Defined Benefit Plans		(6,335,221)	(7,299,464)	(6,335,221)	(7,299,464)
Foreign Currency Translation Reserve		(173,117)	—	—	—
Retained Earnings		4,212,592,457	4,175,426,889	391,076,840	477,969,141
Total Equity attributable to Equity Holders of the Company		5,846,581,856	5,808,494,762	1,207,939,615	1,293,737,274
Non-Controlling Interest		(3,009,235)	—	—	—
Total Equity		5,843,572,621	5,808,494,762	1,207,939,615	1,293,737,274

As at 31st March	Notes	GROUP		COMPANY	
		2025 LKR	2024 LKR	2025 LKR	2024 LKR
Non-Current Liabilities					
Financing and Lease (Ijara) Payables	17	544,174,170	344,442,800	149,646,751	177,192,775
Deferred Tax Liabilities	25.2	453,584,247	470,783,967	117,839,495	163,834,713
Retirement Benefit Liability	18	173,674,460	151,016,179	151,387,760	133,123,209
		1,171,432,877	966,242,946	418,874,006	474,150,697
Current Liabilities					
Trade and Other Payables	19	1,087,222,617	568,827,974	3,617,651,127	2,377,146,855
Dividends Payable	20	13,947,386	8,262,175	13,947,386	8,262,175
Amounts Due to Related Parties	21	—	—	41,100,586	331,063,820
Financing and Lease (Ijara) Payables	17	1,713,982,941	2,118,067,265	1,629,330,365	2,021,550,587
		2,815,152,944	2,695,157,414	5,302,029,464	4,738,023,437
Total Equity and Liabilities		9,830,158,442	9,469,895,122	6,928,843,085	6,505,911,408

These Financial Statements are in compliance with the requirements of the Companies Act No. 07 of 2007

(Sgd.)

Shafraz Hussaindeen

Financial Controller

The Board of Directors is responsible for these Financial Statements. Signed for and on behalf the Board by;

(Sgd.)

Yakooth Naleem

Managing Director

(Sgd.)

Riyal Yakoob

Executive Director

The Accounting Policies and Notes on pages 112 through 176 form an integral part of the Financial Statements.

29th May 2025

Colombo

Statement of Profit or Loss and Other Comprehensive Income

Financial Reports

Year ended 31st March	Notes	GROUP		COMPANY	
		2025 LKR	2024 LKR	2025 LKR	2024 LKR
Revenue	3	13,916,400,999	13,291,267,709	12,239,044,101	11,373,504,313
Cost of Sales		(12,183,571,618)	(11,135,129,013)	(10,947,295,831)	(9,861,468,240)
Gross Profit		1,732,829,381	2,156,138,696	1,291,748,270	1,512,036,073
Other Operating Income	22	30,571,053	54,734,777	247,299,850	160,669,297
Distribution Costs		(876,047,477)	(948,129,884)	(719,770,070)	(753,576,141)
Administrative Expenses		(770,981,353)	(695,901,132)	(620,011,070)	(581,476,602)
Other Operating Expenses		(11,151,095)	(8,443,983)	(11,151,095)	(8,428,044)
Finance Cost	23	(258,423,497)	(390,706,885)	(209,873,888)	(333,451,366)
Share of Profit/(Loss) from Joint Venture Companies (Net of Tax)	9.2	286,353,477	261,970,835	—	—
Profit/(Loss) before Tax	24	133,150,489	429,662,424	(21,758,003)	(4,226,783)
Income Tax Expense	25	(10,994,164)	6,119,345	22,865,702	1,471,015
Profit/(Loss) for the Year		122,156,325	435,781,769	1,107,699	(2,755,768)
Other Comprehensive Income					
<i>Other Comprehensive Income not to be Reclassified to Profit or Loss in Subsequent Periods:</i>					
Fair Value Gain/(Losses) – Other Investments		130,399	(102,900)	130,399	(102,900)
Actuarial Gain on Defined Benefit Plans	18.2	1,377,490	6,231,021	1,377,490	6,231,021
Deferred Tax Impact on Defined Benefit Plans	25.2	(413,247)	(1,869,306)	(413,247)	(1,869,306)
Share of Other Comprehensive Income Net of Tax Equity Accounted Investees	16.1	—	288,884,523	—	—
Net Exchange Differences on Translation of Foreign Operations		(173,117)	—	—	—
Other Comprehensive Income for the Year		921,525	293,143,338	1,094,642	4,258,815
Total Comprehensive Income		123,077,850	728,925,107	2,202,341	1,503,047
Profit/(Loss) Attributable to:					
Equity Holders of the Parent		125,165,569	435,781,769	1,107,699	(2,755,768)
Non-Controlling Interest		(3,009,245)	—	—	—
		122,156,325	435,781,769	1,107,699	(2,755,768)
Total Comprehensive Income Attributable to:					
Equity Holders of the Parent		126,087,094	728,925,107	2,202,341	1,503,047
Non-Controlling Interest		(3,009,245)	—	—	—
		123,077,850	728,925,107	2,202,341	1,503,047
Earnings Per Share – Basic/Diluted	26	7.11	24.76	0.06	(0.16)

The accounting policies and Notes on pages 112 through 176 form an integral part of the financial statements.

Statement of Changes in Equity

GROUP	Attributable to Equity Holders								
	Year ended 31st March	Stated Capital	Revaluation Surplus	Fair Value Reserve	Actuarial Gain on Defined Benefit Plans	Foreign Currency Translation Reserve	Retained Earnings	Total	Non-Controlling Interest
		LKR	LKR	LKR	LKR	LKR	LKR	LKR	LKR
Balance as at 1st April 2023		536,305,197	816,534,724	(1,254,207)	(11,661,179)	—	3,868,125,120	5,208,049,655	—
Profit for the Year		—	—	—	—	—	435,781,769	435,781,768	—
Other Comprehensive Income (Net)		—	288,884,523	(102,900)	4,361,715	—	—	293,143,338	—
Dividends (DPS: LKR 7.30)		—	—	—	—	—	(128,480,000)	(128,480,000)	—
Balance as at 31st March 2024		536,305,197	1,105,419,247	(1,357,107)	(7,299,464)	—	4,175,426,889	5,808,494,762	—
Profit for the Year		—	—	—	—	—	125,165,569	125,165,569	(3,009,245)
Other Comprehensive Income (Net)		—	—	130,399	964,243	—	—	1,094,642	—
Acquisition of Subsidiaries		—	—	—	—	—	—	—	10
Net Exchange Differences on Translation of Foreign Operations		—	—	—	—	(173,117)	—	(173,117)	—
Dividends (DPS: LKR 5.00)		—	—	—	—	—	(88,000,000)	(88,000,000)	—
Balance as at 31st March 2025		536,305,197	1,105,419,247	(1,226,708)	(6,335,221)	(173,117)	4,212,592,457	5,846,581,856	(3,009,235)

COMPANY							Total
	Year ended 31st March	Stated Capital	Revaluation Surplus	Fair Value Reserve	Actuarial Gain on Defined Benefit Plans	Retained Earnings	
		LKR	LKR	LKR	LKR	LKR	LKR
Balance as at 1st April 2023		536,305,197	288,119,507	(1,254,207)	(11,661,179)	609,204,910	1,420,714,228
Loss for the Year		—	—	—	—	(2,755,768)	(2,755,768)
Other Comprehensive Income		—	—	(102,900)	4,361,715	—	4,258,815
Dividends (DPS: LKR 7.30)		—	—	—	—	(128,480,000)	(128,480,000)
Balance as at 31 March 2024		536,305,197	288,119,507	(1,357,107)	(7,299,464)	477,969,141	1,293,737,274
Profit for the Year		—	—	—	—	1,107,699	1,107,699
Other Comprehensive Income (Net)		—	—	130,399	964,243	—	1,094,642
Dividends (DPS: LKR 5.00)		—	—	—	—	(88,000,000)	(88,000,000)
Balance as at 31st March 2025		536,305,197	288,119,507	(1,226,708)	(6,335,221)	391,076,840	1,207,939,615

The Accounting Policies and Notes on pages 112 through 176 form an integral part of the Financial Statements.

Statement of Cash Flows

Year ended 31st March	Notes	GROUP		COMPANY	
		2025 LKR	2024 LKR	2025 LKR	2024 LKR
Operating Activities					
Profit/(Loss) before Income Tax Expense		133,150,489	429,662,424	(21,758,003)	(4,226,783)
Adjustments for					
Allowance for Weight Loss	24	129,084,134	107,080,713	129,084,134	107,080,713
Depreciation	4	334,692,517	309,073,394	164,438,988	156,549,224
Right-of-Use-Asset Depreciation	5.1	5,718,282	4,430,147	8,424,755	7,071,254
Transferred to Cost of Sales and Fair Value Gain	12.1	1,053,795,339	1,594,329,318	1,053,795,339	915,465,732
Share of Profit/(Loss) from Joint Venture Companies (Net of Tax)	9.2	(286,353,477)	(261,970,835)	—	—
Fair Value Gain on Quoted Investments	22	(33,461)	(8,185)	(33,461)	(8,185)
Intangible Assets Amortization	7	5,267,864	5,278,855	5,184,114	5,264,855
Income from Investments	22	(41,577)	(186)	(174,761,647)	(50,000,186)
Finance Cost	23	258,423,497	390,706,885	209,873,888	333,451,366
Provision for Defined Benefit Plans	18	29,750,001	40,993,815	22,318,541	33,198,250
Allowance for Bad and Doubtful Debts	13.1	(35,790,154)	16,142,307	(34,960,185)	16,142,308
Operating Profit before Working Capital Changes		1,627,663,454	2,635,718,652	1,361,606,461	1,519,988,549
(Increase)/Decrease in Inventories		(214,160,581)	271,754,239	(194,253,302)	104,856,030
(Increase)/Decrease in Biological Assets		8,844,648	(139,011,301)	8,844,648	(272,091,518)
(Increase)/Decrease in Trade and Other Receivables		107,170,402	(300,758,128)	98,284,120	(269,015,920)
Increase/(Decrease) in Related Company Balances (Net)		8,520,833	11,543,510	(649,466,519)	(704,445,719)
Increase/(Decrease) in Trade and Other Payables		518,394,643	(124,323,528)	1,240,504,272	1,113,189,264
Cash Generated from Operations		2,056,433,398	2,354,923,444	1,865,519,679	1,492,480,686
Finance Costs Paid	23	(258,423,497)	(390,706,885)	(209,873,888)	(333,451,366)
Defined Benefit Plan Costs Paid	18	(5,714,230)	(5,795,250)	(2,676,500)	(3,545,000)
Income Tax Paid		(31,926,740)	(26,440,009)	(26,031,810)	(22,562,120)
Net Cash Flows From Operating Activities		1,760,368,931	1,931,981,300	1,626,937,482	1,132,922,200

Year ended 31st March	Notes	GROUP		COMPANY	
		2025 LKR	2024 LKR	2025 LKR	2024 LKR
Investing Activities					
Acquisition of Property, Plant and Equipment	4	(457,374,958)	(599,447,147)	(266,849,401)	(108,364,421)
Acquisition of Intangible Assets	7	(930,000)	—	—	—
Acquisition of Biological Assets	12.1	(1,068,537,947)	(1,636,149,219)	(1,068,537,947)	(1,405,177,066)
Investment in Subsidiary Companies	8	—	—	(4,034,140)	(7,000,000)
Dividend Received	22	139,341,577	50,000,186	174,761,647	50,000,186
Net Cash Flows Used in Investing Activities		(1,387,501,328)	(2,185,596,180)	(1,164,659,840)	(1,470,541,301)
Financing Activities					
Dividend Paid	20.3	(82,314,789)	(126,598,192)	(82,314,789)	(126,598,192)
Proceeds From Financing and Lease (Ijara)	17	3,619,646,685	2,789,736,800	3,319,646,685	2,777,000,000
Repayment of Financing Payable	17	(3,864,048,456)	(2,364,815,980)	(3,774,279,747)	(2,260,439,083)
Net Cash Flows From/(Used in) Financing Activities		(326,716,560)	298,322,628	(536,947,851)	389,962,725
Net Increase/(Decrease) in Cash and Cash Equivalents		46,151,043	44,707,748	(74,670,209)	52,343,624
Cash and Cash Equivalents at the beginning of the Year	27	98,288,094	53,580,346	44,964,244	(7,379,380)
Cash and Cash Equivalents at the end of the Year	27	144,439,136	98,288,094	(29,705,965)	44,964,244

The Accounting Policies and Notes on pages 112 through 176 form an integral part of the Financial Statements.

Notes to the Financial Statements

1. Corporate Information

1.1 General

Bairaha Farms PLC (“Company”) is a public quoted company incorporated and domiciled in Sri Lanka. The registered office of the Company is located at 407, Galle Road, Colombo 3. The Company does not have an identifiable parent of its own. The Company is the Ultimate Parent of the Group.

1.2 Principal Activities and Nature of Operations

The core activities of the Group are vertical integrated poultry farming, chicken processing and manufacturing of pre-cooked meats. Principal activities and nature of the operations of the subsidiaries, sub subsidiaries and joint ventures have been mentioned below:

Subsidiaries	Principal activity	Holding %
Bairaha Foods (Pvt) Ltd.	Manufacturing of pre-cooked meat products	100
Lanka Land Development Ltd.	Purchasing and leasing agricultural lands	100
HCF Land Development Ltd.	Purchasing and leasing agricultural lands	100
BF Lands Development Ltd.	Purchasing and leasing agricultural lands	100
Golden Rooster Restaurants (Pvt) Ltd.	Not in operation	100
Siyane Farms Ltd.	Breeder farming	100
Nature’s Best Industry Ltd.	Broiler farming	100
Regency Real Estate Company Ltd.	Operation has not started	100
Global Reach Foods (Pvt) Ltd.	Manufacturing and export of chicken-based niche products	100
Care 4 Wellbeing (Pvt) Ltd.	Manufactures nutraceutical products	50
Bairaha International FZCO	A UAE-registered company specializing in the export of chicken products	100

Subsidiaries	Principal activity	Holding %
Sub subsidiaries		
Hill County Farms Ltd.	Breeder farming	100
Foster Real Estate Ltd.	Purchasing and leasing agricultural lands	100
Bairaha Trading (Pvt) Ltd.	Importing and selling disinfectants	100
Joint ventures		
Rajarata Land Development Ltd.	Purchasing and leasing agricultural lands	50
Cultural Triangle Land Development Ltd.	Purchasing and leasing agricultural lands	50
Windsor Real Estate Ltd.	Purchasing and leasing agricultural lands	50
Fortune G-P Farms (Lanka) Ltd.	Grandparent Breeder Farming	50
Fortune Agro Industries (Pvt) Ltd.	Feed milling operation	50

1.3 Date of Authorization for Issue

The Consolidated Financial Statements of Bairaha Farms PLC, for the year ended 31 March 2025 were authorized for issue by the Board of Directors on 29 May 2025.

2.1 Basis of Preparation

The Financial Statements which comprise, statement of financial position, the Statement of profit or loss and other comprehensive income, statement of changes in equity and the statement of cash flow statement, together with the accounting policies and notes (the “financial statements”) have been prepared on a historical cost basis, except for, all property, plant and equipment other than assets classified as plant and machinery, equipment which includes computer equipment, other investments and consumable and bearer biological assets that have been measured at fair value. The Financial Statements are presented in Sri Lankan Rupees (LKR).

2.1.1 General Policies

“The Company” refers to Bairaha Farms PLC as the holding company and “the Group” refers to the Company and all its subsidiaries.

2.1.2 Statement of Compliance

The financial statements of the Group and Company have been prepared in accordance with Sri Lanka Accounting Standards (SLFRSs/LKASs) as issued by the Institute of Chartered Accountants of Sri Lanka and the preparation and presentation of these financial statements is in compliance with the Companies Act No. 07 of 2007.

2.1.3 Going Concern

The management of Bairaha Farms PLC has satisfied that the group has the resources to continue in business into a foreseeable future. Furthermore, the management is not aware of any material uncertainties that may cast significant doubt upon the group’s ability to continue as a going concern. Therefore, the consolidated financial statements are continued to be prepared on the going concern basis.

2.1.4 Comparative Information

The presentation and classification in the financial statements have been amended where appropriate to ensure comparability with the current year.

2.1.5 Basis of Consolidation

The consolidated financial statements comprise the financial statements of the Group and its subsidiaries as at 31 March 2025. Control is achieved when the Group is exposed, or has rights, to variable returns from its involvement with the investee and has the ability to affect those returns through its power over the investee. Specifically, the Group controls an investee if, and only if, the Group has:

- Power over the investee (i.e., existing rights that give it the current ability to direct the relevant activities of the investee)
- Exposure, or rights, to variable returns from its involvement with the investee
- The ability to use its power over the investee to affect its returns

Generally, there is a presumption that a majority of voting rights results in control. To support this presumption and when the Group has less than a majority of the voting or similar rights of an investee, the Group considers all relevant facts and circumstances in assessing whether it has power over an investee, including:

- The contractual arrangement(s) with the other vote holders of the investee
- Rights arising from other contractual arrangements
- The Group’s voting rights and potential voting rights

The Group re-assesses whether or not it controls an investee if facts and circumstances indicate that there are changes to one or more of the three elements of control. Consolidation of a subsidiary begins when the Group obtains control over the subsidiary and ceases when the Group loses control of the subsidiary. Assets, liabilities, income and expenses of a subsidiary acquired or disposed of during the year are included in the consolidated financial statements from the date the Group gains control until the date the Group ceases to control the subsidiary.

Profit or loss and each component of OCI are attributed to the equity holders of the parent of the Group.

All intra-group assets and liabilities, equity, income, expenses and cash flows relating to transactions between members of the Group are eliminated in full on consolidation.

A change in the ownership interest of a subsidiary, without a loss of control, is accounted for as an equity Transaction.

If the Group loses control over a subsidiary, it derecognises the related assets (including goodwill), liabilities, non-controlling interest and other components of equity, while any resultant gain or loss is recognized in profit or loss. Any investment retained is recognized at fair value.

2.1.6 Materiality and Aggregation

Each material class of similar items is presented separately in the Financial Statements. Items of a dissimilar nature or function are presented separately, unless they are immaterial. Notes to the Financial Statements are presented in a systematic manner which ensures the understandability and comparability of Financial Statements of the Group.

Understandability of the Financial Statements is not compromised by observing material information or by aggregating material items that have different nature of functions.

2.1.7 Rounding

The amounts in the Financial Statements have been rounded off to the nearest rupees, except where otherwise indicated.

2.2 Significant Accounting Judgments, Estimates and Assumptions

The preparation of the Group financial statements requires management to make judgments, estimates and assumptions that affect the reported amounts of revenues, expenses, assets and liabilities and the disclosure of contingent liabilities, at the reporting date. In the process of applying the Group accounting policies, the key assumptions made relating to the future and the sources of estimation at the reporting date together with the related judgments that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities in the future periods are discussed below.

Defined Benefit Plans

The Defined Benefit Obligation and the related charge for the year are determined using actuarial valuations. The actuarial valuation involves making assumptions about discount rates, future salary increases, mortality rates etc. Due to the long term nature of such obligations these estimates are subject to significant uncertainty. Further details are given in Note 18.

Useful lives of Property, Plant and Equipment

The Group reviews the residual values, useful lives and methods of depreciation of assets as at each reporting date. Judgement of the management is exercised in the estimation of these values, rates, methods and hence they are subject to uncertainty.

Fair value of Property, Plant and Equipment

All Property, Plant and Equipment except Plant and Machinery and equipment including computer equipment of the Group are reflected at fair value. The Group engaged independent valuation specialist to determine fair value of certain Property, Plant and Equipment. Further details are given in Note 04.

Impairment Losses on Trade Receivables

The Group reviews individually significant receivables at each reporting date to assess whether an impairment loss should be recorded in the Statement of profit or loss and other comprehensive income. In particular, judgment of the management is required in the estimation of the amount and timing of future cash flows when determining the impairment loss. These estimates are based on assumptions about a number of factors and actual results may differ, resulting in future changes to the impairment allowance.

Consumable Biological Assets

Consumable biological assets are measured at fair value less costs to sell. In management's opinion, cost is approximated as fair value of the broiler birds and hatching eggs mainly due to the associated short life cycle of those assets and the fact that a significant value addition on broiler birds arises from the manufacturing process and no or only little biological change was observed for hatching eggs as at the year end. Accordingly the cost of consumable biological assets approximates its fair value.

Bearer Biological Assets

Bearer biological assets are measured at fair value less costs to sell. The fair value of parent birds is determined using discounted cash flows model based on mortality rates of the parent birds, egg production rates, hatchability rates of eggs, estimated market selling price of day-old-chick and other estimated farming cost that will be incurred throughout the remaining life of the parent birds.

2.3 Summary of Significant Accounting Policies

The significant accounting policies applied by the Group in preparation of its financial statements are included below. The accounting policies set out below have been applied consistently to all periods presented in these financial statements.

2.3.1 Property, Plant and Equipment

(a) Cost and Valuation

All items of Property, Plant and Equipment are initially recorded at cost. Where items of Property, Plant and Equipment are subsequently revalued, the entire class of such assets is revalued. Revaluations are made with sufficient regularity to ensure that their carrying amounts do not differ materially from their fair values at the balance sheet date. Subsequent to the initial recognition as an asset at cost, revalued Property, Plant and Equipment are carried at revalued amounts less any subsequent depreciation thereon. All other Property, Plant and Equipment are stated at historical cost less depreciation and less any impairment in value.

Any revaluation surplus is recognized in other comprehensive income and accumulated in equity in the asset revaluation reserve net of deferred tax, except to the extent that it reverses a revaluation decrease of the same asset previously recognized in the profit or loss, in which case the increase is recognized in the profit or loss. A revaluation deficit is recognized in the profit or loss, except to the extent that it offsets an existing surplus on the same asset recognized in the asset revaluation reserve. Upon disposal, any revaluation reserve relating to the particular asset being sold is transferred to retained earnings.

Land, Buildings, Poultry sheds, Furniture, Fittings and Motor Vehicles are revalued once in every three years. The rest of the classes of assets were kept at cost.

(b) Restoration Costs

Expenditure incurred on repairs or maintenance of property, plant and equipment in order to restore or maintain the future economic benefits expected from originally assessed standard of performance, is recognized as an expense when incurred.

(c) Depreciation

The provision for depreciation is calculated by using a straight line method on the cost or valuation of all property, plant and equipment other than freehold land, in order to write off such amounts over the estimated useful lives by equal instalments.

Depreciation of an asset begins when it is available for use, i.e. when it is in the location and condition necessary for it to be capable of operating in the manner intended by management.

An item of property, plant and equipment and any significant part initially recognized is recognized upon disposal or when no future economic benefits are expected from its use or disposal. Any gain or loss arising on derecognition of the asset (calculated as the difference between the net disposal proceeds and the carrying amount of the asset) is included in the statement of profit or loss and other comprehensive income when the asset is derecognized.

The asset's residual values, useful lives and methods of depreciation are reviewed, and adjusted if appropriate, at each financial year end.

The depreciation rates have been included in note 4.1.7

(d) Capital Work in Progress

Capital expenses incurred during the year which are not completed as at the reporting date are shown as capital work in progress, while the capital assets which have been completed during the year and put to use are transferred to property, plant and equipment.

2.3.2 Investment Property

(a) Recognition

Investment properties are measured initially at cost, including transaction costs. The carrying value of investment property includes the cost of replacing part of an existing investment property, at the time that cost is incurred if the recognition criteria are met, and excludes the cost of day-to-day servicing of investment property.

Subsequent to initial recognition, all Investment Properties are carried at cost less any accumulated depreciation thereon.

(b) Depreciation

The provision for depreciation is calculated by using a straight line method on the cost of investment property, in order to write off such amounts over the estimated useful lives by equal instalments.

The useful life of investment property is as follows;

Class of Investment Property	Useful Life	Depreciation Method
Buildings	33.3 Years	Straight-line method

(c) Derecognition

Investment properties are derecognized either when they have been disposed of or when they are permanently withdrawn from use and no future economic benefit is expected from their disposal. The difference between the net disposal proceeds and the carrying amount of the asset is recognized in profit or loss in the period of derecognition.

2.3.3 Intangible Assets

Intangible assets acquired separately are measured on initial recognition at cost. Following initial recognition, intangible assets are carried at cost less any accumulated amortization and any accumulated impairment losses.

Intangible assets with finite lives are amortized over the useful economic life and assessed for impairment whenever there is an indication that the intangible asset may be impaired. The amortization period and the amortization method for an intangible asset with a finite useful life is reviewed at least at each financial year end.

Changes in the expected useful life or the expected pattern of consumption of future economic benefits embodied in the asset is accounted for by changing the amortization period or method, as appropriate, and treated as changes in accounting estimates. The amortization expense on intangible assets with finite lives is recognized in the statement of profit or loss and other comprehensive income in the expense category consistent with the function of the intangible asset.

The useful life of intangible asset is as follows:

The Class of Intangible assets	Useful Life	Amortization Method
Computer Software	10 Years	Straight-line method

2.3.4 Borrowing Costs

Borrowing costs directly attributable to the acquisition, construction or production of an asset that necessarily takes a substantial period of time to get ready for its intended use or sale are capitalized as part of the cost of the respective assets. All other borrowing costs are recognized as expenses in the period in which they are incurred.

2.3.5 Impairment of Assets

The Group assesses at each reporting date whether there is an indication that an asset may be impaired. If any such indication exists, or when annual impairment testing for an asset is required, the Group makes an estimate of the asset's recoverable amount. An asset's recoverable amount is the higher of an asset's or cash-generating unit's fair value less costs to sell and its value in use and is determined for an individual asset, unless the asset does not generate cash inflows that are largely independent of those from other assets or groups of assets. Where the carrying amount of an asset exceeds its recoverable amount, the asset is considered impaired and is written down to its recoverable amount.

Impairment losses of continuing operations are recognized in the statement of profit or loss and other comprehensive income in those expense categories consistent with the function of the impaired asset, except for property previously revalued where the revaluation was taken to other comprehensive income. In this case the impairment is also recognized in other comprehensive income up to the amount of any previous revaluation.

For assets excluding goodwill, an assessment is made at each reporting date as to whether there is any indication that previously recognized impairment losses may no longer exist or may have decreased. If such indication exists, the Group makes an estimate of recoverable amount. A previously recognized impairment loss is reversed only if there has been a change in the estimates used to determine the asset's recoverable amount since the last impairment loss was recognized.

If that is the case the carrying amount of the asset is increased to its recoverable amount. That increased amount cannot "exceed" the carrying amount that would have been determined, net of depreciation, had no impairment loss been recognized for the asset in prior years. Such reversal is recognized in the statement of profit or loss and other comprehensive income unless the asset is carried at revalued amount, in which case the reversal is treated as a revaluation increase. Impairment losses recognized in relation to goodwill are not reversed for subsequent increases in its recoverable amount.

2.3.6 Interest in a joint Venture

A joint venture is a type of joint arrangement whereby the parties that have joint control of the arrangement have rights to the net assets of the joint venture. Joint control is the contractually agreed sharing of control of an arrangement, which exists only when decisions about the relevant activities require unanimous consent of the parties sharing control.

The considerations made in determining joint control is similar to those necessary to determine control over subsidiaries.

The Group's investments in its joint venture are accounted for using the equity method. Under the equity method, the investment in a joint venture is initially recognized at cost. The carrying amount of the investment is adjusted to recognize changes in the Group's share of net assets of the joint venture since the acquisition date.

The statement of profit or loss reflects the Group's share of the results of operations of the joint venture. Any change in OCI of those investees is presented as part of the Group's OCI. In addition, when there has been a change recognized directly in the equity of the joint venture, the Group recognizes its share of any changes, when applicable, in the statement of changes in equity. Unrealized gains and losses resulting from transactions between the Group and joint ventures are eliminated to the extent of the interest in the joint ventures.

The financial statements of the joint venture are prepared for the same reporting period as the Group. When necessary, adjustments are made to bring the accounting policies in line with those of the Group.

After application of the equity method, the Group determines whether it is necessary to recognize an impairment loss on its investment in its joint venture. At each reporting date, the Group determines whether there is objective evidence that the investment in the joint venture is impaired. If there is such evidence, the Group calculates the amount of impairment as the difference between the recoverable amount of the joint venture and its carrying value, and then recognizes the loss as 'Share of profit of a joint venture' in the statement of profit or loss and other comprehensive income.

Upon loss of significant influence over the joint control over the joint venture, the Group measures and recognizes any retained investment at its fair value. Any difference between the carrying amount of the joint venture upon loss of significant influence or joint control and the fair value of the retained investment and proceeds from disposal is recognized in profit or loss.

In the separate financial statements of the Company, such investments in joint venture is accounted for at cost.

2.3.7 Investments in Subsidiaries

Investments in subsidiaries are stated at cost, net of any impairment losses which are charged to the Statement of Profit or Loss in the Company's Financial Statements, and it is in accordance with the Sri Lanka Accounting Standard – LKAS 27 – “Consolidated and Separate Financial Statements”.

Subsidiaries are entities that are controlled by the Group and the Company. Subsidiaries are consolidated from the date on which control is transferred to the Company and continue to be consolidated until the date when such control ceases. The Company is presumed to control an investee when it is exposed or has right to variable returns from its involvement with the investee and has the ability to affect those returns through its power over the investee.

Intra-group balances and transactions, income, expenses and any unrealized gains arising from intra-group transactions are eliminated in full in preparing the Consolidated Financial Statements.

Non-controlling interests represent the portion of profit or loss and net assets of subsidiaries not owned, directly or indirectly, by the Company.

All subsidiaries of the Company have been incorporated in Sri Lanka. A list of subsidiaries are given in Note 08.

2.3.8 Financial Instruments – initial Recognition and Subsequent Measurement

Initial Recognition of Financial Assets and Financial Liabilities

The Group shall recognize a financial asset or a financial liability in its statement of financial position when, and only when, the entity becomes party to the contractual provisions of the instrument.

Measurement of Financial Assets

A financial asset be measured at amortized cost if both of the following conditions are met:

- (a) The asset is held within a business model whose objective is to hold assets in order to collect contractual cash flows and
- (b) The contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

A financial asset shall be measured at fair value unless it is measured at amortized cost in accordance with above criteria. The company measures Trade Debtors at amortized cost.

Classification of Financial Assets

The Group classify financial assets as subsequently measured at either amortized cost or fair value on the basis of both:

- (a) the entity's business model for managing the financial assets and
- (b) The contractual cash flow characteristics of the financial asset.

Derecognition of Financial Assets

The Group derecognize a financial asset when and only when:

- (a) the contractual rights to the cash flows from the financial asset expire, or
- (b) it transfers the financial asset as and the transfer qualifies for derecognition.

A gain or loss on a financial asset that is measured at amortized cost and is not part of a hedging relationship be recognized in profit or loss when the financial asset is derecognized, impaired or reclassified in accordance and through the amortization process.

Impairment – Recognition of Expected Credit Losses

The Group recognize a loss allowance for expected credit losses on Trade Debtors to which the impairment requirements apply.

At each reporting date, the Group measure the loss allowance for a financial instrument at an amount equal to the lifetime expected credit losses if the credit risk on that financial instrument has increased significantly since initial recognition.

The objective of the impairment requirements is to recognize lifetime expected credit losses for all financial instruments for which there have been significant increases in credit risk since initial recognition – whether assessed on an individual or collective basis – considering all reasonable and supportable information, including that which is forward-looking.

Simplified Approach for Trade Receivables

The Group always measure the loss allowance at an amount equal to lifetime expected credit losses for trade receivables or contract assets that result from transactions that are within the scope of SLFRS 15, and that:

- (i) do not contain a significant financing component (or when the entity applies the practical expedient for contracts that are one year or less) in accordance with SLFRS 15; or
- (ii) contain a significant financing component in accordance with SLFRS 15, if the entity chooses as its accounting policy to measure the loss allowance at an amount equal to lifetime expected credit losses. That accounting policy shall be applied to all such trade receivables or contract assets but may be applied separately to trade receivables and contract assets.

Write-Off

The gross carrying amount of a financial asset is written-off when the Group has no reasonable expectations of recovering a financial asset in its entirety or a portion thereof. For individual customers, the Group has a policy of writing off the gross carrying amount when the financial asset is 180 days past due based on historical experience of recoveries of similar assets. For corporate customers, the Group individually makes an assessment with respect to the timing and amount of write-off based on whether there is a reasonable expectation of recovery. The Group expects no significant recovery from the amount written off. However, financial assets that are written off could still be subject to enforcement activities in order to comply with the Group's procedures to recovery of amounts due.

Financial Liabilities Recognition

The Group measured the financial liability at fair value, including the costs of the transaction which can be directly assigned financial liability, when these are designated at their fair value in the profit and loss account.

The Management assessed that the fair value of trade payables, Bank overdraft and current liabilities.

Financial Liabilities Subsequent Measurement

All financial liabilities are measured at amortized cost, except for financial liabilities at fair value through profit or loss.

Derecognition of Financial Liabilities

The Group remove a financial liability (or a part of a financial liability) from its statement of financial position when, and only when, it is extinguished – i.e. when the obligation specified in the contract is discharged or cancelled or expires.

The difference between the carrying amount of a financial liability (or part of a financial liability) extinguished or transferred to another party and the consideration paid, including any non-cash assets transferred or liabilities assumed, shall be recognized in profit or loss.

A gain or loss on a financial liability that is measured at amortized cost and is not part of a hedging relationship be recognized in profit or loss when the financial liability is derecognized and through the amortization process.

Inventories

Inventories are valued at the lower of cost and net realizable value.

Net realizable value is the estimated selling price in the ordinary course of business, less estimated costs of completion and the estimated costs to sell.

Impairment of Non-Financial Assets

The Group assesses at each reporting date whether there is an indication that an asset may be impaired. If any indication exists, or when annual impairment testing for an asset is required, the Group estimates the asset's recoverable amount.

An asset's recoverable amount is the higher of an asset's or cash-generating unit's (CGU) fair value less costs to sell and its value in use and is determined for an individual asset, unless the asset does not generate cash inflows that are largely independent of those from other assets or groups of assets. Where the carrying amount of an asset or CGU exceeds its recoverable amount, the asset is considered impaired and is written down to its recoverable amount. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. In determining fair value less costs to sell, recent market transactions are taken into account, if available. If no such transactions can be identified, an appropriate valuation model is used.

Impairment losses of continuing operations, including impairment on inventories, are recognized in the income statement in those expense categories consistent with the function of the impaired asset, except for a property previously revalued where the revaluation was taken to other comprehensive income. In this case, the impairment is also recognized in other comprehensive income up to the amount of any previous revaluation.

(i) Fair Value Measurement

The Group measures financial instruments such as Bearer biological assets, quoted shares, and non-financial assets such as property, plant and equipment other than assets classified plant and machinery and equipment including computer equipment at fair value at each reporting date. Fair value related disclosures for financial instruments and non-financial assets that are measured at fair value or where fair values are disclosed are summarized in the following notes:

- Disclosures for valuation methods, significant estimates and assumptions – Note 30
- Quantitative disclosures of fair value measurement hierarchy – Note 30
- Property, plant and equipment under revaluation model – Note 4
- Investment properties – Note 6
- Bearer Biological assets – Note 12

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. The fair value measurement is based on the presumption that the transaction to sell the asset or transfer the liability takes place either:

- In the principal market for the asset or liability
- Or
- In the absence of a principal market, in the most advantageous market for the asset or liability

The principal or the most advantageous market must be accessible by the Group.

The fair value of an asset or a liability is measured using the assumptions that market participants would use when pricing the asset or liability, assuming that market participants act in their economic best interest.

A fair value measurement of a non-financial asset takes into account a market participant's ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use.

All assets and liabilities for which fair value is measured or disclosed in the financial statements are categorized within the fair value hierarchy, described as follows, based on the lowest level input that is significant to the fair value measurement as a whole:

Level 1 – Quoted (unadjusted) market prices in active markets for identical assets or liabilities.

Level 2 – Valuation techniques for which the lowest level input that is significant to the fair value measurement is directly or indirectly observable.

Level 3 – Valuation techniques for which the lowest level input that is significant to the fair value measurement is unobservable.

External valuers are involved for valuation of significant assets, such as property, plant and equipment other than assets classified plant and machinery. Involvement of external valuers is decided by the management. Selection criteria include market knowledge, reputation, independence and whether professional standards are maintained.

For the purpose of fair value disclosures, the Group has determined classes of assets and liabilities on the basis of the nature, characteristics and risks of the asset or liability and the level of the fair value hierarchy as explained above.

2.3.9 Biological assets and Agricultural Produce

Biological assets comprise of Parent birds, broilers and hatching eggs.

Consumable biological assets are those that are to be harvested as agricultural produce or sold as biological assets. Broiler birds and hatching eggs have been identified as consumable biological assets.

Bearer biological assets are those other than consumable biological assets. Bearer biological assets are not agricultural produce but, rather, are self-regenerating. The Group has identified Parent birds as bearer biological assets.

Biological assets whose fair value can be measured reliably are measured at fair value less cost to sell, in line with LKAS 41. Cost to sell includes all costs that would be necessary to sell the assets excluding finance costs and income taxes. Gain and losses in relation to the fair value of biological assets are recognized in Statement of profit or loss and other comprehensive income, within "cost of sales", in the period which they arise.

2.3.10 Inventories

Inventories are valued at the lower of cost and net realizable value, after making due allowances for obsolete and slow moving items. Net realizable value is the estimated price at which inventories can be sold in the ordinary course of business less the estimated cost of completion and the estimated cost necessary to make the sale.

The cost incurred in bringing inventories to its present location and condition is accounted as follows:-

2.3.10.1 Broiler Meat

Broiler Meat is valued at prime cost together with an appropriate proportion of overheads on weighted average basis, after making due allowance for weight losses.

2.3.10.2 Poultry Feed, Drugs and Sundry Inventories

Poultry Feed, Drugs and Sundry Inventories are valued at actual cost on weighted average basis after making due allowance for obsolete and slow moving items.

2.3.10.3 Trading Inventories

Trading Inventories which include retail items for sale are valued at actual cost on weighted average basis.

2.3.10.4 Sundry Stocks

Sundry stocks consist with packing materials and ingredients which are used for the production process. Stocks are valued at actual cost on weighted average basis after making due allowance for obsolete and slow-moving items.

2.3.11 Cash and Cash Equivalents

For the purpose of statement of cash flows, cash and cash equivalents consist of cash in hand, demand deposits and short term highly liquid investments, readily convertible to known amounts of cash and subject to insignificant risk of changes in value, net of outstanding bank overdrafts.

2.3.12 Leases

Recognition

At inception of a contract, the Group assess whether a contract is, or contains, a lease. A contract is, or contains, a lease if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration. To assess whether a contract conveys the right to control the use of an identified asset, the Group assess whether:

- the contract involves the use of an identified asset
- the Group has the right to obtain substantially all of the economic benefits from use of the asset throughout the period of use; and
- The Group has the right to direct the use of the asset.

The Group recognizes a right of use asset and a lease liability at the lease commencement date. The right-of-use-assets of the Group consists of lands and buildings.

Measurement

The right of use asset is initially measured at cost, which comprises the initial amount of the lease liability (present value of future lease payments discounted using the interest rate implicit in the lease or, if that rate cannot be readily determined group's incremental borrowing rate) adjusted for any lease payments made at or before the commencement date less any lease incentives received, plus any initial direct costs incurred.

Where the Company is reasonably certain to obtain ownership of the leased asset at the end of the lease term, the recognized right of use asset is subsequently depreciated using the straight-line method from the commencement date to the earlier of the end of the useful life of the right of use asset or the end of the lease term. Right-of-use-asset are subject to impairment.

Estimating the Incremental Borrowing Rate

As the Group cannot readily determine the interest rate implicit in the lease, it uses its incremental borrowing rate ("IBR") to measure the lease liabilities. The IBR is the rate of interest that the Group would have to pay to borrow over a similar term, and with a similar security, the funds necessary to obtain an asset of a similar value to the right-of-use asset in a similar economic environment. The IBR therefore reflects what the Company "would have to pay", which requires estimation when no observable rates are available (or when they need to be adjusted to reflect the terms and conditions of the lease). The Group estimates the IBR using observable input when available and is required to make certain entity-specific adjustments

Short-term leases and leases of low-value assets

The Group applies the short-term lease recognition exemption to leases that have a lease term of 12 months or less from the commencement date. It also applies the lease of low-value assets recognition exemption to leases of office equipment that are considered of low value. Lease payments on short-term leases and leases of low-value assets are recognized as expense on a straight-line basis over the lease term.

2.3.13 Retirement Benefit Obligations

(a) Defined Benefit Plan – Gratuity

Employees are eligible to receive a gratuity payment of half month's salary per year of service at the end of service provided the employee has provided 5 years of service, under the payment of Gratuity Act No. 12 of 1983.

The liability recognized in the statement of financial position is the present value of defined benefit obligation at the reporting date using the projected unit credit method. Any actuarial gains or losses arising are recognized immediately in the statement of profit or loss and other comprehensive income.

Funding Arrangements

The Gratuity liability is not externally funded.

(b) Defined Contribution Plans – Employees' Provident Fund and Employees' Trust Fund

Employees are eligible for Employees' Provident Fund Contributions and Employees' Trust Fund Contributions in line with respective Statutes and Regulations. The Group contributes 12% and 3% of gross emoluments of employees to Employees' Provident Fund and Employees' Trust Fund respectively.

2.3.14 Provisions

Provisions are recognized when the Group has a present obligation (legal or constructive) as a result of a past event, where it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation.

2.3.15 Revenue Recognition

Revenue is recognized when the Group satisfies a performance obligation by transferring a promised good or services to a customer. For each performance obligation identified, the Group determines at contract inception whether it satisfies the performance obligation over time or at a point in time. If the company does not satisfy a performance obligation overtime, the performance obligation is satisfied at a point in time. An asset is transferred when the customer obtains control of that asset and when evaluating whether a customer obtains control of an asset, the company consider any agreement to repurchase the asset.

The following specific recognition and measurement criteria should also be met before revenue is recognized:

Identifying the contract

The Group account for a contract with a customer only when all of the following criteria are met:

- the parties to the contract have approved the contract (in writing, orally or in accordance with other customary business practices) and are committed to perform their respective obligations;
- the Group can identify each party's rights regarding the goods or services to be transferred;
- the Group can identify the payment terms for the goods or services to be transferred;
- the contract has commercial substance (i.e. the risk, timing or amount of the Group's future cash flows is expected to change as a result of the contract); and
- it is probable that the Group will collect the consideration to which it will be entitled in exchange for the goods or services that will be transferred to the customer. In evaluating whether collectability of an amount of consideration is probable, the Group shall consider only the customer's ability and intention to pay that amount of consideration when it is due. The amount of consideration to which the Group will be entitled may be less than the price stated in the contract if the consideration is variable because the Group may offer the customer a price concession.

Identifying Performance Obligations

At contract inception, the Group assess the goods or services promised in a contract with a customer and shall identify as a performance obligation each promise to transfer to the customer either:

- a good or service (or a bundle of goods or services) that is distinct; or
- a series of distinct goods or services that are substantially the same and that have the same pattern of transfer to the customer.

Satisfaction of Performance Obligations

The Group recognises revenue when (or as) the Company satisfies a performance obligation by transferring a promised good or service (i.e. an asset) to a customer. An asset is transferred when (or as) the customer obtains control of that asset.

Performance Obligations Satisfied Over Time

The Group transfers control of a good or service over time and, therefore, satisfies a performance obligation and recognizes revenue over time, if one of the following criteria is met:

- (a) the customer simultaneously receives and consumes the benefits provided by the Group's performance as the Group performs ;
- (b) the Group's performance creates or enhances an asset (for example, work in progress) that the customer controls as the asset is created or enhanced; or
- (c) the Group's performance does not create an asset with an alternative use to the Group and the Group has an enforceable right to payment for performance completed to date.

Determining the Transaction Price

The Group considers the terms of the contract and its customary business practices to determine the transaction price. The transaction price is the amount of consideration to which a Company expects to be entitled in exchange for transferring promised goods or services to a customer, excluding amounts collected on behalf of third parties (for example, some sales taxes). The consideration promised in a contract with a customer may include fixed amounts, variable amounts, or both.

2.3.16 Other Operating Income**(a) Dividends**

Dividend Income is recognized when the shareholders' right to receive the payment is established.

(b) Rental income

Rental income is recognized on accrual basis.

(c) Others

Other income is recognized on an accrual basis

Net Gains and losses of a revenue nature on the disposal of property, plant and equipment and other non-current assets including investments have been accounted for in the statement of profit or loss and other comprehensive income, having deducted from proceeds on disposal, the carrying amount of the assets and related selling expenses. On disposal of revalued property, plant and equipment, amount remaining in Revaluation Reserve relating to that asset is transferred directly to accumulated profit.

Gains and losses arising from incidental activities to main revenue generating activities and those arising from a group of similar transactions which are not material, are aggregated, reported and presented on a net basis.

2.3.17 Expenditure Recognition

- (a) Expenses are recognized in the Statement of profit or loss and other comprehensive income on the basis of direct association between the cost incurred and the earning of specific item of income. All expenditure incurred in the running of the business and the maintenance of the property, plant and equipment in a state of efficiency has been charged to income in arriving at the profit for the year.
- (b) For the purpose of presentation of Statement of profit or loss and other comprehensive income the Directors are of the opinion that function of expenses method presents fairly the elements of the Group's performance, and hence such presentation method is adopted.
- (c) Finance expenses are recognized in the Statement of profit or loss and other comprehensive income on effective interest cost basis.

2.3.18 Foreign Currency Translation

The financial statements are presented in Sri Lanka rupees, which is the Group's functional and presentation currency. Transactions in foreign currencies are initially recorded at the functional currency rate ruling at the date of the transaction. Monetary assets and liabilities denominated in foreign currencies are retranslated at the functional currency rate of exchange ruling at the reporting date. Non-monetary items that are measured in terms of historical cost in a foreign currency are translated using the exchange rates as at the dates of the initial transactions. The resulting gains or losses are accounted for in the Statement of profit or loss and other comprehensive income.

2.3.19 Taxation**(a) Current Taxes**

Current income tax assets and liabilities for the current and prior periods are measured at the amount expected to be recovered from or paid to the Commissioner General of Inland Revenue. The tax rates and tax laws used to compute the amount are those that are enacted or substantively enacted by the reporting date.

The provision for income tax is based on the elements of income and expenditure as reported in the financial statements and computed in accordance with the provisions of the Inland Revenue Act.

(b) Deferred Taxation

Deferred income tax is provided, using the liability method, on all temporary differences at the reporting date between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes. Deferred income tax liabilities are recognized for all taxable temporary differences except;

- Where the deferred income tax liability arises from the initial recognition of goodwill or the initial recognition of an asset or liability in a transaction that is not a business combination and, at the time of the transaction, affects neither the accounting profit nor taxable profit or loss; and
- In respect of taxable temporary differences associated with investments in subsidiaries and interests in joint ventures, except where the timing of the reversal of the temporary differences can be controlled and it is probable that the temporary differences will not reverse in the foreseeable future.

Deferred income tax assets are recognized for all deductible temporary differences, carry-forward of unused tax assets and unused tax losses, to the extent that it is probable that taxable profit will be available against which the deductible temporary differences, and the carry-forward of unused tax assets and unused tax losses can be utilized except;

- Where the deferred income tax asset relating to the deductible temporary difference arises from the initial recognition of an asset or liability in a transaction that is not a business combination and, at the time of the transaction, affects neither the accounting profit nor taxable profit or loss; and
- In respect of deductible temporary differences associated with investments in subsidiaries and interests in joint ventures, deferred tax assets are only recognized to the extent that it is probable that the temporary differences will reverse in the foreseeable future and taxable profit will be available against which the temporary differences can be utilized.

The carrying amount of deferred income tax assets is reviewed at each reporting date and reduced to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred income tax asset to be utilized.

Deferred income tax assets and liabilities are measured at the tax rates that are expected to apply to the year when the asset is realized or the liability is settled, based on tax rates (and tax laws) that have been enacted or substantively enacted at the reporting date.

(c) Turnover based Tax

Turnover based taxes include value added tax. Companies in the group pay value added tax in accordance with respective statutes.

(d) IFRIC Interpretation 23 “Uncertainty over Income Tax Treatment”

The Interpretation addresses the accounting for income taxes when tax treatments involve uncertainty that affects the application of LKAS 12 Income Taxes. It does not apply to taxes or levies outside the scope of LKAS 12, nor does it specifically include requirements relating to interest and penalties associated within certain tax treatments. The Interpretation specifically addresses the following:

- Whether an entity considers uncertain tax treatments separately
- The assumptions an entity makes about the examination of tax treatments by taxation authorities
- How an entity determines taxable profit (tax loss), tax bases, unused tax losses, unused tax credits and tax rates
- How an entity considers changes in facts and circumstances

The Group determines whether to consider each uncertain tax treatment separately or together with one or more other uncertain tax treatments and uses the approach that better predicts the resolution of the uncertainty.

The Group applies significant judgment in identifying uncertainties over income tax treatments. Since the Group operates in a complex environment, it assessed whether the interpretation had an impact on its Financial Statements. Upon adoption of the interpretation, the Group considered whether it has any uncertain tax positions, particularly those relating to transfer pricing. The tax filings of the Group in different jurisdictions include deductions related to transfer pricing and the taxation authorities may challenge those tax treatments. The Group determined, based on its tax compliance and transfer pricing study, that it is probable that its tax treatments will be accepted by the taxation authorities. The interpretation did not have an impact on the Financial Statements of the Group.

2.3.20 Current Versus Non-Current Classification

The Group presents assets and liabilities in statement of financial position based on current/non-current classification. An asset as current when it is:

- Expected to be realized or intended to sold or consumed in normal operating cycle
- Held primarily for the purpose of trading
- Expected to be realized within twelve months after the reporting period

Or

- Cash or cash equivalent unless restricted from being exchanged or used to settle a liability for at least twelve months after the reporting period

All other assets are classified as non-current.

A liability is current when:

- It is expected to be settled in normal operating cycle
- It is held primarily for the purpose of trading
- It is due to be settled within twelve months after the reporting period

Or

- There is no unconditional right to defer the settlement of the liability for at least twelve months after the reporting period

The Group classifies all other liabilities as non-current.

Deferred tax assets and liabilities are classified as non-current assets and liabilities.

2.3.21 Stated Capital and Reserves

(a) Stated Capital

Ordinary shares are classified as stated capital. Incremental costs directly attributable to the issue of ordinary shares are recognized as a deduction from equity, net of any tax effects.

Following reserves were included in the financial statements for the purpose mentioned therein.

(b) Revaluation Surplus

This reserve consists of the revaluation gains and subsequent revaluation losses recognized for the Property, Plant and Equipment except Plant and Machinery, Equipment and computers in the Property, Plant and Equipment.

(c) Fair Value Reserve

This reserve serves the purpose of recognizing the fair value changes of the Financial Instruments measured at fair value through OCI.

(d) Actuarial Gain on Defined Benefit Plan

The Actuarial gain or loss arising due to Actuarial experience, change in plan assumptions and adjustments due to census update were recognized in this reserve.

(e) Foreign Currency Translation Reserve

The Foreign Currency Translation Reserve comprises exchange differences arising from the translation of the financial statements of foreign operations into the presentation currency

2.3.22 Earnings per Share

The Group presents basic and diluted earnings per share (EPS) for its ordinary shares. Basic EPS is calculated by dividing the profit or loss attributable to ordinary shareholders of the Company by the weighted average number of ordinary shares outstanding during the period. Diluted EPS is determined by adjusting the profit or loss attributable to ordinary shareholders and the weighted average number of ordinary shares outstanding for the effects of all dilutive potential ordinary shares.

2.3.23 Changes in Significant Accounting Policies and Standards Issued but not yet Effective

Lack of exchangeability – Amendments to LKAS 21

The amendments specify how an entity should assess whether a currency is exchangeable and how it should determine a spot exchange rate when exchangeability is lacking. The amendments also require disclosure of information that enables users of its financial statements to understand how the currency not being exchangeable into the other currency affects, or is expected to affect, the entity's financial performance, financial position and cash flows. The amendments will be effective for annual reporting periods beginning on or after 1 January 2025. Early adoption is permitted but will need to be disclosed. When applying the amendments, an entity cannot restate comparative information. The amendments are not expected to have a material impact on the Group's financial statement.

3. Revenue

Year ended 31st March	GROUP		COMPANY	
	2025 LKR	2024 LKR	2025 LKR	2024 LKR
Sale of Goods	13,916,400,999	13,291,267,709	12,239,044,101	11,373,504,313
	13,916,400,999	13,291,267,709	12,239,044,101	11,373,504,313

4. Property, Plant and Equipment

4.1 Group

4.1.1 Gross Carrying Amounts

	Balance As at 1st April 2024 LKR	Additions/ Transfers LKR	Revaluation Surplus LKR	Disposals/ Transfers LKR	Balance As at 31st March 2025 LKR
At Valuation					
Land	800,846,382	—	—	—	800,846,382
Buildings	554,421,752	36,970,948	—	—	591,392,700
Buildings on Leasehold Land	17,285,689	—	—	—	17,285,689
Poultry Sheds	664,505,481	4,670,689	—	—	669,176,170
Furniture and Fittings	101,156,867	7,542,179	—	—	108,699,046
Motor Vehicles	278,707,057	22,997,000	—	—	301,704,057
	2,416,923,228	72,180,817	—	—	2,489,104,045
At Cost					
Plant and Machinery	1,788,616,588	255,153,740	—	—	2,043,770,328
Equipments	937,109,363	62,476,432	—	(686,915)	998,898,880
Computer Equipment	59,421,807	3,204,708	—	—	62,626,515
	2,785,147,758	320,834,880	—	(686,915)	3,105,295,723
Total Value of Depreciable Assets	5,202,070,986	393,015,697	—	(686,915)	5,594,399,768

4.1.2 In the Course of Construction

	Balance as at 1st April 2024 LKR	Additions/ Transfers LKR	Revaluation Surplus LKR	Disposals/ Transfers LKR	Balance as at 31st March 2025 LKR
Capital Work-in-Progress	105,540,759	208,614,757	—	(143,568,581)	170,586,936
Total Gross Carrying Amount	5,307,611,745	601,630,454	—	(144,255,496)	5,764,986,703

4.1.3 Depreciation

	Balance as at 1st April 2024 LKR	Charge for the year/Transfers LKR	Disposals/ Transfers LKR	Balance as at 31st March 2025 LKR
At Valuation				
Buildings	11,169,577	28,558,096	—	39,727,673
Buildings on Leasehold Land	518,571	518,571	—	1,037,142
Poultry Sheds	39,008,263	28,358,067	—	67,366,330
Furniture and Fittings	9,220,480	10,514,493	—	19,734,973
Motor Vehicles	41,756,899	44,916,718	—	86,673,617
	101,673,790	112,865,945	—	214,539,735
At Cost				
Plant and Machinery	824,198,815	142,852,853	—	967,051,668
Equipments	596,577,644	71,163,856	(686,915)	667,054,585
Computer Equipments	38,882,206	8,496,778	—	47,378,984
	1,459,658,665	222,513,487	(686,915)	1,681,485,237
Total Depreciation	1,561,332,455	335,379,432	(686,915)	1,896,024,972

4.1.4 Net Book Values

	Balance as at 31st March 2025 LKR	Balance as at 31st March 2024 LKR
At Valuation		
Land	800,846,382	800,846,382
Buildings	551,665,028	543,252,175
Buildings on Leasehold Land	16,248,547	16,767,118
Poultry Sheds	601,809,840	625,497,218
Furniture and Fittings	88,964,073	91,936,387
Motor Vehicles	215,030,440	236,950,158
	2,274,564,310	2,315,249,438
At Cost		
Plant and Machinery	1,076,718,660	964,417,773
Equipments	331,844,295	340,531,719
Computer Equipments	15,247,531	20,539,601
	1,423,810,486	1,325,489,093
In the Course of Construction		
Capital Work-in-Progress	170,586,936	105,540,759
Total Carrying Amount of Property, Plant and Equipment	3,868,961,731	3,746,279,289

4.1.5 Group

The Group revalues all property, plant and equipment other than assets classified as plant and machinery, equipment and computer equipment once every three years. The fair value of Property Plant and Equipment was determined by means of a revaluation during the financial year 2023 by Vlr. Mutaliph T M H an independent valuer in reference to market based evidence. The results of such revaluation were incorporated in these Financial Statements from its effective date which is 31 March 2023. The surplus arising from the revaluation was transferred to a revaluation reserve.

Freehold Land Carried at Revalued Amount

Company	Location	Last Revaluation Date	Land Extent	Per Perch Value LKR	Carrying Value as at 31st March 2025 Freehold Land
Bairaha Farms PLC.	Ginigama Estate – Hiripitiya	31st March 2023	20A–4R–19.5P	5,937	20,064,000
	Ganeshan Estate – Kottaramulla	31st March 2023	27A–3R–9P	4,688	20,857,500
					40,921,500
Hill Country Farms Ltd.	Ellakkala Estate – Pasyala	31st March 2023	39A–0R–28.9P	20,312	127,335,000
					127,335,000
Lanka Land Development Ltd.	Kendalanda Estate – Urapola	31st March 2023	31A–3R–24.55P	9,374	47,850,000
					47,850,000
H.C.F. Land Development Ltd.	Ginigama Estate – Hiripitiya	31st March 2023	9A–0R–0P	10,938	15,750,000
	Pahalahammillewa – Nikawaratiya	31st March 2023	28A–1R–6.5P	8,249	37,337,500
	Polgasagare Estate – Kalalpitiya	31st March 2023	0A–0R–12.5P	500,000	6,250,000
					59,337,500
B F Lands Development Ltd.	Ellakkala Estate – Pasyala	31st March 2023	25A–2R–5.1P	20,313	82,979,000
	Kattakaduwa – Puttalam	31st March 2023	13A–1R–10P	15,622	33,275,000
	Kondagahamulla Estate – Kondagahamulla	31st March 2023	6A–1R–0.6P	23,423	23,437,500
					139,691,500
Siyane Farms Ltd.	St. Catherine Estate – Dolosbage	31st March 2023	24A–0R–15P	4,687	18,067,500
	Siyambalagahawatte – Kochchikade		0A–0R–43.55P	850,069	37,020,500
					55,088,000
Nature's Best Industry Ltd.	Dangaswewa Estate – Anamaduwa	31st March 2023	48A–2R–10P	11,446	88,938,750
					88,938,750
Foster Real Estate Ltd.	St. Catherine Estate – Dolosbage	31st March 2023	18A–1R–24P	12,500	36,800,000
	Watarappala Road – Mount Lavinia	31st March 2023	0A–0R–28.13P	3,250,000	91,422,500
	Pahalahammillewa – Nikawaratiya	31st March 2023	21A–0R–10P	7,812	26,325,000
					154,547,500
Global Reach Foods (Pvt) Ltd.	Galyaya – Pannala Factory	Acquired during 23/24	0A–3R–32.7P	570,639	87,136,632
					87,136,632
Total					800,846,382

Freehold Buildings Carried at Revalued Amount/Cost

Company	Location	As at 31st March 2025		As at 31st March 2024	
		Number of Buildings	Gross Carrying Value Freehold Buildings	Number of Buildings	Gross Carrying Value Freehold Buildings
Bairaha Farms PLC	Ganeshan Estate – Kottaramulla	15	31,479,428	15	17,032,921
	Ginigama Estate – Hiripitiya	19	21,406,023	19	21,406,023
	Ellakkala Estate – Pasyala	86	176,760,171	86	176,760,171
	Church View Estate – Kondagahamulla	11	6,160,438	11	6,160,438
	Green Park – Nittambuwa	1	7,891,496	1	7,891,496
	Thummodera – Nattandiya	9	19,670,999	9	19,670,999
	Madurankuliya – Puttalam	6	7,916,259	6	3,563,439
			271,284,814		252,485,487
Hill Country Farms Ltd.	Ellakkala Estate – Pasyala	18	41,122,411	17	37,891,026
	Halmillawa – Nikaweratiya	16	44,161,993	15	43,406,447
			85,284,404		81,297,473
Siyane Farms Ltd.	St. Catherine Estate – Dolosbage	12	13,227,686	11	10,442,028
	Kendalanda Estate – Urapola	2	1,067,976	1	539,391
	Siyambalahawatte – Kochchikade	1	24,736,805	1	24,736,805
			39,032,466		35,718,224
Nature's Best Industry Ltd.	Dangaswewa Estate – Anamaduwa	22	55,082,382	22	55,082,382
			55,082,382		55,082,382
Global Reach Foods (Pvt) Ltd.	Galyaya – Pannala Factory	3	134,054,394	3	129,838,187
			134,054,394		129,838,187
Care 4 Wellbeing (Pvt) Ltd.	Rathmalana – Office and Cool Room	1	6,654,240	—	—
			6,654,240		—
Total			591,392,700		554,421,752

The carrying amount of revalued assets that would have been included in the financial statements had the assets been carried at cost less depreciation is as follow;

Class of Assets	Cost LKR	Cumulative Depreciation If assets were carried at cost LKR	Net Carrying Amount 2025 LKR	Net Carrying Amount 2024 LKR
Land	251,296,353	—	251,296,353	251,296,353
Buildings	418,232,103	161,793,454	256,438,650	239,786,591
Buildings on Leasehold Land	11,667,021	11,667,021	—	—
Poultry Sheds	406,794,951	242,316,933	164,478,019	186,001,250
Furniture and Fittings	59,975,592	21,905,650	38,069,942	36,139,657
Motor Vehicles	254,451,929	131,983,893	122,468,036	102,920,586
	1,402,417,950	569,666,951	832,750,999	816,144,437

4.1.6 During the financial year, the Group acquired Property, Plant and Equipment to the aggregate value of LKR 457,374,958 (2024 – LKR 599,447,156). Cash payments amounting to LKR 457,374,958 (2024 – LKR 599,447,156) was paid during the year for purchases of Property, Plant and Equipment. There were no items of property, plant and equipment of the Group/ Company pledged as securities for liabilities other than disclosed in Note 17.1 to the financial statements.

4.1.7 The Useful Life of the Assets. (Group/Company)

Buildings	Over 33.3 Years
Buildings on Leasehold Land	Over 10 Years
Poultry Sheds	Over 16.6 Years
Plant and Machinery	Over 10 - 20 Years
Equipments	Over 8 Years
Furniture and Fittings	Over 10 Years
Motor Vehicles	Over 6.67 Years
Computer Equipment	Over 4 Years

4.2 Company

4.2.1 Gross Carrying Amounts

	Balance As at 1st April 2024 LKR	Charge for the year/Transfers LKR	Revaluation Surplus LKR	Disposals/ Transfers LKR	Balance As at 31st March 2025 LKR
At Valuation					
Land	40,921,500	—	—	—	40,921,500
Buildings	193,914,292	18,799,327	—	—	212,713,619
Poultry Sheds	206,805,531	—	—	—	206,805,531
Furniture and Fittings	73,452,311	4,573,629	—	—	78,025,940
Motor Vehicles	251,446,281	22,997,000	—	—	274,443,281
	766,539,915	46,369,956	—	—	812,909,871
At Cost					
Plant and Machinery	794,248,228	152,628,304	—	—	946,876,532
Equipments	398,062,205	13,495,063	—	—	411,557,268
Computer Equipment	49,883,218	1,248,500	—	—	51,131,718
	1,242,193,651	167,371,867	—	—	1,409,565,518
Total Value of Depreciable Assets	2,008,733,566	213,741,823	—	—	2,222,475,389

4.2.2 In the Course of Construction

	Balance As at 1st April 2024 LKR	Charge for the year/Transfers LKR	Revaluation Surplus LKR	Disposals/ Transfers LKR	Balance As at 31st March 2025 LKR
Capital Work-in-Progress	36,991,773	143,177,802	—	(90,070,224)	90,099,351
Total Gross Carrying Amount	2,045,725,339	356,919,625	—	(90,070,224)	2,312,574,740

4.2.3 Depreciation

	Balance As at 1st April 2024 LKR	Additions/Transfers LKR	Disposals/Transfers LKR	Balance As at 31st March 2025 LKR
At Valuation				
Buildings	5,648,606	17,899,124	—	23,547,730
Poultry Sheds	11,900,829	609,004	—	12,509,833
Furniture and Fittings	6,746,945	7,784,974	—	14,531,918
Motor Vehicles	37,668,433	40,830,522	—	78,498,954
	61,964,813	67,123,624	—	129,088,437
At Cost				
Plant and Machinery	415,668,949	63,443,356	—	479,112,304
Equipments	296,469,229	25,225,120	—	321,694,349
Computer Equipments	35,097,986	6,331,448	—	41,429,434
	747,236,164	94,999,924	—	842,236,088
Total Depreciation	809,200,977	162,123,548	—	971,324,524

4.2.4 Net Book Values

	Balance as at 31st March 2025 LKR	Balance as at 31st March 2024 LKR
At Valuation		
Land	40,921,500	40,921,500
Buildings	189,165,889	188,265,686
Poultry Sheds	194,295,698	194,904,702
Furniture and Fittings	63,494,022	66,705,366
Motor Vehicles	195,944,326	213,777,848
	683,821,435	704,575,102
At Cost		
Plant and Machinery	467,764,228	378,579,279
Equipment	89,862,919	101,592,976
Computer Equipment	9,702,284	14,785,232
	567,329,430	494,957,487
	1,251,150,864	1,199,532,589
In the Course of Construction		
Capital Work-in-Progress	90,099,351	36,991,773
Total Carrying Amount of Property, Plant and Equipment	1,341,250,215	1,236,524,362

4.2.5 Company

The company revalues all property, plant and equipment other than assets classified as plant and machinery, equipment and computer equipment once every three years. The fair value of Property Plant and Equipment was determined by means of a revaluation during the financial year 2023 by Vlr. Mutaliph T M H an independent valuer in reference to market based evidence. The results of such revaluation were incorporated in these Financial Statements from its effective date which is 31st March 2023. The surplus arising from the revaluation was transferred to a revaluation reserve.

The carrying amount of revalued assets that would have been included in the financial statements had the assets been carried at cost less depreciation is as follows:

	Cost LKR	Depreciation If assets were carried at cost LKR	Net Carrying Amount 2025 LKR	Net Carrying Amount 2024 LKR
Class of Assets				
Land	17,082,718	—	17,082,718	17,082,718
Buildings	172,390,604	54,513,234	117,877,370	104,249,761
Poultry Sheds	142,871,638	91,130,095	51,741,543	60,313,841
Furniture and Fittings	38,061,128	20,319,264	17,741,864	16,974,347
Motor Vehicles	225,903,043	171,798,824	54,104,219	64,992,676
	596,309,131	337,761,418	258,547,714	263,613,343

4.2.6 During the financial year, the Company acquired Property, Plant and Equipment to the aggregate value of LKR 266,849,401 (2024 – LKR 108,364,421). Cash payments amounting to LKR 266,849,401 (2024 – LKR 108,364,421) was paid during the year for purchases of Property, Plant and Equipment.

5. Right-of-use-Asset

Set out below, are the carrying amounts of the Group's and Company's right-of-use-assets and the movements for the year ended 31st March 2025.

5.1 Right-of-use-Asset

	GROUP		COMPANY	
	2025 LKR	2024 LKR	2025 LKR	2024 LKR
Balance as at 1st April	28,591,404	4,430,142	42,123,770	7,071,254
Additions to Right-of-use Assets	—	28,591,404	—	42,123,770
Depreciation Charge for the Year	(5,718,282)	(4,430,142)	(8,424,755)	(7,071,254)
Balance as at 31st March	22,873,122	28,591,404	33,699,015	42,123,770

5.2 Lease Liabilities

Set out below are the carrying amounts of lease liabilities (Financing and Lease (Ijara) Payables – Note 17) and the movements for the year ended 31st March 2025

	GROUP		COMPANY	
	2025 LKR	2024 LKR	2025 LKR	2024 LKR
Balance at the beginning of the Year	28,591,405	5,817,137	42,123,770	9,157,833
Additions	—	28,591,404	—	42,123,770
Interest Expense	3,192,033	532,021	4,702,829	797,055
Payments	(7,632,000)	(6,349,157)	(11,244,240)	(9,954,888)
Balance as at 31st March	24,151,438	28,591,405	35,582,359	42,123,770
Payable within one Year	5,003,065	4,439,967	7,371,025	6,541,411
Payable after one Year	19,148,373	24,151,438	28,211,334	35,582,359
Total Lease Liability as at 31st March	24,151,438	28,591,405	35,582,359	42,123,770

The maturity analysis of lease liabilities are as follows.

	GROUP		COMPANY	
	2025 LKR	2024 LKR	2025 LKR	2024 LKR
Less than 1 Year	7,632,000	7,632,000	11,244,240	11,244,240
1 to 5 Years	22,896,000	30,528,000	33,732,720	44,976,960

5.3 The following are the Amounts Recognised in Income Statement:

	GROUP		COMPANY	
	2025 LKR	2024 LKR	2025 LKR	2024 LKR
Depreciation Expense of Right-of-use Assets	5,718,282	4,430,142	8,424,755	7,071,254
Interest Expense on Lease Liabilities	3,192,033	532,021	4,702,829	797,055
Total Amount Recognised in Profit or Loss	8,910,315	4,962,163	13,127,584	7,868,309

6. Investment Property

6.1 Company

6.1.1 Gross Carrying Amounts

Rented To		Balance As at 1st April 2024 LKR	Additions/ (Transfers) LKR	Disposals/ (Transfers) LKR	Balance As at 31st March 2025 LKR
At Cost					
Buildings					
Pasyala Hatchery	Hill Country Farms Ltd.	55,656,902	—	—	55,656,902
Bairaha Foods Factory	Bairaha Foods (Pvt) Ltd.	14,461,432	—	—	14,461,432
Breeder Farms Pasyala	Hill Country Farms Ltd.	7,063,000	—	—	7,063,000
Total Value of Depreciable Assets		77,181,334	—	—	77,181,334

6.1.2 Depreciation

		Balance As at 1st April 2024 LKR	Charge for the Year LKR	Disposals/ Transfers LKR	Balance As at 31st March 2025 LKR
At Cost					
Buildings					
Pasyala Hatchery		21,660,685	1,669,707	—	23,330,392
Bairaha Foods Factory		5,247,894	433,843	—	5,681,737
Breeder Farms Pasyala		2,970,866	211,890	—	3,182,756
Total Depreciation		29,879,445	2,315,440	—	32,194,885

6.1.3 Net Book Values

	Balance As at 31st March 2025 LKR	Balance As at 31st March 2024 LKR
At Cost		
Buildings		
Pasyala Hatchery	32,326,510	33,996,217
Bairaha Foods Factory	8,779,695	9,213,538
Breeder Farms Pasyala	3,880,244	4,092,134
Total Carrying Amount of Investment Property	44,986,449	47,301,889

6.1.4 Relevant income and expenditure relating to investment properties

	COMPANY	
For the year ended 31st March	2025 LKR	2024 LKR
Rent Income Earned	1,617,396	1,617,396
	1,617,396	1,617,396

6.1.5 The fair value of Investment Property was determined by means of a revaluation during the financial year 2023 by Vlr. Mutaliph T M H an independent valuer in reference to market based evidence. The results of such revaluation were not incorporated in these Financial Statements.

	Number of Buildings	Extent (sq.ft)	Fair Value as at 31st March 2025 LKR	Fair Value as at 31st March 2024 LKR
Buildings				
Pasyala Hatchery	3	29,900	47,397,506	47,397,506
Bairaha Foods Factory	1	7,154	11,240,613	11,240,613
Breeder Farms Pasyala	10	11,454	5,670,252	5,670,252
Total Carrying Amount of Investment Property			64,308,371	64,308,371

7. Intangible Assets

7.1 Group

Year ended 31st March	2025 LKR	2024 LKR
Cost		
Computer Software		
Balance at the Beginning of the Year	59,640,993	59,640,993
Acquired During the Year	930,000	—
Balance at the End of the year	60,570,993	59,640,993
Amortisation		
Balance at the Beginning of the Year	28,810,896	23,532,041
Amortisation for the Year	5,267,864	5,278,855
Balance at the End of the Year	34,078,760	28,810,896
Net Book Value	26,492,233	30,830,097

7.2 Company

Year ended 31st March	2025 LKR	2024 LKR
Cost		
Computer Software		
Balance at the Beginning of the Year	59,325,994	59,325,994
Acquired during the Year	—	—
Balance at the End of the Year	59,325,994	59,325,994
Amortisation		
Balance at the Beginning of the Year	28,558,896	23,294,041
Amortisation for the year	5,184,114	5,264,855
Balance at the End of the Year	33,743,010	28,558,896
Net Book Value	25,582,984	30,767,098

8. Investments In Subsidiaries

8.1 Subsidiaries

Year ended 31st March	Principal Activity	Country of Incorporation	Holding %	Cost 2025 LKR	Cost 2024 LKR
Non-Quoted					
Bairaha Foods (Pvt) Ltd.	Manufacturing of Pre-Cooked Meat Products	Sri Lanka	100	38,750,000	38,750,000
Lanka Land Development Ltd.	Purchasing and Leasing Agricultural Lands	Sri Lanka	100	17,087,150	17,087,150
HCF Land Development Ltd.	Purchasing and Leasing Agricultural Lands	Sri Lanka	100	17,154,620	17,154,620
BF Lands Development Ltd.	Purchasing and Leasing Agricultural Lands	Sri Lanka	100	10,540,000	10,540,000
Golden Rooster Restaurants (Pvt) Ltd.	Not in Operation	Sri Lanka	100	2,000,000	2,000,000
Siyane Farms Ltd.	Breeder Farming	Sri Lanka	100	35,000,050	35,000,050
Nature's Best Industry Ltd.	Broiler Farming	Sri Lanka	100	263,000,000	263,000,000
Regency Real Estate Company Ltd.	Operation has not started	Sri Lanka	100	1,000	1,000
Global Reach Foods (Pvt) Ltd.	Manufacturing and export of chicken-based niche products	Sri Lanka	100	7,000,000	7,000,000
Care 4 Wellbeing (Pvt) Ltd.	Manufactures nutraceutical products	Sri Lanka	50	10	—
Bairaha International FZCO	A UAE-registered company specializing in the export of chicken products	UAE	100	4,034,130	—
Total Non-Quoted Investments in Subsidiaries				394,566,960	390,532,820
Allowance for Impairment Losses (8.1.1)				(2,000,000)	(2,000,000)
Total Carrying Value of Investments in Subsidiaries				392,566,960	388,532,820

8.1.1 Board of Directors decided to windup the business activities of Golden Rooster Restaurants (Pvt) Ltd., during the financial year 2001/2002. Accordingly the movable assets of the Company were sold after calling for tender. Full provision has been made for this investment.

9. Investments in Joint Ventures

Year ended 31st March	GROUP				COMPANY	
	Holding		Carrying Value		Cost	
	2025 %	2024 %	2025 LKR	2024 LKR	2025 LKR	2024 LKR
Non-Quoted						
Rajarata Land Development Ltd.	50	50	18,851,446	18,689,876	1,495,000	1,495,000
Cultural Triangle Land Development Ltd.	50	50	7,187,657	7,111,357	1,400,000	1,400,000
Windsor Real Estate Limited	50	50	54,095,139	53,840,706	32,793,500	32,793,500
Fortune G-P Farms (Lanka) Ltd.	50	50	639,819,939	623,950,556	21,233,500	21,233,500
Fortune Agro Industries (Pvt) Ltd.	50	50	1,361,236,414	1,230,544,622	655,000,000	655,000,000
Investment in Joint Ventures			2,081,190,594	1,934,137,117	711,922,000	711,922,000

9.1 Rajarata Land Development Ltd., Cultural Triangle Land Development Ltd., Windsor Real Estate Ltd. holds lands on behalf of the group.

9.2 Group share of financial details of Joint Ventures

Year ended 31st March	2025 LKR	2024 LKR
Non-Current Assets	3,067,224,241	3,115,098,664
Current Assets	6,330,279,757	3,343,270,022
Non-Current Liabilities	(403,883,111)	(397,987,341)
Current Liabilities	(4,831,239,700)	(2,192,107,112)
Equity	4,162,381,187	3,868,274,233
Group's Carrying Amount of the Investment	2,081,190,594	1,934,137,117
Revenue	15,214,841,270	15,781,504,566
Cost of Sales	(13,786,290,270)	(14,515,402,908)
Administrative Expenses	(594,287,285)	(627,807,917)
Profit before Tax	834,263,715	638,293,741
Income Tax Expenses	(261,556,761)	(114,352,072)
Profit for the Year	572,706,954	523,941,669
Total Profit for the year	572,706,954	523,941,669
Group's Share of Profit for the Year	286,353,477	261,970,835

9.3 Investment In Joint Ventures Equity Reconciliation

Year ended 31st March	2025 LKR	2024 LKR
Beginning Balance	1,934,137,117	1,433,281,760
Profit for the Year	286,353,477	261,970,835
Revaluation Share of Equity Accounted Investees	—	288,884,523
Dividends Paid	(139,300,000)	(50,000,000)
Ending Balance	2,081,190,594	1,934,137,117

9.4 Investment In Joint Ventures – Other Information

	Rajarata Land Development Ltd.	Cultural Triangle Land Development Ltd.	Windsor Real Estate Limited	Fortune G-P Farms (Lanka) Ltd.	Fortune Agro Industries (Pvt) Ltd.	Total
Cash and Cash equivalents	2,789,174	1,342,932	2,654,514	130,296,271	318,965,557	456,048,448
Depreciation and Amortization	—	—	—	37,331,779	84,944,328	122,276,107
Interest Income	—	—	—	202,315	9,485,307	9,687,621
Interest Expense	—	—	—	(4,378,859)	(229,681,176)	(234,060,035)

10. Other Investments

Year ended 31st March	Number of Shares 2025	Number of Shares 2024	GROUP		COMPANY	
			Carrying Value 2025 LKR	Carrying Value 2024 LKR	Carrying Value 2025 LKR	Carrying Value 2024 LKR
Financial Assets Fair Value Through Profit or Loss						
Merchant Bank of Sri Lanka PLC	2,307	2,307	13,381	11,998	13,381	11,998
Mahaweli Reach Hotel PLC	3,500	3,500	70,000	45,500	70,000	45,500
Lanka Walltiles PLC	210	210	10,605	2,134	10,605	2,134
Blue Diamonds Jewellery Worldwide PLC	8,922	8,922	2,676	3,569	2,676	3,569
			96,662	63,201	96,662	63,201
Financial Instruments at Amortized Cost						
Wakala Deposit – LOLC			25,500,000	25,500,000	—	—
			25,596,662	25,563,201	96,662	63,201
Financial Instruments at Fair Value Through OCI						
Amana Bank PLC	343,000	343,000	919,287	788,900	919,287	788,900
			919,287	788,900	919,287	788,900
			26,515,949	26,352,101	1,015,949	852,101

11. Inventories

Year ended 31st March	GROUP		COMPANY	
	2025 LKR	2024 LKR	2025 LKR	2024 LKR
Broiler Meat	222,757,931	177,601,111	179,480,497	175,858,262
Poultry Feed and Drugs	295,754,564	208,979,863	288,298,833	202,162,041
Sundry Stocks	173,939,193	220,794,267	53,483,050	78,072,909
	692,451,688	607,375,241	521,262,380	456,093,212

12. Biological Assets

Year ended 31st March	GROUP		COMPANY	
	2025 LKR	2024 LKR	2025 LKR	2024 LKR
Bearer Biological Assets				
Breeder Birds – Non-Current	131,113,400	105,440,301	131,113,400	105,440,301
Bearer Biological Assets				
Breeder Birds-Current	914,643,909	925,574,400	914,643,909	925,574,400
Total Bearer Biological Assets	1,045,757,309	1,031,014,701	1,045,757,309	1,031,014,701
Consumable Biological Assets				
Broiler Birds	352,146,662	351,984,412	352,146,662	351,984,412
Hatching Eggs	170,728,316	179,735,214	170,728,316	179,735,214
	522,874,978	531,719,626	522,874,978	531,719,626

12.1 Bearer Biological Assets – Reconciliation of Changing Carrying Value

Year ended 31st March	GROUP		COMPANY	
	2025 LKR	2024 LKR	2025 LKR	2024 LKR
Net Book Value as at 1st April	1,031,014,701	989,194,800	1,031,014,701	541,303,367
Net Additions	1,055,211,770	1,639,389,634	1,055,211,770	1,316,343,923
Transferred to Cost of Sales	(1,053,795,339)	(1,594,329,318)	(1,053,795,339)	(915,465,732)
Fair Value Gain/(Loss)	13,326,177	(3,240,415)	13,326,177	88,833,143
Net Book Value as at 31st March	1,045,757,309	1,031,014,701	1,045,757,309	1,031,014,701

12.2 Valuation technique and significant unobservable inputs

Type	Valuation Technique	Significant unobservable inputs	Inter – relationship between key unobservable inputs and fair value measurements
Biological Asset	Discounted Cash flows	Day old chicks selling price	The FV will – increase when selling price increased – decrease when selling price decreased
Bearer biological assets comprise Layer parent and grower birds.	The valuation model considers the present value of net cash flows expected to be generated by breeder farming. The expected net cash flows are discounted using the risk adjusted discount rate.	Discounting rate	– increase when discounting rate decreased – decrease when discounting rate increased
		Mortality	– increase when mortality rate decreased – decrease when mortality rate increased
		hatchability	– increase when hatchability increased – decrease when hatchability decreased
		Egg Production Rates	– increase when egg production rate increased – decrease when egg production rate decreased

12.3 The measurement of fair value has been disclosed in Note 30.1.1

13. Trade and Other Receivables

Year ended 31st March	GROUP		COMPANY	
	2025 LKR	2024 LKR	2025 LKR	2024 LKR
Financial Assets				
Trade Receivables – Related Parties (13.2)	–	80,995,650	482,025,591	420,496,746
– Others	897,680,706	1,025,153,966	690,141,232	875,859,684
Less: Allowance for Impairment – Trade Receivables	(36,165,638)	(71,956,014)	(35,266,945)	(71,056,801)
	861,515,068	1,034,193,602	1,136,899,878	1,225,299,629
Other Debtors	46,506,650	46,506,650	46,506,650	46,506,650
Less: Allowance for Impairment – Other Debtors	(46,506,650)	(46,506,428)	(46,506,650)	(46,506,428)
	–	222	–	222
Non-Financial Assets				
Advances and Prepayments	277,730,439	176,431,931	133,968,288	108,892,250
	1,139,245,507	1,210,625,755	1,270,868,166	1,334,192,101
Total Allowance for Impairment (13.1)	(82,672,288)	(118,462,442)	(81,773,595)	(117,563,229)

13.1 Impairment of Trade and other receivables

Year ended 31st March	GROUP		COMPANY	
	2025 LKR	2024 LKR	2025 LKR	2024 LKR
As at 1st April	118,462,442	102,320,135	117,563,230	101,420,922
Charge/(reversal) for the year	(35,790,154)	16,142,307	(35,789,635)	16,142,308
As at 31 March	82,672,288	118,462,442	81,773,595	117,563,230

13.2 Trade Dues Receivable from Related Parties

Year ended 31st March	Relationship	GROUP		COMPANY	
		2025 LKR	2024 LKR	2025 LKR	2024 LKR
Bairaha Foods (Pvt) Ltd.	Subsidiary	—	—	385,333,585	339,501,096
Bairaha International FZCO	Subsidiary	—	—	94,330,602	—
Hill Country Farms Ltd.	Subsidiary	—	—	2,133,743	—
Care 4 Wellbeing (Pvt) Ltd.	Subsidiary	—	—	227,661	—
Fortune Agro Industries Ltd.	Joint Venture	—	80,995,650	—	80,995,650
		—	80,995,650	482,025,591	420,496,746

14. Amounts due from Related Parties

Year ended 31st March	Relationship	GROUP		COMPANY	
		2025 LKR	2024 LKR	2025 LKR	2024 LKR
Bairaha Foods (Pvt) Ltd.	Subsidiary	—	—	32,596,262	11,408,257
BF Lands Development Ltd.	Subsidiary	—	—	16,841,738	21,052,697
Golden Rooster Restaurants (Pvt) Ltd.	Subsidiary	—	—	2,791,474	2,683,974
Siyane Farms Ltd.	Subsidiary	—	—	32,862,714	—
Cultural Land Development Ltd.	Joint Venture	18,500	18,500	18,500	18,500
Global Reach Foods (Pvt) Ltd.	Subsidiary	—	—	224,418,129	396,858,880
Nature's Best Industry Ltd.	Subsidiary	—	—	427,820,692	—
Foster Real Estate Ltd.	Subsidiary	—	—	5,797,220	4,607,133
Rajarata Land Development Ltd.	Joint Venture	28,997	28,997	28,997	28,997
Fortune Agro Industries Ltd.	Joint Venture	—	8,520,833	—	8,520,833
Windsor Real Estate Ltd.	Joint Venture	892,386	892,386	892,386	892,386
Care 4 Wellbeing (Pvt) Ltd.	Subsidiary	—	—	58,120,769	—
Bairaha International FZCO	Subsidiary	—	—	3,386,059	—
		939,883	9,460,716	805,574,940	446,071,657
Less: Allowance made for Amounts due from – Golden Rooster Restaurants (Pvt) Ltd.		—	—	(2,396,624)	(2,396,624)
		939,883	9,460,716	803,178,316	443,675,033

15. Stated Capital (Group/Company)

Year ended 31st March	2025 Number of Shares	2024 Number of Shares	2025 LKR	2024 LKR
Fully Paid Ordinary Shares	17,600,000	17,600,000	536,305,197	536,305,197
	17,600,000	17,600,000	536,305,197	536,305,197

15.1 Rights, Preference and Restrictions of Classes of Capital

The holders of ordinary shares has the right to receive dividends as declared from time to time and are entitled to one vote per share at the Annual General meeting of the Company.

16. Reserves

Year ended 31st March	GROUP		COMPANY	
	2025 LKR	2024 LKR	2025 LKR	2024 LKR
Summary				
Revaluation Surplus (16.1)	1,105,419,247	1,105,419,247	288,119,507	288,119,507
	1,105,419,247	1,105,419,247	288,119,507	288,119,507

16.1 Revaluation Surplus

Year ended 31st March	GROUP		COMPANY	
	2025 LKR	2024 LKR	2025 LKR	2024 LKR
On Property, Plant and Equipment				
Balance as at the Beginning of the Year	1,105,419,247	816,534,724	288,119,507	288,119,507
Share of Other Comprehensive Income Net of Tax Equity Accounted Investees	—	288,884,523	—	—
Balance as at the end of the Year	1,105,419,247	1,105,419,247	288,119,507	288,119,507

17. Financing and Lease (Ijara) Payables

17.1 Group

Year ended 31st March	2025 Amount Repayable Within 1 Year LKR	2025 Amount Repayable After 1 Year LKR	2025 Total LKR	2024 Amount Repayable Within 1 Year LKR	2024 Amount Repayable After 1 Year LKR	2024 Total LKR
Bank Loans (17.1.1)	1,471,621,883	525,025,797	1,996,647,680	1,916,318,123	320,291,362	2,236,609,485
Bank Overdrafts (27.2)	237,357,993	—	237,357,993	197,309,176	—	197,309,176
Lease Liability on Right-of-use-Assets (5.2)	5,003,065	19,148,373	24,151,438	4,439,966	24,151,438	28,591,404
	1,713,982,941	544,174,170	2,258,157,111	2,118,067,265	344,442,800	2,462,510,065

Non-current lease liabilities are payable within 5 years.

17.1.1 Bank Loans

Year ended 31st March	As at 1st April 2024 LKR	Loans Obtained LKR	Repayments LKR	As at 31st March 2025 LKR
Amana Bank PLC	1,586,609,485	2,265,100,000	(2,408,861,805)	1,442,847,680
Hatton National Bank PLC – Al Najah	100,000,000	650,746,685	(450,746,685)	300,000,000
Seylan Bank PLC – Islamic Banking Unit	550,000,000	703,800,000	(1,000,000,000)	253,800,000
	2,236,609,485	3,619,646,685	(3,859,608,490)	1,996,647,680

Security:

Immovable Property, Plant and Machinery located at Ellakkala Estate in Pasyala and Dangaswewa Estate in Anamaduwa have been pledged against the loan facilities obtained from Amana Bank PLC.

Immovable Property, Plant and Machinery located at St. Catherine Estate in Dolosbage have been pledged against the loan facilities obtained from Hatton National Bank PLC.

17.2 Company

Year ended 31st March	2025 Amount Repayable Within 1 Year LKR	2025 Amount Repayable After 1 Year LKR	2025 Total LKR	2024 Amount Repayable Within 1 Year LKR	2024 Amount Repayable After 1 Year LKR	2024 Total LKR
Bank Loans (17.2.1)	1,389,783,333	121,435,417	1,511,218,750	1,817,700,000	141,610,416	1,959,310,416
Bank Overdrafts (27.2)	232,176,007	—	232,176,007	197,309,176	—	197,309,176
Lease Liability on Right-of-use-Assets	7,371,025	28,211,334	35,582,359	6,541,411	35,582,359	42,123,770
	1,629,330,365	149,646,751	1,778,977,116	2,021,550,587	177,192,775	2,198,743,362

Non-current lease liabilities are payable within 5 years.

17.2.1 Bank Loans

Year ended 31st March	As at 1st April 2024 LKR	Loans Obtained LKR	Repayments LKR	As at 31st March 2025 LKR
Amana Bank PLC	1,309,310,416	1,965,100,000	(2,316,991,667)	957,418,750
Hatton National Bank PLC	100,000,000	650,746,685	(450,746,685)	300,000,000
Seylan Bank PLC – Islamic Banking Unit	550,000,000	703,800,000	(1,000,000,000)	253,800,000
	1,959,310,416	3,319,646,685	(3,767,738,351)	1,511,218,750

Security:

Immovable Property, Plant and Machinery located at Ellakkala Estate in Pasyala and Dangaswewa Estate in Anamaduwa have been pledged against the loan facilities obtained from Amana Bank PLC.

17.3 The table below provides details of the borrowings of the Group/Company

Bank	Product type	Rate	Maturity
Amana Bank PLC	Diminishing Musharaka Bank Overdrafts	AWPLR +0.5% AWPLR +0.5%	60 Months
Seylan Bank – Islamic Unit	Local Murabaha	AWPLR +1%	6 Months
Hatton National Bank PLC	Diminishing Musharaka	AWPLR +1%	6 Months

18. Retirement Benefit Liability

Year ended 31st March	GROUP		COMPANY	
	2025 LKR	2024 LKR	2025 LKR	2024 LKR
Defined Benefit Obligation – Gratuity				
Balance as at the Beginning of the Year	151,016,179	122,048,635	133,123,209	109,700,980
Charge for the Year (18.1)	29,750,001	40,993,815	22,318,541	33,198,250
Amounts Recognised in Other Comprehensive Income (18.2)	(1,377,490)	(6,231,021)	(1,377,490)	(6,231,021)
Payments During the Year	(5,714,230)	(5,795,250)	(2,676,500)	(3,545,000)
Balance as at the end of the Year	173,674,460	151,016,179	151,387,760	133,123,209

18.1 Charge for the Year

Year ended 31st March	GROUP		COMPANY	
	2025 LKR	2024 LKR	2025 LKR	2024 LKR
Current Service Cost	13,775,216	13,529,715	6,343,756	5,734,150
Interest Cost on Benefit Liability	15,974,785	27,464,100	15,974,785	27,464,100
	29,750,001	40,993,815	22,318,541	33,198,250

18.2 Amounts recognised in Other Comprehensive Income

Year ended 31st March	GROUP		COMPANY	
	2025 LKR	2024 LKR	2025 LKR	2024 LKR
Liability experience Loss/(Gain) arising during the year	(11,035,442)	(26,927,757)	(11,035,442)	(26,927,757)
Liability Gain due to changes in assumptions during the year	9,657,952	6,685,548	9,657,952	6,685,548
Adjustment due to actual census update at 1-4-24	—	14,011,188	—	14,011,188
Total amount recognised in Other Comprehensive Income	(1,377,490)	(6,231,021)	(1,377,490)	(6,231,021)

18.3 The Retirement Benefit Liability, of Bairaha Farms PLC, is valued by Mr Piyal Goonatilleke, who is a fellow member of the Society of Actuaries (USA) and a member of the American Academy of Actuaries. Defined Liability is valued as of March 2025 and the principal assumptions used in the valuation is as follows;

Year ended 31st March		2025	2024
Principal Actuarial Assumption			
Discount Rate		10% p.a	12% p.a
Salary Increases		10% p.a	10% p.a
Staff Turnover	25-35 Years	9.38%	9.38%
	35-40 Years	5.00%	5.00%
	40-45 Years	2.50%	2.50%
	45-50 years	1.00%	1.00%
	Over 50 years	1.00%	1.00%
Number of Active Participants		264	264
Expected Future Working Life Time		10.5	10.6
Demographic Assumption			
Retirement Age		60	60
Mortality Table		GA 1983	GA 1983

18.4 Sensitivity Analysis

Assumption	Change	Effect on PVDBO 2025	Effect on PVDBO 2024
Discount Rate	+1%	(5,176,428)	(3,345,524)
	-1%	6,017,409	3,834,168
Expected Salary Increase	+1%	6,378,941	3,757,604
	-1%	(5,591,026)	(3,337,332)

Maturity analysis of the payments

The following payments are expected on employee benefit liabilities in future years;

As at 31st March	GROUP AND COMPANY	
	2025 LKR	2024 LKR
Within the next 12 months	75,101,557	70,050,170
Between 1-2 years	23,390,619	5,721,530
Between 2-5 years	18,856,596	37,867,717
Between 5-10 years	58,702,418	55,384,329
Total expected payments	176,051,190	169,023,746
Weighted Average Duration of the Defined Benefit Plan in Years	4.3	3.2

19. Trade and Other Payables

Year ended 31st March	GROUP		COMPANY	
	2025 LKR	2024 LKR	2025 LKR	2024 LKR
Trade Creditors – Related Parties (19.1)	653,469,311	103,886,850	3,322,415,195	2,072,496,337
– Others	108,213,153	109,187,472	52,148,364	49,607,088
	761,682,464	213,074,322	3,374,563,559	2,122,103,425
Sundry Creditors Including Accrued Expenses	325,540,153	355,753,652	243,087,568	255,043,430
	1,087,222,617	568,827,974	3,617,651,127	2,377,146,855

19.1 Trade Dues Payable to Related Parties

Year ended 31st March	Relationship	GROUP		COMPANY	
		2025 LKR	2024 LKR	2025 LKR	2024 LKR
Nature's Best Industries Ltd.	Subsidiary	—	—	686,400,385	221,552,306
Siyane Farms Ltd.	Subsidiary	—	—	897,953,362	833,466,483
Hill Country Farms Ltd.	Subsidiary	—	—	1,116,006,504	945,005,065
Fortune Agro Industries Ltd.	Joint Venture	478,549,873	31,414,367	447,135,506	—
Fortune G-P Farms (Lanka) Ltd.	Joint Venture	174,919,438	72,472,483	174,919,438	72,472,483
		653,469,311	103,886,850	3,322,415,195	2,072,496,337

20. Dividends

Year ended 31st March	GROUP		COMPANY	
	2025 LKR	2024 LKR	2025 LKR	2024 LKR
20.1 Dividends Payable (Unclaimed Dividends) (Note 20.3)	13,947,386	8,262,175	13,947,386	8,262,175
	13,947,386	8,262,175	13,947,386	8,262,175

20.2 Second interim dividend of LKR 2.50 per share was declared and paid on 1 July 2024 for the year 2023/24 and an interim dividend of LKR 2.50 per share was declared and paid on 28th March 2025 for the year 2024/25.

20.3 Reconciliation for Dividends

Year ended 31st March	GROUP		COMPANY	
	2025 LKR	2024 LKR	2025 LKR	2024 LKR
Payable balance 1st April	8,262,175	6,380,367	8,262,175	6,380,367
Dividends	88,000,000	128,480,000	88,000,000	128,480,000
Dividends Paid	(82,314,789)	(126,598,192)	(82,314,789)	(126,598,192)
Payable balance 31st March	13,947,386	8,262,175	13,947,386	8,262,175

21. Amounts due to Related Parties – Company

Year ended 31st March	Relationship	2025 LKR	2024 LKR
HCF Land Ltd.	Subsidiary	1,178,251	800,250
Lanka Land Ltd.	Subsidiary	2,534,651	2,534,651
Hill Country Farms Ltd.	Subsidiary	34,626,534	149,074,835
Bairaha Trading (Pvt) Ltd.	Subsidiary	2,761,150	2,761,151
Natures Best Industries Ltd.	Subsidiary	—	96,132,710
Siyane Farms Ltd.	Subsidiary	—	79,760,223
		41,100,586	331,063,820

22. Other Operating Income

Year ended 31st March	GROUP		COMPANY	
	2025 LKR	2024 LKR	2025 LKR	2024 LKR
Income from Other Investments – Quoted	41,577	186	41,577	186
Fair Value Gain on Quoted Investments	33,461	8,185	33,461	8,185
Dividend from Other Investments – Subsidiaries	—	—	35,420,071	—
Dividend from Other Investments – Joint Ventures	—	—	139,300,000	50,000,000
Rental Income	—	—	1,617,396	1,617,396
Lab Income – External	1,039,215	3,370,969	1,039,215	3,370,969
Lab Income – Related Parties	—	—	2,230,484	3,933,537
Service Fee from Related Parties- Shared Services	—	—	48,014,496	92,064,258
Miscellaneous Income	25,141,487	29,230,264	19,603,150	9,674,766
Exchange Gain	866,689	—	—	—
Sale of Vaccines	—	19,283,563	—	—
Sale of Agricultural Produce	3,448,624	2,841,610	—	—
	30,571,053	54,734,777	247,299,850	160,669,297

23. Finance Cost

Year ended 31st March	GROUP		COMPANY	
	2025 LKR	2024 LKR	2025 LKR	2024 LKR
Interest Expense on Overdrafts	24,144,555	39,856,325	24,144,555	39,855,325
Interest Expense on Lease Liabilities	3,192,033	532,021	4,702,829	797,055
Interest Expense on Fixed Loans	231,086,909	350,318,539	181,026,504	292,798,986
	258,423,497	390,706,885	209,873,888	333,451,366

24. Profit From Operating Activities

Stated after charging/(crediting) Year ended 31st March	GROUP		COMPANY	
	2025 LKR	2024 LKR	2025 LKR	2024 LKR
Production Overheads;				
Allowance for Weight Losses	129,084,134	107,080,713	129,084,134	107,080,713
Depreciation	291,726,790	267,400,447	130,894,221	121,347,185
Staff Cost (including following Retirement Benefit Plan Cost)	698,056,167	551,420,550	533,654,773	376,428,499
– Defined Benefit Plan Cost – Gratuity	16,638,559	24,187,587	13,528,235	18,591,020
– Defined Contribution Plan Costs – EPF and ETF	20,404,860	18,261,000	14,324,849	9,502,259
Administration Expenses;				
Directors' Emoluments	64,089,681	58,759,340	64,089,681	58,759,340
Legal Fees	882,382	609,431	873,382	595,431
Donations	2,399,412	4,853,616	2,375,902	4,833,616
Depreciation/Amortization	18,297,300	14,805,877	13,510,519	12,965,636
Auditors Remuneration	6,432,260	6,088,991	3,924,320	3,633,630
Staff Cost (including following Retirement Benefit Plan Cost)	146,626,799	121,481,742	137,248,805	109,799,044
– Defined Benefit Plan Cost – Gratuity	4,206,194	6,878,735	3,689,519	4,979,738
– Defined Contribution Plan Costs – EPF and ETF	19,242,782	18,211,627	16,341,720	14,239,603

Year ended 31st March	GROUP		COMPANY	
	2025 LKR	2024 LKR	2025 LKR	2024 LKR
Distribution Cost;				
Advertising Costs	79,356,139	71,739,863	67,552,286	56,739,863
Allowance for Impairment	(34,960,185)	16,142,308	(34,960,185)	14,000,000
Depreciation	35,654,573	36,576,072	33,643,116	34,572,513
Staff Cost (including following Retirement Benefit Plan Cost)	263,626,885	207,759,493	217,947,568	174,358,055
– Defined Benefit Plan Cost – Gratuity	11,183,498	9,927,493	7,379,037	9,627,493
– Defined Contribution Plan Costs – EPF and ETF	10,356,580	10,084,271	8,347,096	8,238,230

25. Income tax Expense

The Major Components of Income Tax Expense are as follows:

Year ended 31st March	GROUP		COMPANY	
	2025 LKR	2024 LKR	2025 LKR	2024 LKR
Income Statement				
Current Income Tax				
Current Tax Expense on Ordinary Activities for the Year (25.1)	5,064,369	5,999,841	—	2,665,248
Under/(Over) Provision of Current Taxes in Respect of Prior Years	(2,665,248)	26,908	(2,665,248)	—
Tax on Dividend Income	26,208,011	7,500,000	26,208,011	7,500,000
	28,607,131	13,526,749	23,542,763	10,165,248
Deferred Income Tax				
Deferred Taxation Charge (25.2)	(17,612,967)	(19,646,094)	(46,408,465)	(11,636,263)
Income Tax Expense Reported in the Income Statement	10,994,164	(6,119,345)	(22,865,702)	(1,471,015)

25.1 Reconciliation of Accounting Profit and Taxable Profit

Year ended 31st March	GROUP		COMPANY	
	2025 LKR	2024 LKR	2025 LKR	2024 LKR
Accounting Profit before Tax from Operations	133,150,489	429,662,424	(21,758,003)	(4,226,783)
Disallowable Expenses	476,258,740	321,312,259	266,847,892	225,651,219
Tax Deductible Expenses	(330,087,089)	(314,624,218)	(217,288,823)	(171,424,250)
	279,322,140	436,350,464	27,801,066	50,000,186
Exempt Loss/(Profit)	(176,276,227)	(425,428,019)	(175,333,034)	(50,000,186)
Other Income	1,307,437	9,199,124	581,763	8,884,162
Tax Loss Utilised During the Year	(87,472,123)	(122,100)	(581,763)	—
Taxable Profit/(Loss)	16,881,228	19,999,470	(147,531,968)	8,884,162
Income Tax @ 30%	5,064,369	5,999,841	—	2,665,248
Current Tax Expense on Ordinary Activities for the Year	5,064,369	5,999,841	—	2,665,248
Tax Loss Brought Forward	118,310,392	52,083,490	3,070,460	—
Tax Loss for the Year	288,544,802	66,349,001	147,531,968	—
Tax Loss Utilised During the Year	(87,472,123)	(122,100)	(581,763)	—
Tax Loss Carried Forward	319,383,071	118,310,392	150,020,665	—

25.2 Deferred Tax Assets, Liabilities and Income Tax relates to the followings

25.2.1 GROUP

Year ended 31st March	Statement of Financial Position		Statement of Profit or Loss		Other Comprehensive income	
	2025 LKR	2024 LKR	2025 LKR	2024 LKR	2025 LKR	2024 LKR
Deferred Tax Liability						
Property, Plant and Equipment	442,931,445	437,608,800	(5,322,645)	(2,698,496)	—	—
Revaluation of Land	135,304,005	135,304,005	—	(12,984,463)	—	—
	578,235,450	572,912,805				
Deferred Tax Assets						
Allowance for Bad and Doubtful Debts	(9,073,878)	(21,317,040)	(12,243,162)	4,842,692	—	—
Defined Benefit Plans	(51,532,242)	(45,282,050)	6,663,439	10,581,660	(413,247)	(1,869,306)
Inventory Provision	(8,072,846)	—	8,072,846	—	—	—
Tax Losses Carried Forward	(55,972,237)	(35,529,748)	20,442,489	19,904,701	—	—
	(124,651,203)	(102,128,838)				
Deferred Income Tax Expense			17,612,967	19,646,094	(413,247)	(1,869,306)
Net Deferred Tax Liability	453,584,247	470,783,967				

25.2.1.1 Break-up of Deferred Tax Charge on – Defined Benefit Plans

	2025 LKR	2024 LKR
Charge to Income Tax Expenses	(6,663,439)	(10,581,660)
Charge to Other Comprehensive Income	413,247	1,869,306
	(6,250,192)	(8,712,354)

25.2.2 Company

Year ended 31st March	Statement of Financial Position		Statement of Profit or Loss		Other Comprehensive income	
	2025 LKR	2024 LKR	2025 LKR	2024 LKR	2025 LKR	2024 LKR
Deferred Tax Liability						
Property, Plant and Equipment	218,257,113	217,937,082	(320,031)	(2,102,404)	—	—
Revaluation of Land	7,151,634	7,151,634	—	—	—	—
	225,408,747	225,088,716			—	—
Deferred Tax Assets						
Allowance for Bad and Doubtful Debts	(9,073,878)	(21,317,040)	(12,243,162)	4,842,692	—	—
Defined Benefit Plans	(45,416,328)	(39,936,963)	5,892,612	8,895,975	(413,247)	(1,869,306)
Inventory Provision	(8,072,846)	—	8,072,846	—	—	—
Tax Losses Carried Forward	(45,006,200)	—	45,006,200	—	—	—
	(107,569,252)	(61,254,003)				
Deferred Income Tax Expense	—	—	46,408,465	11,636,263	(413,247)	(1,869,306)
Net Deferred Tax Liability	117,839,495	163,834,713				

25.2.2.1 Break-up of Deferred Tax Charge on - Defined Benefit Plans

	COMPANY	
	2025 LKR	2024 LKR
Charge to Income Tax Expenses	(5,892,612)	(8,895,975)
Charge to Other Comprehensive Income	413,247	1,869,306
	(5,479,365)	(7,026,669)

26. Earnings Per Share

26.1 Basic Earnings Per Share is calculated by dividing the net profit for the year attributable to ordinary shareholders by the weighted average number of ordinary shares outstanding during the year.

26.2 The following reflects the income and share data used in the Basic Earnings Per Share computations.

Year ended 31st March	GROUP		COMPANY	
	2025 LKR	2024 LKR	2025 LKR	2024 LKR
Amounts Used as the Numerators:				
Net Profit Attributable to Ordinary Shareholders for Basic Earnings Per Share	125,165,569	435,781,769	1,107,699	(2,755,768)
	125,165,569	435,781,769	1,107,699	(2,755,768)

Year ended 31st March	2025 Number	2024 Number (Restated)	2025 Number	2024 Number (Restated)
Number of Ordinary Shares Used as Denominators:				
Weighted Average number of Ordinary Shares in issue Applicable to Basic Earnings Per Share	17,600,000	17,600,000	17,600,000	17,600,000
Earnings per share	7.11	24.76	0.06	-0.16

There is no dilution of EPS during the current financial year.

27. Cash And Cash Equivalents

Components of Cash and Cash Equivalents.

27.1 Favourable Cash and Cash Equivalent balance

Year ended 31st March	GROUP		COMPANY	
	2025 LKR	2024 LKR	2025 LKR	2024 LKR
Cash and Bank Balances	381,797,129	295,597,270	202,470,042	242,273,420
	381,797,129	295,597,270	202,470,042	242,273,420

27.2 Unfavourable Cash and Cash Equivalent Balances

Year ended 31st March	GROUP		COMPANY	
	2025 LKR	2024 LKR	2025 LKR	2024 LKR
Bank Overdrafts	(237,357,993)	(197,309,176)	(232,176,007)	(197,309,176)
Total Cash and Cash Equivalents for the Purpose of Cash Flow Statements	144,439,136	98,288,094	(29,705,965)	44,964,244

28. Commitments and Contingencies

Commitments

Capital commitments approved and contracted as at the reporting date, but not provided for in the financial statements for the Group and Company is nil.

Contingencies (Group/Company)

Company has given Corporate Guarantee worth of LKR 400 Mn. to Amana Bank PLC, LKR 650 Mn. to MCB Bank Limited, LKR 600 Mn. to Commercial Bank Limited, LKR 250 Mn. to Seylan Bank Limited, LKR 500 Mn. to National Development Bank Limited on behalf of Fortune Agro Industries (Pvt) Ltd. for its working capital financing.

29. Assets Pledged

Assets pledged on bank loans are disclosed under Note 17.1.1 and 17.2.1 for group and company respectively.

30. Fair value of assets and liabilities

30.1 Fair Value of Assets and Liabilities Carried at Fair Value

A description of how fair values are determined for assets and liabilities that are recorded at fair value using valuation techniques is summarized below which incorporates the Group's estimate of assumptions that a market participant would make when valuing.

Property, Plant and Equipment

- Land have been valued according to the nature of the land, extent, location, accessibility, alternate use and present day market for similar land in such locations.
- Buildings have been valued at the current gross replacement cost and their site works less an allowance for all appropriate factors such as age, condition, functional and environmental obsolescence which result in the existing property being worthless than a new replacement.
- Other assets are valued on the Net Replacement Cost basis which is the value of the asset to the business or the "deprival value" namely the price the owner would have to pay in the market to require the asset in its "existing condition or to recreate it if he was deprived of its ownership.

Biological Assets – Consumable

The fair value of the consumable biological assets is substantially represented by formation cost, mainly due to the short life cycle of the birds and the fact that a significant share of the profits arises from the manufacturing process and not from the live birds.

Biological Assets – Bearer

The valuation model considers the present value of the net cash flows expected to be generated by breeder farming. The expected net cash flows are discounted using the Risk adjusted Discount Rate.

Financial Assets at Fair Value through Profit or Loss

Financial assets at Fair Value through Profit or Loss consist of quoted equities. Quoted equities classified as at Fair Value through Profit or Loss. These financial assets are valued using quoted market prices using active markets as at the reporting date.

Financial Assets at Fair Value through OCI

Quoted equities classified as financial instruments at fair value through OCI, are valued using quoted market prices using active markets as at the reporting date.

30.1.1 Fair Value Measurement – Group

The following table provides the fair value measurement hierarchy of the Group's assets and liabilities.

As at 31st March 2025 – Group

	Fair Value Measurement Using			
	Total	Quoted Prices In Active Markets (Level 1)	Significant Observable inputs (Level 2)	Significant Unobservable inputs (Level 3)
	LKR	LKR	LKR	LKR
Assets Measured at Fair Value				
Property, Plant and Equipment				
Freehold Land	800,846,382			800,846,382
Freehold and Leasehold buildings	567,913,575			567,913,575
Poultry Sheds	601,809,840			601,809,840
Furniture	88,964,073			88,964,073
Motor Vehicles	215,030,440			215,030,440
	2,274,564,310	—	—	2,274,564,310
Biological Assets – Consumable	522,874,978	—	—	522,874,978
Biological Assets – Bearer	1,045,757,309	—	—	1,045,757,309
Financial Assets at fair Value Through Profit or Loss				
Quoted Shares	96,662	96,662	—	—
Financial Assets at fair Value Through OCI				
Quoted Shares	919,287	919,287	—	—

As at 31st March 2024- Group

	Fair Value Measurement Using			
	Total	Quoted Prices In Active Markets (Level 1)	Significant Observable inputs (Level 2)	Significant Unobservable inputs (Level 3)
	LKR	LKR	LKR	LKR
Assets Measured at Fair Value				
Property, Plant and Equipment				
Freehold Land	800,846,382			800,846,382
Freehold and Leasehold buildings	560,019,293			560,019,293
Poultry Sheds	625,497,218			625,497,218
Furniture	91,936,387			91,936,387
Motor Vehicles	236,950,158			236,950,158
	2,315,249,438	—	—	2,315,249,438
Biological Assets – Consumable	531,719,626	—	—	531,719,626
Biological Assets – Bearer	1,031,014,701	—	—	1,031,014,701
Financial Assets at Fair Value Through Profit or Loss				
Quoted Shares	63,201	63,201	—	—
Financial Assets at fair Value Through OCI				
Quoted Shares	788,900	788,900	—	—

30.1.1.1 Level 3 Fair Value Measurement

Unobservable inputs used in measuring Fair Value.

The table below sets out information about significant unobservable inputs used in measuring financial instruments categorized as Level 3 in the fair value hierarchy as at 31st March 2025.

Type of Instrument	Fair Values as at 31 March 2025	Fair Values as at 31 March 2024	Valuation Technique	Significant Unobservable Inputs
Freehold Land	800,846,382	800,846,382	Market Comparison Method	Estimated Price per Perch
Freehold and Leasehold Buildings	567,913,575	560,019,293	Depreciated Replacement Cost.	Estimated Rate per Sq Ft
Poultry Sheds	601,809,840	625,497,218	Depreciated Replacement Cost.	Estimated Rate per Sq Ft
Furniture	88,964,073	91,936,387	Depreciated Replacement Cost.	Estimated Replacement Cost Adjusted for Wear and Tear
Motor Vehicles	215,030,440	236,950,158	Depreciated Replacement Cost.	Estimated Replacement Cost Adjusted for Wear and Tear
Biological Assets – Consumable	522,874,978	531,719,626	Formation Costs	Actual Costs Incurred which approximates to its fair value.
Biological Assets – Bearer	1,045,757,309	1,031,014,701	Discounted Cash flows	Mortality, Egg Production rate, Hatchability of eggs, Day Old Chick Market Price and Risk adjusted Discount Rate

30.1.2 Fair Value Measurement – Company

The following table provides the fair value measurement hierarchy of the Company's assets and liabilities.

As at 31st March 2025 – Company

	Fair Value Measurement Using			
	Total	Quoted Prices In Active Markets (Level 1)	Significant Observable inputs (Level 2)	Significant Unobservable inputs (Level 3)
	LKR	LKR	LKR	LKR
Assets Measured at Fair Value				
Property, Plant and Equipment				
Freehold Land	40,921,500			40,921,500
Freehold and Leasehold Buildings	189,165,889			189,165,889
Poultry Sheds	194,295,698			194,295,698
Furniture	63,494,022			63,494,022
Motor Vehicles	195,944,326			195,944,326
	683,821,435	—	—	683,821,435
Biological Assets – Consumable	522,874,978	—	—	522,874,978
Biological Assets – Bearer	1,045,757,309	—	—	1,045,757,309
Financial Assets at Fair Value Through Profit or Loss				
Quoted Shares	96,662	96,662	—	—
Financial Assets at Fair Value Through OCI				
Quoted Shares	919,287	919,287	—	—
Assets for Which Fair Values are Disclosed				
Investment Property	64,308,371			64,308,371

As at 31st March 2024- Company	Fair Value Measurement Using			
	Total	Quoted Prices In Active Markets (Level 1)	Significant Observable inputs (Level 2)	Significant Unobservable inputs (Level 3)
	LKR	LKR	LKR	LKR
Assets Measured at Fair Value				
Property, Plant and Equipment				
Freehold Land	40,921,500			40,921,500
Freehold and Leasehold Buildings	188,265,686			188,265,686
Poultry Sheds	194,904,702			194,904,702
Furniture	66,705,366			66,705,366
Motor Vehicles	213,777,848			213,777,848
	704,575,102	—	—	704,575,102
Biological Assets – Consumable	531,719,626	—	—	531,719,626
Biological Assets – Bearer	1,031,014,701	—	—	1,031,014,701
Financial Assets at fair Value Through Profit or Loss				
Quoted Shares	63,201	63,201	—	—
Financial Assets at Fair Value Through OCI				
Quoted Shares	788,900	788,900	—	—
Assets for which Fair Values are Disclosed				
Investment Property	64,308,371	—	—	64,308,371

30.2 Fair Value of Financial Instruments

Set out below is the comparison, by class, of the carrying amounts and fair values of the group's financial instruments that are not carried at fair value in the financial statements.

Year ended 31st March	GROUP				COMPANY			
	2025		2024		2025		2024	
	Carrying Amount LKR	Fair Value LKR	Carrying Amount LKR	Fair Value LKR	Carrying Amount LKR	Fair Value LKR	Carrying Amount LKR	Fair Value LKR
Financial Assets								
Trade and Other Receivables, Net	861,515,068	861,515,068	1,034,193,824	1,034,193,824	1,136,899,878	1,136,899,878	1,225,299,850	1,225,299,850
Amounts Due from Related Parties	939,883	939,883	9,460,716	9,460,716	96,662	96,662	435,154,200	435,154,200
Cash and Bank Balances	381,797,129	381,797,129	295,597,270	295,597,270	202,470,042	202,470,042	242,273,420	242,273,420
Total Financial Assets	1,244,252,081	1,244,252,081	1,339,251,810	1,339,251,810	1,339,466,582	1,339,466,582	1,902,727,470	1,902,727,470
Financial Liabilities								
Trade and Other Payables	1,087,222,617	1,087,222,617	568,827,974	568,827,974	3,617,651,127	3,617,651,127	2,377,146,854	2,377,146,854
Amounts Due to Related Parties	—	—	—	—	41,100,586	41,100,586	331,063,820	331,063,820
Financing and Lease (Ijara) Payables	2,258,157,111	2,258,157,111	2,462,510,065	2,462,510,065	1,778,977,116	1,778,977,116	2,156,619,592	2,156,619,592
Total Financial Liabilities	3,345,379,728	3,345,379,728	3,031,338,039	3,031,338,039	5,437,728,829	5,437,728,829	4,864,830,266	4,864,830,266

Fair Value of Financial Assets and Liabilities not Carried at Fair Value

The following describes the methodologies and assumptions used to determine the fair values for those financial instruments which are not already recorded at fair value in the Financial Statements.

Assets and Liabilities for which Fair Value Approximates Carrying Value

"For financial assets and financial liabilities that have a short term maturity (original maturities less than a year), it is assumed that the carrying amounts approximate their fair values. This assumption is applied to cash and cash equivalents, trade and other receivables, amounts due from and to related parties and trade and other payables.

Financing and Lease (Ijara) Payables for which periodical interest is paid are also considered to be carried at fair value in the books since the original financing rate does not differ materially from the current market rate.

30.3 Analysis of Financial Instruments by Measurement Basis – Group

Financial assets and liabilities in the tables below are split into categories in accordance with SLFRS 09.

As at 31st March 2025	Financial Assets at				Total
	Fair value through Profit or loss LKR	Amortized Cost LKR	Fair Value Through OCI LKR	Amortized Cost LKR	
Financial Assets					
Other Investments	25,596,662	—	919,287	—	26,515,949
Trade and Other Receivables	—	—	—	861,515,068	861,515,068
Amounts Due from Related Parties	—	—	—	939,883	939,883
Cash and Bank Balances	—	—	—	381,797,129	381,797,129
Total Financial Assets	25,596,662	—	919,287	1,244,252,081	1,270,768,030
Financial Liabilities					
Trade and Other Payables	—	—	—	1,087,222,617	1,087,222,617
Financing and Lease (Ijara) Payables	—	—	—	2,258,157,111	2,258,157,111
Total Financial Liabilities	—	—	—	3,345,379,728	3,345,379,728

As at 31st March 2024	Financial Assets at				
	Fair value through Profit or loss LKR	Amortized Cost LKR	Fair Value Through OCI LKR	Amortized Cost LKR	Total LKR
Financial Assets					
Other Investments	25,563,201	—	788,900	—	26,352,101
Trade and Other Receivables	—	—	—	1,034,193,824	1,034,193,824
Amounts Due from Related Parties	—	—	—	9,460,716	9,460,716
Cash and Bank Balances	—	—	—	295,597,270	295,597,270
Total Financial Assets	25,563,201	—	788,900	1,339,251,810	1,365,603,911
Financial Liabilities					
Trade and Other Payables	—	—	—	568,827,974	568,827,974
Financing and Lease (Ijara) Payables	—	—	—	2,462,510,065	2,462,510,065
Total Financial Liabilities	—	—	—	3,031,338,039	3,031,338,039

30.4 Analysis of Financial Instruments by Measurement Basis – Company

As at 31st March 2025	Financial Assets at				
	Fair value through Profit or loss LKR	Amortized Cost LKR	Fair Value Through OCI LKR	Amortized Cost LKR	Total LKR
Financial Assets					
Other Investments	96,662	—	919,287	—	1,015,949
Trade and Other Receivables	—	—	—	1,136,899,878	1,136,899,878
Amounts Due from Related Parties	—	—	—	803,178,316	803,178,316
Cash and Bank Balances	—	—	—	202,470,042	202,470,042
Total Financial Assets	96,662	—	919,287	2,142,548,236	2,143,564,185
Financial Liabilities					
Trade and Other Payables	—	—	—	3,617,651,127	3,617,651,127
Amounts Due to Related Parties	—	—	—	41,100,586	41,100,586
Financing and Lease (Ijara) Payables	—	—	—	1,778,977,116	1,778,977,116
Total Financial Liabilities				5,437,728,829	5,437,728,829

As at 31 March 2024	Financial Assets at				
	Fair value through Profit or loss LKR	Amortized Cost LKR	Fair Value Through OCI LKR	Amortized Cost LKR	Total LKR
Financial Assets					
Other Investments	63,201	—	788,900	—	852,101
Trade and Other Receivables	—	—	—	1,225,299,851	1,225,299,851
Amounts Due from Related Parties	—	—	—	443,675,033	443,675,033
Cash and Bank Balances	—	—	—	242,273,420	242,273,420
Total Financial Assets	63,201	—	788,900	1,911,248,304	1,912,100,405
Financial Liabilities					
Trade and Other Payables	—	—	—	2,377,146,855	2,377,146,855
Amounts Due to Related Parties	—	—	—	331,063,820	331,063,820
Financing and Lease (Ijara) Payables	—	—	—	2,198,743,362	2,198,743,362
Total Financial Liabilities				4,906,954,037	4,906,954,037

31. Risk Management

31.1 Introduction

"The group's principal financial liabilities comprise of loans and borrowings, trade and other payables. The main purpose of these financial liabilities is to finance the group's operations.

The group has trade and other receivables, amounts due from related parties and cash and short-term deposits that arrive directly from its operations.

The group is exposed to credit risk, liquidity risk and market risk.

Market Risk

Market risk is the risk that the fair value of future cash flows of a financial instrument will fluctuate because of changes in market prices. Financial instruments affected by market risk include investments in equity securities.

The overall risk management programme focuses on the unpredictability of financial markets and seeks to minimize potential adverse effects on the entity's financial performance.

31.2 Credit Risk

Credit risk is the risk that counterparty will not meet its obligations under a financial instrument or customer contract, leading to a financial loss. The group is exposed to credit risk from its operating activities (primarily for trade receivables) and from its financing activities. Company evaluates the credit worthiness of the customer before the appointment. Further it takes a refundable deposit from day old chicks customer, bank guarantee from its broiler chicken distributors and performs periodical debtors review and thereby assess the individual debtors' status.

31.2.1 The following table shows the overdue amounts for the financial assets categories.

As at 31st March 2025	GROUP		COMPANY	
	Neither Past Due nor Impaired LKR	Overdue LKR	Neither Past Due nor Impaired LKR	Overdue LKR
Carrying Amount				
Trade and Other Receivables	742,770,024	154,910,682	620,258,570	551,908,254
Cash and Cash Equivalents	381,797,129	—	202,470,042	—
Amounts Due From Related Parties	939,883	—	803,178,316	—
	1,125,507,037	154,910,682	1,625,906,927	551,908,254

As at 31st March 2024	GROUP		COMPANY	
	Neither Past Due nor Impaired LKR	Overdue LKR	Neither Past Due nor Impaired LKR	Overdue LKR
Carrying amount				
Trade and Other Receivables	795,793,112	310,356,503	716,098,558	580,257,871
Cash and Cash Equivalents	295,597,270	—	242,273,420	—
Amounts due from Related Parties	9,460,716	—	443,675,033	—
	1,100,851,098	310,356,503	1,402,047,011	580,257,871

31.2.2 Age Analysis of Trade Receivables

	GROUP						
	Past Due But Not Impaired						Total
	Not Past Due	Less than 30 days	31 to 60 days	61 to 90 days	More than 91 days	Impaired	
Trade Receivables Net – 2025	742,770,024	79,561,733	23,679,860	31,849,064	19,820,024	(36,165,638)	861,515,068
Trade Receivables Net – 2024	795,793,112	134,567,766	38,753,734	15,086,881	121,948,123	(71,956,014)	1,034,193,602

	COMPANY						
	Past Due But Not Impaired						Total
	Not Past Due	Less than 30 days	31 to 60 days	61 to 90 days	More than 91 days	Impaired	
Trade Receivables Net – 2025	620,258,570	111,302,028	99,606,883	61,241,169	279,758,174	(35,266,945)	1,136,899,878
Trade Receivables Net – 2024	716,098,558	176,111,481	85,744,239	61,068,533	257,333,619	(71,056,801)	1,225,299,629

31.2.3 Exposure to Credit Risk

The following table shows the maximum exposure and net exposure to credit quality by class of financial assets.

As at 31st March 2025	GROUP		COMPANY	
	Gross Exposure LKR	Net Exposure LKR	Gross Exposure LKR	Net Exposure LKR
Carrying amount				
Trade and Other Receivables	861,515,068	861,515,068	1,136,899,878	1,136,899,878
Cash and Cash Equivalents	381,797,129	381,797,129	202,470,042	202,470,042
Amounts due from Related Parties	939,883	939,883	803,178,316	803,178,316
Other Investments	26,515,949	26,515,949	1,015,949	1,015,949
	1,270,768,030	1,270,768,030	2,143,564,185	2,143,564,185

As at 31st March 2024	GROUP		COMPANY	
	Gross Exposure LKR	Net Exposure LKR	Gross Exposure LKR	Net Exposure LKR
Carrying amount				
Trade and Other Receivables	1,034,193,824	1,034,193,824	1,225,299,851	1,225,299,851
Cash and Cash Equivalents	295,597,270	295,597,270	242,273,420	242,273,420
Amounts due from Related Parties	9,460,716	9,460,716	443,675,033	443,675,033
Other Investments	26,352,101	26,352,101	852,101	852,101
	1,365,603,911	1,365,603,911	1,912,100,405	1,912,100,405

31.3 Liquidity Risk

Liquidity risk refers to the risk that an entity will encounter difficulty in meeting obligations associated with financial liabilities that are settled by delivering cash or another financial asset.

The Company manages liquidity risk by monitoring and managing its cash requirements to ensure access to sufficient funds to meet operational and investing requirements. The primary source of liquidity is cash generated from operations and supplemented by credit facilities.

31.3.1 Maturity Analysis of Financial Assets and Financial Liabilities

An analysis of financial assets and financial liabilities based on the remaining period at the Reporting date to the respective contractual maturity dates is as follows.

Year ended 31st March	GROUP					
	2025			2024		
	With in 12 Months LKR	After 12 Months LKR	Total as at 31.03.2025 LKR	With in 12 Months LKR	After 12 Months LKR	Total as at 31.03.2024 LKR
Assets						
Trade and Other Receivables, Net	861,515,068	—	861,515,068	1,034,193,824	—	1,034,193,824
Amounts Due from Related Parties	939,883	—	939,883	9,460,716	—	9,460,716
Cash and Bank Balances	381,797,129	—	381,797,129	295,597,270	—	295,597,270
Other Investments	25,596,662	919,287	26,515,949	25,563,201	788,900	26,352,101
Total Assets	1,269,848,742	919,287	1,270,768,030	1,364,815,011	788,900	1,365,603,911
Liabilities						
Trade and Other Payables	1,087,222,617	—	1,087,222,617	560,493,086	—	560,493,086
Amounts Due to Related Parties	—	—	—	—	—	—
Financing and Lease (Ijara) Payables	1,713,982,941	544,174,170	2,258,157,111	2,118,067,265	344,442,800	2,462,510,065
Total Liabilities	2,801,205,558	544,174,170	3,345,379,728	2,678,560,351	344,442,800	3,023,003,151
Net	(1,531,356,815)	(543,254,883)	(2,074,611,698)	(1,313,745,340)	(343,653,900)	(1,657,399,240)

31.4 Interest Rate Risk

Interest rate risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in market interest rates. The Group's exposure to the risk of changes in market interest rates relates primarily to the Group's long-term debt obligations with floating interest rates.

COMPANY					
2025			2024		
With in 12 Months LKR	After 12 Months LKR	Total as at 31.03.2025 LKR	With in 12 Months LKR	After 12 Months LKR	Total as at 31.03.2024 LKR
1,136,899,878	—	1,136,899,878	1,225,299,851	—	1,225,299,851
803,178,316	—	803,178,316	443,675,033	—	443,675,033
202,470,042	—	202,470,042	242,273,420	—	242,273,420
96,662	919,287	1,015,949	63,201	788,900	852,101
2,142,644,898	919,287	2,143,564,185	1,911,311,505	788,900	1,912,100,405
3,617,651,127	—	3,617,651,127	2,373,164,839	—	2,373,164,839
41,100,586	—	41,100,586	331,063,820	—	331,063,820
1,629,330,365	149,646,751	1,778,977,116	2,021,550,587	177,192,775	2,198,743,362
5,288,082,078	149,646,751	5,437,728,829	4,725,779,246	177,192,775	4,902,972,021
(3,145,437,180)	(148,727,464)	(3,294,164,644)	(2,814,467,741)	(176,403,875)	(2,990,871,616)

Interest Rate Sensitivity

The following table demonstrates the sensitivity to a reasonably possible change in interest rates on that portion of loans and borrowings.

The Group's and the company's profit before tax is affected through the impact on floating rate borrowings as follows.

Increase/Decrease in Basis Points	2025		2024	
	Group Effect on Profit Before Tax	Company Effect on Profit Before Tax	Group Effect on Profit Before Tax	Company Effect on Profit Before Tax
+100	(22,581,571)	(17,789,771)	(24,625,101)	(21,987,434)
-100	22,581,571	17,789,771	24,625,101	21,987,434

The assumed movement in basis points for interest rate sensitivity analysis is based on the currently observable market environment.

32. Related party disclosures

32.1 Transactions with related entities

The Company carried out following transactions with related parties in the ordinary course of its business at commercial rates during the year.

32.1.1 Subsidiaries

Nature of transactions	GROUP		COMPANY	
	2025 LKR	2024 LKR	2025 LKR	2024 LKR
Sales	—	—	568,233,227	746,100,702
Purchases	—	—	600,003,582	1,418,940,885
Rent Income	—	—	—	1,715,614
Rent Expenses	—	—	—	3,749,640
Hatching Fees	—	—	294,781,318	237,631,570
Dividend Income	—	—	35,420,071	—
Shared Service Income	—	—	—	101,906,570
Expenses Incurred	—	—	275,441,911	205,543,058
Collection	—	—	1,842,819,556	1,366,528,739
Settlement	—	—	692,201,240	849,521,592

32.1.2 Joint Ventures

Nature of transactions	GROUP		COMPANY	
	2025 LKR	2024 LKR	2025 LKR	2024 LKR
Sales	70,766,352	—	70,766,352	—
Corporate guarantee Fee	18,450,000	—	18,450,000	—
Purchases	7,771,457,567	8,607,757,387	7,771,457,567	7,703,179,583
Dividend Income	139,300,000	50,000,000	139,300,000	50,000,000
Collection	90,016,915	—	90,016,915	—
Settlement	8,552,843,439	8,855,974,200	8,552,843,439	7,914,442,318

32.1.3 Recurrent Transactions with Related Parties

The following related party transaction for the year under review has been disclosed as per the listing rule 9.3.2 (b). The below transactions were carried out under usual trade terms and conditions.

Name of the Related Party	Relationship	Nature of the Transaction	Value of Transactions	As a % of Net Income
Group				
Fortune Agro Industries (Pvt) Ltd.	Joint Venture	Feed Purchases	7,515,146,588	54
Company				
Fortune Agro Industries (Pvt) Ltd.	Joint Venture	Feed Purchases	7,515,146,588	61

32.1.4 Non Recurrent Transactions with Related Parties

Company has given Corporate Guarantee worth of LKR 400 Mn. to Amana Bank PLC, LKR 650 Mn. to MCB Bank Limited, LKR 810 Mn. to Commercial Bank Limited, LKR 250 Mn. to Seylan Bank Limited, LKR 500 Mn. to National Development Bank Limited on behalf of Fortune Agro Industries (Pvt) Ltd. for its working capital financing.

Name of the Related Party	Relationship	Value of Transaction	As a % of Equity	As a % of Total Assets
Fortune Agro Industries (Pvt) Ltd.	Joint Venture	2,610,000,000	45	27

The gurantees were given to the respective banks in order to facilitate raw material imports of Fortune Agro Industries (Pvt) Ltd.

32.2 Transactions with Key Management Personnel

The Key Management Personnel of the Company are the members of its Board of Directors. Transactions with close family members of Key Management Personnel are also taken in to account in the transactions with Key Management Personnel.

Nature of transactions	GROUP		COMPANY	
	2025 LKR	2024 LKR	2025 LKR	2024 LKR
(a) Transactions with Key Management Personnel or their Close Family Members				
Rent of Premises owned by Key Management Personnel	7,416,000	7,416,000	7,416,000	7,416,000
(b) Key Management Personnel Compensation				
Short-term employee benefits	64,089,681	58,759,340	64,089,681	58,759,340

32.3 Trade Dues Receivable from Related Parties, Amounts Due from Related Parties, Trade Dues Payable to Related Parties, and Amounts Due to Related Parties as at the reporting date are disclosed in Note 13.2, 14, 19.1 and 21 respectively.

32.4 Corporate Guarantees were given to related parties are disclosed in Note 28.

32.5 Terms and Conditions of Transactions with the Related Companies

Outstanding balances at the year-end relating to the related Companies are unsecured, interest free, and all related-party dues are on demand. There have been no guarantees provided or received for any related party receivables or payables for the year ended 31st March 2025. The Group has not recorded any impairment of receivables relating to amounts owed by related parties (2023/24 – LKR Nil).

33. Events Occurring After The Reporting Period

There have been no material events occurring after the Statement of Financial Position date that require adjustments to or disclosure in the Financial Statements.

34. Capital Management

The Company's policy is to maintain a strong capital base so as to ensure investor, creditor and market confidence and to sustain future development of the business. The impact of the level of capital on shareholders' return is also recognized and the Company recognizes the need to maintain a balance between the higher returns that might be possible with greater gearing and the advantages and security afforded by a sound capital position. The company's capital structure consists of share capital, reserves and retained earnings, as disclosed in the statement of changes in equity.

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Ten Year Financial Summary

Supplementary Reports

Income Statement

Year ended 31st March	2025 LKR Mn.	2024 LKR Mn.	2023 LKR Mn.	2022 LKR Mn.	2021 LKR Mn.	2020 LKR Mn.	2019 LKR Mn.	2018 LKR Mn.	2017 LKR Mn.	2016 LKR Mn.
Revenue	13,916	13,291	11,868	6,742	5,057	4,361	4,724	4,215	4,364	3,890
Gross Profit	1,733	2,156	1,601	1,336	819	446	1,076	993	1,203	994
Profit from Operations	106	559	367	663	256	(57)	545	552	805	699
Share of Profit from Joint Ventures (Net of Tax)	286	262	330	171	167	(62)	41	34	126	18
Profit before Tax	133	430	468	793	359	(193)	510	500	863	665
Income Tax Expense	(11)	6	(185)	(28)	(12)	(3)	(97)	(95)	(161)	(74)
Profit for the Year	122	436	283	765	347	(196)	413	404	702	591

Balance Sheet

Year ended 31st March	2025 LKR Mn.	2024 LKR Mn.	2023 LKR Mn.	2022 LKR Mn.	2021 LKR Mn.	2020 LKR Mn.	2019 LKR Mn.	2018 LKR Mn.	2017 LKR Mn.	2016 LKR Mn.
Assets										
Non-current Assets										
Property, Plant and Equipment	3,869	3,746	3,456	2,501	2,350	2,346	2,167	2,086	2,047	1,781
Right-of-use-Asset	23	29	4	9	13	18	—	—	—	—
Investments in Joint Ventures	2,081	1,934	1,433	1,176	1,105	931	919	913	872	517
Biological Assets	131	105	51	105	33	60	51	68	84	251
Other Non-Current Assets	27	32	37	41	40	38	30	5	5	6
Total Non-current Assets	6,131	5,846	4,981	3,832	3,541	3,393	3,168	3,072	3,008	2,556
Current Assets										
Inventories	692	607	986	362	245	374	216	166	156	124
Trade and Other Receivables	1,139	1,211	926	694	497	491	521	491	450	337
Biological Assets	1,438	1,458	1,331	651	679	553	477	420	335	122
Cash and Bank Balances	382	295	239	541	237	159	430	438	377	327
Other Current Assets	48	52	52	121	92	93	149	43	24	257
Total Current Assets	3,699	3,623	3,534	2,369	1,750	1,669	1,792	1,557	1,342	1,168
Total Assets	9,830	9,469	8,515	6,201	5,290	5,061	4,960	4,629	4,350	3,723

Year ended 31st March	2025 LKR Mn.	2024 LKR Mn.	2023 LKR Mn.	2022 LKR Mn.	2021 LKR Mn.	2020 LKR Mn.	2019 LKR Mn.	2018 LKR Mn.	2017 LKR Mn.	2016 LKR Mn.
Equity and liabilities										
Equity										
Stated Capital	536	536	536	256	256	256	256	256	256	256
Revaluation Surplus	1,105	1,105	817	573	580	508	421	421	425	425
Retained Earnings	4,213	4,175	3,868	3,961	3,284	2,937	3,197	2,893	2,601	2,019
Non-Controlling Interest	(3)	—	—	—	—	—	—	—	—	—
Other Reserves	(7)	(8)	(13)	(5)	(7)	(3)	(8)	(10)	(1)	(2)
Total Equity	5,844	5,808	5,208	4,785	4,114	3,698	3,866	3,560	3,281	2,699
Non-Current Liabilities										
Financing and Lease Payables	544	344	364	258	142	258	298	393	483	485
Other Non-Current Liabilities	627	622	611	272	276	239	243	237	168	128
Total Non-Current Liabilities	1,171	966	975	530	418	497	541	629	651	612
Current Liabilities										
Trade and Other Payables	1,087	569	693	595	374	459	352	275	218	283
Financing and Lease Payables	1,714	2,118	1,633	275	369	393	187	153	156	110
Other Current Liabilities	14	8	6	16	15	15	14	12	44	20
Total Current Liabilities	2,815	2,695	2,332	886	758	866	553	440	418	413
Total Equity and Liabilities	9,830	9,469	8,515	6,201	5,290	5,061	4,960	4,629	4,350	3,723

Key ratios

Year ended 31st March	2025	2024	2023	2022	2021	2020	2019	2018	2017	2016
Gross Profit Margin (%)	12.5	16.2	13.5	19.8	16.2	10.2	22.8	23.6	27.6	25.5
Net Profit Margin (%)	0.9	3.3	2.4	11.4	6.9	(4.5)	8.7	9.6	16.1	15.2
Return on Average Assets (%)	1.3	4.8	3.8	13.3	6.7	(3.9)	8.6	9.0	17.4	18.1
Return on Average Equity (%)	2.1	7.9	5.7	17.2	8.9	(5.2)	11.1	11.8	23.5	25.1
Current Ratio (x)	1.3	1.3	1.5	2.7	2.3	1.9	3.2	3.5	3.2	2.8
Debt-to-Capital Ratio (%)	27.9	29.8	27.7	10.0	11.0	15.0	11.1	13.3	16.3	18.1
Earnings Per Share (LKR)	7.1	24.8	16.1	47.8	21.7	(12.3)	25.8	25.3	43.9	36.9
Net assets Per Share (LKR)	332.0	330.0	295.9	299.1	257.1	231.1	241.6	222.5	205.1	168.7
Market Price Per Share (LKR)	164.8	173.0	145.0	151.3	137.8	78.7	114.8	134.6	160.2	144.0
Dividend Per Share (LKR)*	5.0	7.3	6.0	6.0	-	4.0	8.0	6.0	7.5	6.0
Price Earnings Ratio (x)	23.2	7.0	9.0	3.2	6.3	(6.4)	4.4	5.3	3.7	3.9
Price to Book Value (x)	0.5	0.5	0.5	0.5	0.5	0.3	0.5	0.6	0.8	0.9
Dividend Yield (%)	3.0	4.2	4.1	4.0	-	5.1	7.0	4.5	4.7	4.2
Dividend Payout (%)	70.4	29.5	37.3	12.5	-	32.6	31.0	23.7	17.1	16.3

* Dividends per share - based on the dividends declared for the financial year

Key Financial Ratios and Financial Terms

Financial Performance

$$\text{Gross profit margin} = \frac{\text{Gross profit for the year}}{\text{Revenue}}$$

Gross profit is revenue – Cost of sales which represents direct cost of production in farms and factories in deriving a saleable product to the end customer which is day-old chicks or chicken meat.

$$\text{Operating profit margin} = \frac{\text{Operating profit for the year}}{\text{Revenue for the year}}$$

Operating profit is gross profit less sales and distribution expenses and administration expenses adding up any operating income.

Share of profit from joint venture is the percentage share of the net profit generated from joint venture operations proportionate to the investment amount made.

$$\text{Net profit margin} = \frac{\text{Net profit after tax including profit from joint venture operations}}{\text{Revenue}}$$

$$\text{Return on equity} = \frac{\text{Net profit after tax}}{\text{Average equity}}$$

Average equity is the average equity figure (on Book Value basis) between last year and current year. Dupont analysis on ROE is a method use to analyse ROE into its main components net profit margin, financial leverage and asset turnover.

$$\text{Financial leverage} = \frac{\text{Total assets}}{\text{Total equity}}$$

(Based on average method between last year and current year)

$$\text{Asset turnover} = \frac{\text{Revenue}}{\text{Average assets}}$$

$$\text{Return on assets} = \frac{\text{Net profit after tax}}{\text{Average of total assets between last year and current year}}$$

Financial Position and Cash Flow Management

$$\text{Debt to capital} = \frac{\text{Total borrowing from bank as at the year end}}{\text{Total capital which includes shareholders' funds and borrowings from the bank}}$$

$$\text{Current ratio} = \frac{\text{Current assets at the year end}}{\text{Current liabilities at the year end}}$$

$$\text{Quick ratio} = \frac{\text{Liquid current assets which excludes stocks and related party dues}}{\text{Current liabilities at the year end}}$$

$$\text{Working Capital turnover} = \frac{\text{Revenue}}{\text{Year end working capital which is calculated as total stocks including biological assets classified under current assets plus trade receivables minus trade payables}}$$

Shareholder Returns

$$\text{Earnings per share} = \frac{\text{Net profit after tax attributable to Equity Holders}}{\text{Total shares as at year end}}$$

$$\text{Net book value per share} = \frac{\text{Total equity value}}{\text{Total shares at the year end}}$$

$$\text{Price earnings ratio} = \frac{\text{Market price per share}}{\text{Earnings per share}}$$

$$\text{Price to book value ratio} = \frac{\text{Market price per share}}{\text{Net book value per share}}$$

$$\text{Dividend payout} = \frac{\text{Per share dividend declared for the year}}{\text{Earnings per share}}$$

$$\text{Dividend yield} = \frac{\text{Per share dividend declared for the year}}{\text{Market price per share}}$$

Acronym	Full-form
B	Bn. Billion
C	CAGR Compound Annual Growth Rate
	CBSL Central Bank of Sri Lanka
	CEA Central Environment Authority
	CEB Ceylon Electricity Board
	CEO Chief Executive Officer
	CSR Corporate Social Responsibility
	CWIP Capital Work-in-Progress
D	DAPH Department of Animal Production and Health
	DOCs Day-old Chicks
E	EFF Extended Fund Facility
	EMC Executive Management Committee
	EPF Employees' Provident Fund
	EPS Earnings Per Share
	ERP Enterprise Resource Planning
	ETF Employees' Trust Fund
	EU European Union
F	FAIPL Fortune Agro Industries (Pvt) Ltd.
	FGPFL Fortuna G-P Farms Lanka Ltd.
G	g Gram(s)
	GMP Good Manufacturing Practices
	GoSL Government of Sri Lanka
	GP Grandparent
	GRI Global Reporting Initiative

Acronym	Full-form
H	HACCP Hazard Analysis and Critical Control Point
	HoReCa Hotels, Restaurants, and Cafes
	HPAI Highly Pathogenic Avian Influenza
I	IFRIC International Financial Reporting Interpretations Committee
	IMF International Monetary Fund
	ISO International Standards Organization
J	JV Joint Venture
K	KVA Kilovolt Ampere
L	LKAS Sri Lanka Accounting Standards
	LKR Sri Lankan Rupees
M	MD Managing Director
	mg Milligram
	Mn. Million
N	NED Non-Executive Director
P	PHI Public Health Inspector
R	RoE Return on Equity
S	SLAuSs Sri Lanka Auditing Standards
	SLFRS Sri Lanka Financial Reporting Standards
	SME Small and Medium Enterprises
U	USD United States Dollar
Y	YoY Year-on-Year

Directors of Subsidiaries and Sub Subsidiaries

Subsidiaries				
Bairaha Foods (Pvt) Ltd.	Mr M N M Yakooth	Mr M Y M Riyal		
Lanka Land Development Ltd.	Mr M N M Yakooth	Mr M Y M Riyal	Mr M N M Kamil	Mr M N M Mubarak
HCF Land Development Ltd.	Mr M N M Yakooth	Mr M Y M Riyal	Mr M N M Kamil	Mr M N M Mubarak
BF Lands Development Ltd.	Mr M N M Yakooth	Mr M Y M Riyal	Mr M N M Kamil	Mr M N M Mubarak
Golden Rooster Restaurants (Pvt) Ltd.	Mr M N M Yakooth	Mr M Y M Riyal	Mr M N M Kamil	
Siyane Farms Ltd.	Mr M N M Yakooth	Mr M Y M Riyal	Mr M N M Kamil	Mr M N M Mubarak
Nature's Best Industry Ltd.	Mr M N M Yakooth	Mr M Y M Riyal		
Regency Real Estate Company Ltd.	Mr M N M Yakooth	Mr M Y M Riyal	Mr M N M Kamil	Mr M N M Mubarak
Global Reach Foods (Pvt) Ltd.	Mr M N M Yakooth	Mr M Y M Riyal	Mr M I Wahid	Mr A Wickramage Mr M I Mohideen
Care 4 wellbeing (Pvt) Ltd.	Mr M N M Yakooth	Mr M Y M Riyal	Mr M I Wahid	Dr A K E Gunathilaka Dr A S D Perera
Sub Subsidiaries				
Hill County Farms Ltd.	Mr M N M Yakooth	Mr M Y M Riyal	Mr M N M Kamil	Mr M N M Mubarak
Foster Real Estate Ltd.	Mr M N M Yakooth	Mr M Y M Riyal	Mr M N M Kamil	Mr M N M Mubarak
Bairaha Trading (Private) Ltd.	Mr M N M Yakooth	Mr M Y M Riyal	Mr M N M Kamil	Mr M N M Mubarak

NOTICE IS HEREBY given that the Fiftieth Annual General Meeting of Bairaha Farms PLC will be held on Monday, 30th June 2025 at 11.30am at the Auditorium, Sri Lanka Foundation Institute, 100, Padanama Mawatha, Independence Square, Colombo 7.

1. Ordinary Business

- 1.1 To receive and consider the Annual Report of the Board of Directors on the Affairs of the Company and the financial statements for the year ended 31st March 2025 and the Report of the Auditors thereon.
- 1.2 To re-elect as a Director Mr M N M Mubarak, who retires by rotation in terms of Articles 87 and 88 of the Articles of Association of the Company.
- 1.3 To re-elect as a Director Mr M I Wahid, who retires by rotation in terms of Articles 87 and 88 of the Articles of Association of the Company.
- 1.4 To authorize the Directors to determine donations as they think fit during the year ending 31st March 2026 and up to the date of the next Annual General Meeting.
- 1.5 To re-appoint Messrs Ernst Young, Chartered Accountants as Auditors of the Company and to authorize the Directors to determine their remuneration.

2. Special Business

To consider and, if thought fit, to pass the following Special Resolution to amend the Articles of Association of the Company.

It is Hereby Resolved that

- (a) the existing heading, 'Resolution in lieu of Meeting' and the Article 53 be deleted in its entirety, and the following new heading and the Article 53 be substituted therefor;

Methods of Holding General Meetings

53. (1) A General Meeting of shareholders may be held either
 - (i) by a number of shareholders who constitute a quorum, being assembled together at the place, date, and time appointed for the meeting; (hereinafter sometimes referred to as the physical meeting); or

- (ii) by means of audio, or audio and visual communication by which all shareholders participating and constituting a quorum can simultaneously hear each other throughout the meeting (hereinafter sometimes referred to as Electronic Meeting); or
- (iii) by a meeting held both physically and electronically (called Hybrid Meetings); or
- (iv) by means of a resolution in writing signed by not less than Eighty-Five per centum (85%) of the Shareholders who would be entitled to vote on a resolution at a meeting of Shareholders, who together hold not less than Eighty-Five per centum (85%) of the votes entitled to be cast on that resolution, shall be valid as if it had been passed at a General Meeting of those Shareholders.

- (2) The Board shall determine whether a General Meeting is to be held as a physical General Meeting as referred to in 53. (1) (i) or held as an electronic General Meeting as referred to in 53. (1) (ii) or held as a Hybrid General Meeting, both physically and electronically, as referred to in 53. (1) (iii) or by a Resolution in writing as referred to in 53. (1) (iv).
- (3) The Board shall specify in the notice calling the general meeting whether the meeting will be physical or electronic or hybrid or by a Resolution in writing. Such notice shall also specify the time, date, and place and/or electronic platform (s) of the General Meeting, as it is determined.
- (4) (i) When conducting an Electronic General Meeting, the Board shall enable persons to simultaneously attend by electronic means, with no member necessarily in physical attendance at the Electronic General Meeting. The members or their proxies present shall be counted in the quorum for, and entitled to vote at, the general meeting in question.
- (ii) If it appears to the Chairman of the General Meeting that the electronic platform(s), facilities, or security at the Electronic General Meeting have become inadequate for the purposes referred to herein then the Chairman may, without the consent of the meeting, interrupt to resolve such inadequacy where possible or adjourn the General Meeting. All business conducted at that General Meeting up to the time of that adjournment shall be valid and the provisions of Article 55 shall apply to that adjournment.

- (iii) In relation to an Electronic General Meeting, the right of a member to participate in the business of any General Meeting shall include, without limitation, the right to speak, vote on a poll, be represented by a proxy, and have access (including electronic access) to all documents which are required by the Act or these Articles to be made available for/at the meeting.
 - (b) the existing Article 76 be deleted in its entirety and be replaced with the following new Article 76.
76. The Directors shall not be less than five nor more than ten in number. Subject to the provisions of the Act and these presents, the Company may from time to time, by Ordinary Resolution, increase or reduce the number of Directors.
- (c) the existing Article 106 be deleted in its entirety and replaced with the following new Article 106:

Alternate Directors

106. (i) (a) Subject to the Statutes and other laws applicable in respect of the composition of the Board, a Director may, due to exceptional circumstances, by notice in writing under his hand delivered to the Secretary, nominate an individual to be appointed as an Alternate Director of the Company for a maximum period of one (1) year from the date of appointment to attend to the duties of the Director in his absence.
- (b) Such Alternate Director shall be entitled to receive notices of all meetings of Directors and to attend and vote as Director at any such meeting at which the Director appointing him is not personally present and to exercise the rights of the appointer at meetings of the Board.
 - (c) The attendance of any Alternate Director at any meeting, including a Board committee meeting, at which the appointer is absent, shall be counted for the purpose of quorum at such meeting.
- (ii) The appointment of an Alternate Director shall be subject to the approval of the Board.

- (iii) An alternate Director shall not in respect of such appointment be entitled to receive any remuneration from the Company, nor be required to hold any Share qualification. However, the Board may reimburse an Alternate Director such reasonable expenses as he may incur in attending and returning from meetings of the Board which he is entitled to attend, or as he may otherwise properly incur in or about the business of the Company. Alternatively, the Board may pay such allowances as it considers proper in respect of such expenses.
- (iv) An alternate Director shall (on his giving an address for such notice to be served on him) be entitled to receive notices of all meetings of the Board and to attend and vote as a Director at any such meeting at which the Director appointing him is not personally present, and generally to perform all the functions of his appointer as a Director in the absence of such appointer, due to the reasons stated in Article 106(i) hereof, including the signing of resolutions in writing to be passed by circulation under Article 102 hereof.
- (v) Subject to Article 106 (i) hereof, an Alternate Director shall ipso facto cease to be an alternate Director on the occurrence of any of the following events:
 - (a) If his appointer ceases for any reason to be a Director. Provided that if any Director retires by rotation but is re-elected at the meeting at which such retirement took effect, any appointment made by him pursuant to this Article which was in force immediately prior to his retirement shall continue to operate after his re-election as if he had not so retired;
 - (b) If the appointment of the Alternate Director is revoked by his appointer by a notice in writing delivered to the Secretary;
 - (c) If the Board resolves that the appointment of the Alternate Director be terminated on a date determined by it prior to the completion of the period of one (1) year.
- (vi) A Director shall not vote on the question of the approval of an Alternate Director to act for him, or on the question of the termination of the appointment of such an Alternate under Article 106 (v) (c). He shall also not be counted to determine the quorum at meetings when such matters are voted on.

- (vii) If an Alternate Director is appointed for a Non-Executive Director, such Alternate Director shall not be an executive of the Company.
- (viii) If an Alternate Director is appointed to represent an Independent Non-Executive Director, such Alternate Director shall meet the criteria for independence specified in the Listing Rules of the Colombo Stock Exchange.
- (d) the following words be added at the end of Article 147:
The Company may serve notice by electronic mail to an electronic mail account notified by the shareholder in writing or any other acceptable means, to the Company or to the Central Depository System (Pvt) Ltd. Where electronic mail is used, the document or notice shall be deemed to have been received by the shareholder upon the dispatch of same by the Company through electronic mail.
- (e) the existing Article 153 be deleted and the following be substituted therefor :
153. Any notice required to be or which may be given by advertisement shall unless otherwise require by statute be published in Sinhala, Tamil and English national daily newspapers. The Company may if so permitted by statute, publish any notice required to be given to the shareholders on the official website of the Company and/or on the official website of the Colombo Stock Exchange (if the company is listed on the Colombo Stock Exchange).

By Order of the Board

BAIRAHA FARMS PLC

(Sgd.)

P W Corporate Secretarial (Pvt) Ltd.

Director/Secretaries

29th May 2025

Colombo

Notes:

1. A shareholder is entitled to appoint a proxy to attend and vote instead of himself/herself and a proxy need not be a shareholder of the Company.
2. A Form of Proxy is enclosed herewith for this purpose.
3. The instrument appointing a proxy must be deposited at the Registered Office of the Company, 2nd Floor, No. 407, Galle Road, Colombo 3 not less than forty-eight hours before the time fixed for the Meeting. The envelope in which the Proxy Form is enclosed must be marked with the words "Annual General Meeting" on the top left hand corner of the envelope, and the envelope must be addressed to Secretaries, Bairaha Farms PLC, 2nd Floor, No. 407, Galle Road, Colombo 3.
4. Shareholders/Proxyholders attending the Meeting are requested to bring their National Identity Cards

Form of Proxy

I/We*
(NIC/Passport/Company Reg. No.) of

being a Shareholder/s* of Bairaha Farms PLC hereby appoint:

(1)
(NIC/Passport No.) of
or failing him/her*,

(2) Chairman of the Company or failing him one of the Directors of the Company as my/our* proxy to represent, speak and vote for me/us* and on my/our* behalf at the Fiftieth Annual General Meeting of the Company to be held on 30th June 2025 at 11.30am and at any adjournment thereof and at every poll which may be taken in consequence thereon.

	For	Against
1.0 Ordinary Business		
1.1 To re-elect as a Director, Mr M N M Mubarak who retires by rotation in terms of Articles 87 and 88 of the Articles of Association of the Company.	☐	☐
1.2 To re-elect as a Director, Mr M I Wahid who retires by rotation in terms of Articles 87 and 88 of the Articles of Association of the Company.	☐	☐
1.3 To authorize the Directors to determine donations for the year ending 31st March 2026 and up to the date of the next Annual General Meeting.	☐	☐
1.4 To re-appoint Messrs Ernst Young, Chartered Accountants, as Auditors of the Company and to authorize the Directors to determine their remuneration.	☐	☐
2.0 Special Business		
To consider and, if thought fit, to pass the Special Resolution set out under item 2 of the Notice of Meeting to amend the Articles of Association of the Company.	☐	☐

In witness my/our* hands this day of
Two Thousand and Twenty Five.

* Delete whichever is inapplicable.

.....
Signature of Shareholder/s*

- Notes:**
- 1. A proxy need not be a shareholder of the Company.
 - 2. Instructions as to completion of Form of Proxy appear overleaf.

Instructions as to Completion

1. The full name, National Identity Card number and the registered address of the shareholder appointing the Proxy and the relevant details of the Proxy should be legibly entered in the Form of Proxy which should be duly signed and dated.
2. The Proxy shall –
 - (a) In the case of an individual be signed by the shareholder or by his/her attorney, and if signed by an Attorney, a notarially certified copy of the Power of Attorney should be attached to the completed Proxy if it has not already been registered with the Company.
 - (b) In the case of a company or corporate/statutory body either be under its Common Seal or signed by its Attorney or by an Officer on behalf of the company or corporate/statutory body in accordance with its Articles of Association or the Constitution or the Statute (as applicable).
3. Please indicate with a “X” how the Proxy should vote on each resolution. If no indication is given, the Proxy in his/her discretion will vote as he/she thinks fit.
4. To be valid, the completed Form of Proxy must be deposited at the Registered Office of the Company, 2nd Floor, No. 407, Galle Road, Colombo 3 not later than 48 hours before the time appointed for the Meeting.

Corporate Information

Company Name

Bairaha Farms PLC

Company Registration Number

PQ 122

Legal Form

Public Limited Liability Company

Registered Office

No. 407, 2nd Floor,
Galle Road, Colombo 3
Phone: +94 11 257 5255
Telefax: +94 11 257 5256
Website: www.bairaha.com
Email: corporateoffice@bairaha.com

Directors

Mr Reyaz Mihular
Chairman

Mr Yakooth Naleem
Managing Director/
Chief Executive Officer

Mr Riyal Yakooob
Executive Director

Mr Kamil Naleem
Executive Director

Mr Mubarak Naleem
Executive Director

Mr M I Wahid
Executive Director/Operations

Mr Olga Ashley Herath
Non-Executive Director

Ms Radhika Ratnayake
Non-Executive Director

Auditors

Ernst Young,
Chartered Accountants,
Rotunda Towers,
No. 109, Galle Road,
Colombo 3

Secretaries

P W Corporate Secretarial (Pvt) Ltd.
No. 3/17, Kynsey Road,
Colombo 8
Phone: +94 11 464 0360

Registrars

Central Depository Systems (Pvt) Ltd.
Ground Floor,
MM Center,
341/5, Kotte Road,
Rajagiriya
Phone: +94 11 235 6444

Main Bankers

Amāna Bank PLC
No. 365, Galle Road,
Colombo 3

Seylan Bank PLC

Seylan Towers,
No. 90, Galle Road,
Colombo 3

Hatton National Bank

No. 502/1A, Colpetty Road,
Marine Drive,
Colombo 3

Bank of Ceylon

Corporate Branch,
No. 4, Bank of
Ceylon Mawatha,
Colombo 1



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www.bairaha.com